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China Industrials | Asia Pacific

China Industrials Mid-year Outlook: Selective Stock Picks amid Strong Capex Outlook

Capex should remain broadly strong across the sub-sectors we cover in 2H26. After the divergent stock performance in 1H26, we are selective on stocks based not only on sales and order momentum, but also on profitability, catalysts, and valuation.

Theme 1: AI infrastructure structural growth intact; we prefer the "picks & shovels".

The global AI capex cycle remains strong and should sustain into 2027. Rapid technology iteration and capacity expansion are accelerating, creating strong demand for necessary power and manufacturing equipment. We favour companies where AI exposure drives sustained earnings growth.

Stock ideas: **Weichai - H** is the best play in our coverage, with strong growth at a compelling valuation of 20x/15x 2026/27 PE. AIDC power generator net profit should grow ~360%/160% YoY, contributing ~21%/40% of total net profit in 2026/27. **Han's Laser** remains a key beneficiary of AI-driven PCB investment and an improved product mix.

Theme 2: Humanoids are in early commercialization, with multiple catalysts ahead.

In 2026, we expect humanoid commercialization to continue accelerating as integrators compete to leverage deployment scale and close the data loop. We lifted our China humanoid shipment forecast to 50k/100k/446k units in 2026/27/30. Penetration of full-sized manipulation-oriented robots should improve rapidly. Catalysts ahead include the Tesla Optimus Gen 3 unveiling/production and Chinese humanoid IPOs.

Stocks ideas: We prefer **Leaderdrive**, lifting our PT to Rmb631, as we expect the SKF JV to improve long-term competitiveness and market share. We forecast humanoids to contribute 35%/50% of Leaderdrive's total revenue in 2026/27; **Shuanghuan** remains well positioned through precision reducer gears; while **Hengli Hydraulic** offers unique exposure to both construction machinery recovery and humanoid components.

(Continued on the next page)

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CHINA INDUSTRIALS

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Industry View **In-Line**

Exhibit 1 : Revision summary

Company	Ticker	Rating	Trading Curr	Price Target Old	Price Target New
Wuxi Lead	300450.SZ	OW	RMB	87.0	54.0
Hongfa	600885.SS	OW	RMB	35.0	43.0
Bochu	688188.SS	OW	RMB	169.0	122.0
Envicool	002837.SZ	OW	RMB	118.0	101.0
Leaderdrive	688017.SS	OW	RMB	464.0	631.0
Geekplus	2590.HK	OW	HKD	29.0	20.0
Han's Laser	002008.SZ	OW	RMB	118.0	188.0
Iray	688301.SS	OW	RMB	78.6	140.0
Sinotruk	3808.HK	EW	HKD	36.0	45.0
Estun	002747.SZ	UW	RMB	19.0	29.6

Source: Morgan Stanley Research estimates

Cont'd

Theme 3: Beyond AI, a broadening capex upcycle.

Automation should benefit from broadening capex. We forecast sector sales to grow 5% YoY in 2026, with momentum sustaining into 2027. New orders remain robust across downstream segments. We also expect industrial robot shipments to grow 18% YoY in 2026. **Battery equipment** has pulled back on near-term concerns around capacity expansion tightening and ESS demand; however, we expect replacement demand, the renewable energy transition, and new tech to support equipment demand at a high level.

Stock ideas: **Hongfa** has strong order momentum and should benefit from AIDC 800V architecture in 2027. It trades at a compelling valuation of 28x/22x 2026/27 PE. **Bochu** benefits from a manufacturing capex recovery, structural laser penetration, new products and end-market expansion. **Wuxi Lead** remains our preferred battery equipment name, given its technology leadership, global customer base, expansion into MLCC/SOFC equipment, and attractive valuation.

Theme 4: Export strength.

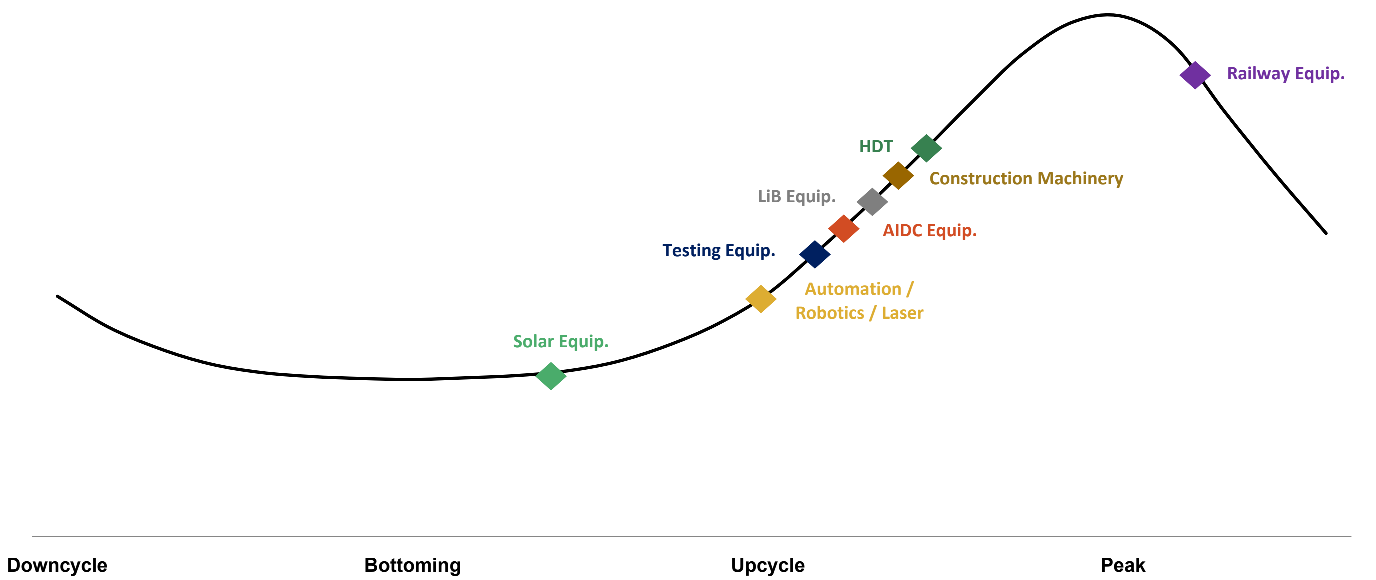
For heavy-duty trucks, we raise our 2026 HDT forecast to 1.27mn units (+11% YoY), including 0.4mn exports, up 22% YoY. Off a high base, we expect 2027 to be largely flat to slightly higher, which prevents us from upgrading the stocks. **Construction machinery** growth continues. We raise our China excavator sales forecast to +21% YoY in 2026, reflecting replacement demand and rising overseas share, which should sustain into 2027–28. We continue to prefer Sany, Zoomlion, Hengli Hydraulic, and Dingli, which combine domestic recovery with resilient overseas growth.

What we would avoid

Our least preferred areas remain traditional infrastructure contractors, railway equipment and solar manufacturing equipment. While valuations appear low in some cases, we see limited earnings acceleration, weaker returns on capital, and fewer catalysts relative to our preferred themes. We therefore remain cautious on CRRC, CSCEC, and SC New Energy, despite pockets of valuation support.

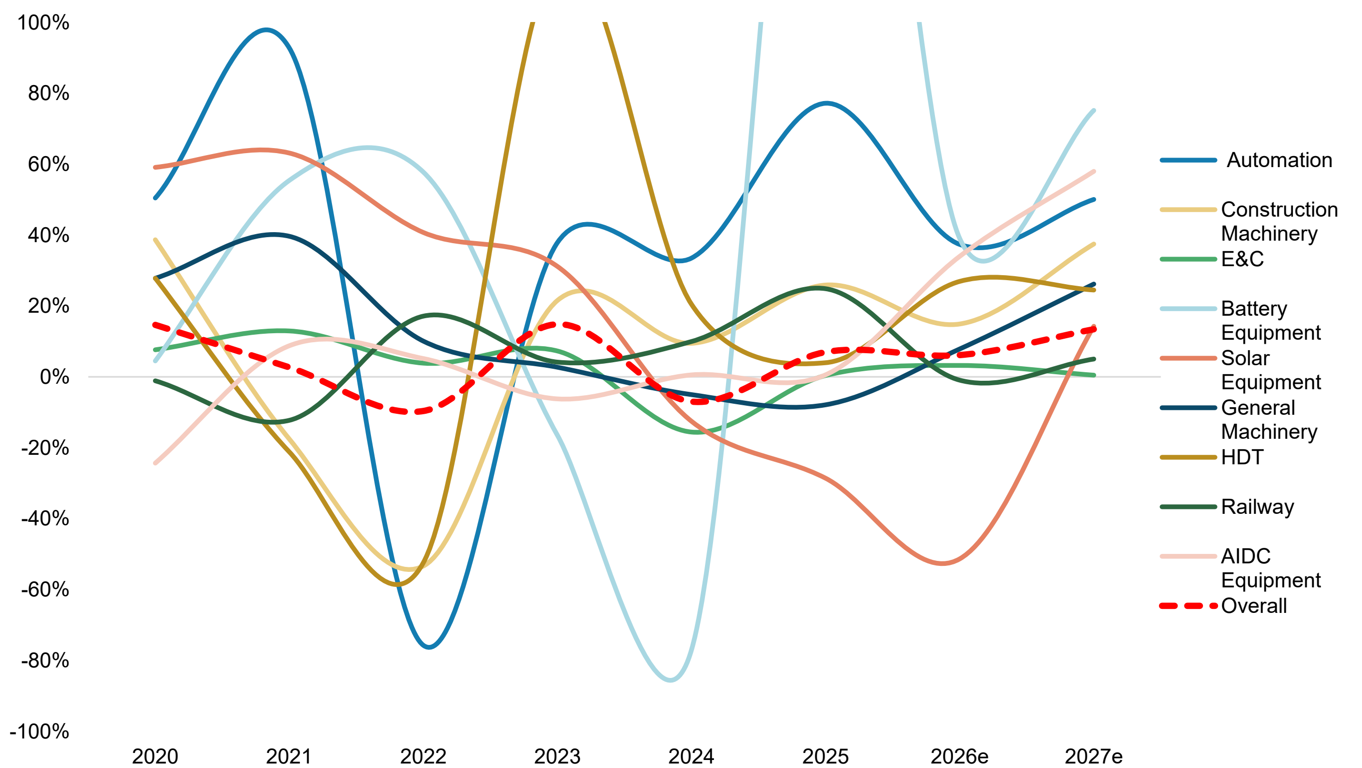
Key Charts

Exhibit 2: Where we are in the cycle



Source: Morgan Stanley Research estimates

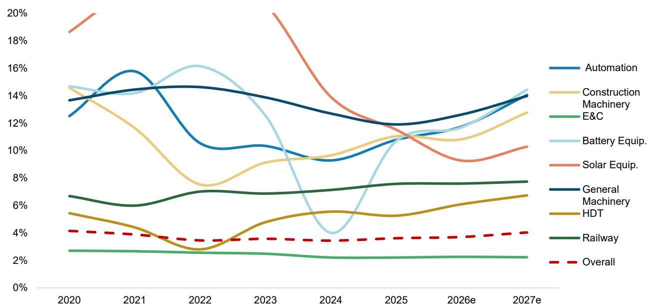
Exhibit 3: Overall industry and key segments – EPS growth history and outlook



Source: Company data, Morgan Stanley Research estimates

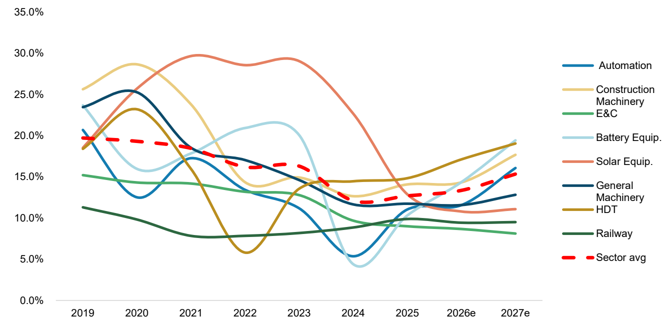
Note: E&C - Engineering and Construction

Exhibit 4: Overall industrial companies' net margins are on an expansion trajectory in 2026-27, especially in up-cycle segments such as automation, construction machinery, and LiB equipment



Source: Company data, Morgan Stanley Research estimates. Note: E&C - Engineering & Construction

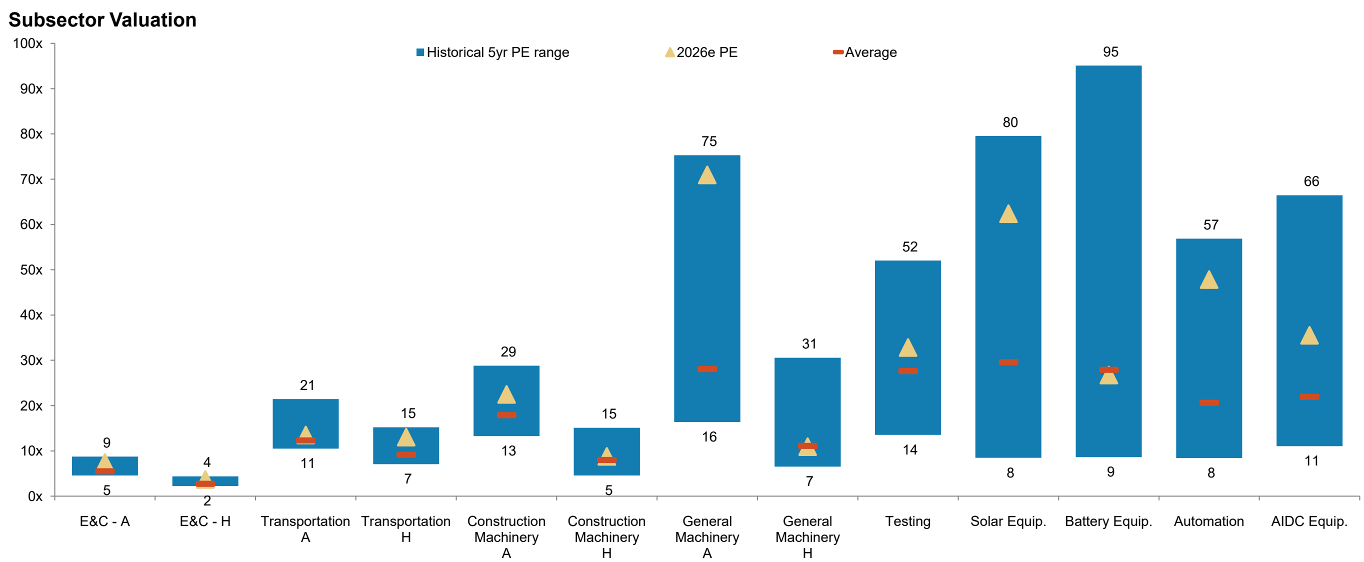
Exhibit 5: We expect China's industrial companies' ROE to improve in 2026-27, supporting re-rating



Source: Company data, Morgan Stanley Research estimates. Note: E&C - Engineering & Construction.

Exhibit 6:

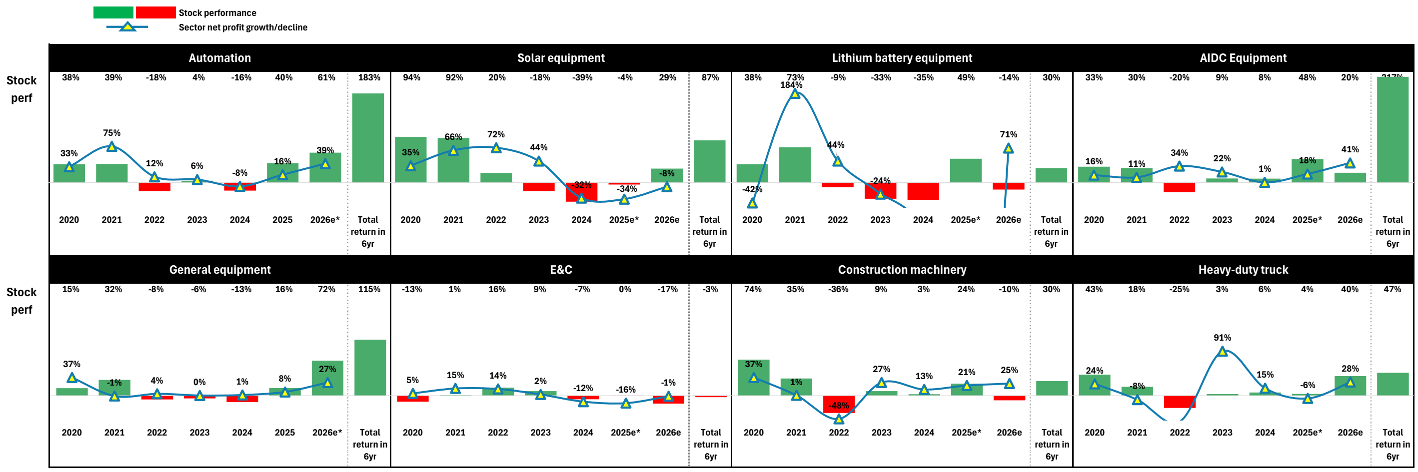
Most segments are trading above their historical five-year average P/E multiples, reflecting the outlook for continuous industrial upgrades, going global, and strong AI+ tailwinds



Source: Factset, Morgan Stanley Research. Stock price as of July 6, 2026.

Note: E&C - Engineering and Construction.

Exhibit 7: Historical stock performance. vs. industry NP growth



Note: 2026e* demonstrates consensus sector net profit growth and actual stock performance in YTD 2026 of each sector.

Source: Factset, Morgan Stanley Research. Stock prices as of July 6, 2026

Exhibit 8: Comps table

Ticker	Company	MS	Trading	Last close	Mkt Cap	EPS Growth (%)		P/E (x)		P/B (x)		P/S (x)		EV/EBITDA (x)		ROE (%)	
	Name	Rating	Curr	7/6/26	US$ (mn)	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
China Infrastructure Construction																	
601668.SS	CSCEC	UW	CNY	4.5	26,547	3%	2%	3.9x	3.8x	0.4x	0.3x	0.1x	0.1x	8.0x	8.3x	9%	9%
0390.HK	CRG-H	EW	HKD	3.4	14,462	4%	-2%	2.9x	3.0x	0.2x	0.2x	0.1x	0.1x	9.1x	9.3x	7%	7%
601390.SS	CRG-A	EW	CNY	4.3	14,462	4%	-2%	3.7x	3.8x	0.3x	0.2x	0.1x	0.1x	9.1x	9.3x	7%	7%
Peers Average						**3%**	**-1%**	**3.5x**	**3.5x**	**0.3x**	**0.2x**	**0.1x**	**0.1x**	**8.7x**	**9.0x**	**8%**	**7%**
Traditional Industrial Equipment																	
1766.HK	CRRC-H	UW	HKD	4.6	20,521	-5%	2%	8.5x	8.3x	0.6x	0.6x	0.6x	0.6x	4.6x	4.5x	9%	9%
601766.SS	CRRC-A	UW	CNY	5.4	20,521	-5%	2%	9.9x	9.7x	0.8x	0.8x	0.5x	0.5x	4.6x	4.5x	9%	9%
000338.SZ	Weichai Power-A	OW	CNY	29.6	34,769	31%	31%	18.1x	13.8x	2.3x	2.1x	0.9x	0.8x	6.6x	5.0x	14%	16%
2338.HK	Weichai Power-H	OW	HKD	37.5	34,769	31%	31%	22.9x	17.5x	2.6x	2.3x	1.1x	1.0x	6.6x	5.0x	14%	16%
600031.SS	Sany	OW	CNY	18.9	24,049	15%	39%	17.2x	12.4x	1.8x	1.6x	1.6x	1.4x	8.1x	6.9x	11%	14%
601100.SS	Hengli	OW	CNY	117.5	21,827	19%	37%	48.3x	35.2x	7.7x	6.7x	10.6x	8.7x	33.2x	25.8x	18%	22%
1157.HK	Zoomlion-H	OW	HKD	7.1	8,634	6%	40%	12.2x	8.7x	0.9x	0.8x	1.1x	0.9x	9.5x	7.4x	9%	12%
000157.SZ	Zoomlion-A	OW	CNY	7.3	8,634	6%	40%	12.5x	8.9x	1.0x	1.0x	1.0x	0.8x	9.5x	7.4x	9%	12%
3808.HK	Sinotruk	EW	HKD	42.8	14,176	21%	14%	13.9x	12.2x	2.0x	1.8x	0.9x	0.8x	6.1x	4.7x	17%	18%
603338.SS	Dingli	OW	CNY	53.0	3,501	10%	27%	12.9x	10.1x	1.9x	1.6x	2.3x	2.0x	6.5x	5.2x	17%	19%
3898.HK	Times Electric	EW	HKD	37.5	6,643	7%	10%	12.0x	10.9x	1.0x	0.9x	1.6x	1.5x	6.7x	5.9x	10%	10%
1882.HK	Haitian	EW	HKD	19.7	4,009	3%	8%	9.3x	8.6x	1.0x	0.9x	1.7x	1.6x	4.7x	4.1x	14%	14%
603915.SS	Guomao	UW	CNY	15.3	1,413	18%	17%	32.1x	27.5x	2.4x	2.3x	3.5x	3.3x	14.9x	12.3x	8%	9%
Peers Average						**12%**	**23%**	**17.7x**	**14.1x**	**2.0x**	**1.8x**	**2.1x**	**1.8x**	**9.4x**	**7.6x**	**12%**	**14%**
Advanced manufacturing																	
300124.SZ	Inovance	++	CNY	68.3	27,105	++	++	++	++	++	++	++	++	++	++	++	++
600885.SS	Hongfa	OW	CNY	38.0	7,855	11%	29%	28.4x	22.0x	3.8x	3.2x	2.7x	2.4x	13.7x	10.6x	14%	17%
300012.SZ	Centre Testing	EW	CNY	14.3	3,514	12%	13%	21.4x	19.0x	2.7x	2.4x	3.3x	3.0x	10.5x	9.3x	14%	14%
688017.SS	Leader Drive	OW	CNY	454.0	11,147	63%	58%	402.6x	254.8x	20.6x	19.4x	79.7x	50.9x	253.5x	169.7x	6%	9%
002008.SZ	Han's Laser	OW	CNY	131.0	19,567	106%	69%	56.2x	33.2x	6.8x	5.9x	5.0x	3.9x	35.9x	25.4x	13%	19%
002472.SZ	Shuanghuan	OW	CNY	46.8	5,331	13%	18%	27.5x	23.2x	3.0x	2.6x	3.5x	3.0x	14.1x	11.8x	13%	13%
688301.SS	iRay	OW	CNY	110.5	NA	27%	25%	28.3x	22.6x	NA	NA	N/A	N/A	NA	NA	13%	13%
002690.SZ	Meyer	EW	CNY	14.8	1,873	16%	15%	15.3x	13.3x	4.4x	4.4x	4.3x	3.9x	12.9x	11.2x	30%	34%
002747.SZ	Estun	UW	CNY	46.0	5,206	711%	38%	109.7x	79.4x	18.0x	16.6x	6.2x	5.4x	90.3x	73.7x	11%	12%
688188.SS	Bochu	OW	CNY	103.1	NA	-12%	20%	30.3x	25.3x	NA	NA	15.4x	12.3x	NA	NA	23%	26%
002837.SZ	Envicool	OW	CNY	74.1	10,263	53%	40%	79.9x	57.2x	16.5x	12.4x	8.9x	6.6x	42.2x	28.5x	36%	41%
2590.HK	Geekplus	OW	HKD	12.0	2,001	108%	-1442%	-694.2x	51.7x	3.9x	3.6x	3.0x	2.2x	96.8x	28.4x	3%	9%
Peers Average						**100%**	**33%**	**80.0x**	**55.0x**	**9.5x**	**8.4x**	**14.3x**	**10.2x**	**59.1x**	**42.5x**	**17%**	**20%**
New Energy Equipment																	
300316.SZ	JSG	UW	CNY	48.2	10,370	-130%	-31%	-236.2x	-342.8x	4.2x	4.3x	9.3x	9.6x	187.9x	275.6x	-2%	-3%
300751.SZ	Maxwell	UW	CNY	256.2	10,953	-2%	2%	101.7x	99.8x	8.6x	8.0x	10.2x	9.2x	62.2x	51.4x	7%	8%
300724.SZ	SC New Energy	UW	CNY	68.0	3,589	-78%	-47%	41.5x	78.4x	1.7x	1.7x	3.8x	4.4x	44.1x	162.6x	4%	2%
300776.SZ	DR Laser	EW	CNY	166.8	7,492	66%	15%	52.9x	46.0x	10.1x	8.5x	15.9x	13.1x	54.1x	47.1x	19%	18%
688516.SS	Autowell	UW	CNY	50.5	2,517	105%	48%	17.5x	11.8x	3.7x	3.5x	3.1x	2.8x	14.7x	13.5x	4%	7%
300450.SZ	Wuxi Lead	OW	CNY	37.9	9,429	53%	79%	24.8x	13.9x	3.2x	2.8x	3.2x	2.1x	20.3x	11.4x	15%	22%
688006.SS	Hangke	OW	CNY	28.5	2,913	41%	69%	33.2x	19.6x	3.1x	2.7x	4.2x	3.0x	18.3x	12.3x	13%	16%
Peers Average						**8%**	**19%**	**5.1x**	**-10.5x**	**5.0x**	**4.5x**	**7.1x**	**6.3x**	**57.4x**	**82.0x**	**9%**	**10%**

Source: Factset as of July 6, Morgan Stanley Research (E) estimates. ++ Stock Rating, Price Target, or Estimates for this company have been removed from consideration in this report because, under applicable law and/or Morgan Stanley policy, Morgan Stanley may be precluded from issuing such information with respect to this company at this time.

Order of Preference

Exhibit 9: OW stocks

	Weichai-H	Sany	Wuxi Lead	Han's Laser	LeaderDrive	Hongfa	Shuanghuan	Geekplus	Weichai-A	Bochu	Zoomlion-A	Hangke	Zoomlion-H	Dingli	Envicool	Neway	Hengli	iRay
	2338.HK	600031.SS	300450.SZ	002008.SZ	688017.SS	600885.SS	002472.SZ	2590.HK	000338.SZ	688188.SS	000157.SZ	688006.SS	1157.HK	603338.SS	002837.SZ	603699.SS	601100.SS	688301.SS
Sub-sector	Automation	CM	LiB Equip.	Automation	Automation	Automation	Automation	Automation	Automation	Automation	CM	LiB Equip.	CM	CM	Others	Others	CM	Others
Rating	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight
Trading Currency	HKD	CNY	CNY	CNY	CNY	CNY	CNY	HKD	CNY	CNY	CNY	CNY	HKD	CNY	CNY	CNY	CNY	CNY
Price Target	47.0	28.0	54.0	188.0	631.0	43.0	50.0	20.0	43.0	122.0	11.7	50.0	9.8	67.0	101.0	67.6	133.0	140.0
Current Price	37.5	18.9	37.9	131.0	454.0	38.0	46.8	12.0	29.6	103.1	7.3	28.5	7.1	53.0	74.1	51.1	117.5	110.5
Upside/(Downside) (%)	25%	48%	43%	44%	39%	13%	7%	66%	45%	18%	60%	75%	38%	26%	36%	32%	13%	27%
Market Cap (in USD mm)	38,872.0	25,619.7	9,292.0	20,543.4	12,277.9	8,236.4	5,843.8	2,049.5	38,872.0	4,374.5	9,031.1	2,541.2	9,031.1	3,957.6	13,868.0	5,846.4	23,238.0	3,445.4
Avg Daily Traded Vol (in USD mm)	55.0	244.2	556.7	409.5	245.8	93.6	153.2	12.3	339.0	47.3	103.5	60.3	10.1	49.9	709.0	45.2	168.1	67.5
Street View: Ratings																		
Buy/Overweight	88%	96%	94%	100	71%	90%	91%	100	94%	82%	100	86%	89%	67%	80%	100	82%	91%
Hold/Equal-weight	13%	4%	0%	0%	18%	5%	9%	0%	6%	9%	0%	0%	11%	27%	7%	0%	14%	9%
Sell/Underweight	0%	0%	6%	0%	12%	5%	0%	0%	0%	9%	0%	14%	0%	7%	13%	0%	4%	0%
Morgan Stanley Estimates																		
FY26e	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY
Sales	254,222	104,447	20,260	26,437	950	20,991	10,249	4,159	254,222	2,783	60,602	4,727	60,602	10,169	9,827	9,234	13,980	3,577
EBITDA	34,862	15,882	2,978	3,672	292	4,224	2,521	131	34,862	1,405	8,883	828	8,883	2,617	1,370	2,657	4,171	1,324
EBIT	20,694	11,765	2,643	3,112	191	3,072	1,652	113	20,694	1,364	7,579	701	7,579	2,419	1,295	2,480	3,569	693
EPS	1.64	1.10	1.53	2.33	1.13	1.34	1.69	(0.02)	1.64	3.40	0.58	1.27	0.58	4.11	0.82	2.47	2.43	2.79
FY27e																		
Sales	288,156	119,534	30,011	36,265	1,488	24,123	11,983	5,484	288,156	3,418	72,360	6,656	72,360	11,624	13,621	10,625	16,959	4,561
EBITDA	41,242	18,283	5,031	5,501	439	5,092	2,924	323	41,242	1,701	11,134	1,207	11,134	3,076	2,139	3,095	5,297	1,616
EBIT	26,047	14,814	4,689	4,913	304	3,790	1,969	303	26,047	1,658	9,413	1,068	9,413	2,851	2,042	2,910	4,546	909
EPS	2.14	1.52	2.73	3.94	1.78	1.73	2.02	0.23	2.14	4.08	0.82	1.83	0.82	5.22	1.29	2.91	3.34	3.49
FY26 MSe vs. Consensus Mean																		
Sales	-0.5%	1.7%	5.8%	2.5%	10.5%	2.0%	-0.2%	-0.4%	0.5%	2.6%	2.2%	13.5%	2.3%	2.8%	0.0%	-0.8%	3.9%	9.1%
EBITDA	-0.8%	1.6%	-3.8%	8.8%	18.7%	0.2%	-8.2%	-55.9%	2.7%	-3.0%	8.3%	44.0%	9.8%	-2.2%	-2.9%	3.1%	-2.6%	26.3%
EBIT	-2.5%	-4.3%	-2.5%	10.6%	6.8%	2.3%	-3.5%	-28.8%	-0.7%	1.0%	14.3%	72.8%	14.9%	2.6%	-0.5%	2.0%	-2.6%	-8.8%
EPS	-1.7%	-6.8%	1.1%	-0.9%	10.0%	-1.1%	-1.2%	-117.7%	-1.5%	0.6%	-12.2%	45.3%	-10.7%	-2.5%	-8.7%	-2.2%	-3.1%	-3.3%
FY27 MSe vs. Consensus Mean																		
Sales	2.2%	2.5%	25.8%	12.4%	19.2%	1.2%	1.4%	-0.6%	4.7%	1.9%	5.9%	26.8%	6.2%	4.4%	-8.9%	-2.1%	7.0%	6.6%
EBITDA	1.1%	-0.3%	25.1%	17.6%	22.4%	2.1%	-6.1%	-42.5%	6.7%	-4.8%	15.1%	59.3%	17.1%	2.2%	3.7%	0.9%	3.9%	21.0%
EBIT	1.2%	-0.7%	25.5%	16.2%	16.8%	3.0%	-1.4%	-33.7%	4.5%	-1.2%	17.3%	90.9%	19.4%	6.9%	1.0%	0.6%	2.3%	-7.5%
EPS	4.3%	4.4%	34.4%	15.9%	18.9%	3.5%	0.9%	-23.8%	5.6%	-1.6%	-0.3%	58.5%	1.9%	7.6%	-9.6%	-4.2%	6.5%	-5.2%
Valuation Multiples at Last Close																		
FY26e																		
P/E	19.8x	17.2x	24.8x	56.2x	402.6x	28.4x	27.6x	-600.0x	18.1x	30.3x	12.5x	22.5x	10.5x	12.9x	90.4x	20.7x	48.3x	39.6x
EV/EBIT	12.0x	11.8x	22.4x	44.2x	427.1x	18.7x	23.6x	100.4x	12.0x	19.9x	11.4x	17.9x	11.4x	8.3x	72.5x	15.8x	41.4x	34.0x
EV/EBITDA	7.1x	8.7x	19.9x	37.4x	279.1x	13.6x	15.5x	86.2x	7.1x	19.3x	9.8x	15.2x	9.8x	7.6x	68.5x	14.7x	35.4x	17.8x
EV/Sales	1.0x	1.3x	2.9x	5.2x	85.9x	2.7x	3.8x	2.7x	1.0x	9.8x	1.4x	2.7x	1.4x	2.0x	9.6x	4.2x	10.6x	6.6x
FCF Yield	4.1%	6.9%	-8.8%	0.7%	-0.1%	-1.4%	2.4%	-1.5%	4.1%	4.7%	1.8%	0.7%	1.8%	10.5%	0.6%	2.9%	1.6%	-1.1%
FY27e																		
P/E	15.2x	12.4x	13.9x	33.2x	254.8x	22.0x	23.2x	44.7x	13.8x	25.3x	8.9x	15.6x	7.5x	10.1x	57.2x	17.5x	35.2x	31.7x
EV/EBIT	8.5x	9.2x	12.0x	27.8x	269.2x	15.0x	19.2x	36.9x	8.5x	16.0x	9.0x	11.5x	9.0x	6.7x	46.1x	13.5x	32.0x	24.9x
EV/EBITDA	5.4x	7.5x	11.2x	24.8x	186.8x	11.1x	12.9x	34.6x	5.4x	15.6x	7.6x	10.2x	7.6x	6.2x	44.0x	12.7x	27.5x	14.0x
EV/Sales	0.8x	1.1x	1.9x	3.8x	55.1x	2.4x	3.2x	2.0x	0.8x	7.8x	1.2x	1.8x	1.2x	1.6x	6.9x	3.7x	8.6x	5.0x
FCF Yield	12.0%	7.4%	5.8%	1.3%	-0.2%	2.3%	2.6%	0.6%	12.0%	5.6%	10.6%	2.3%	10.6%	5.8%	0.6%	3.9%	2.3%	4.2%

Source: Factset as of July 6, Morgan Stanley Research estimates

Exhibit 10: EW stocks

	Sinotruk	CRG-H	Meyer	CRG-A	Haitian	Times Electric	CTI
	3808.HK	0390.HK	002690.SZ	601390.SS	1882.HK	3898.HK	300012.SZ
Sub-sector	HDT	E&C	Others	E&C	Automation	Railway	Others
Rating	Equal-weight	Equal-Weight	Equal-Weight	Equal-Weight	Equal-Weight	Equal-Weight	Equal-Weight
Trading Currency	HKD	HKD	CNY	CNY	HKD	HKD	CNY
Price Target	45.0	4.6	20.0	5.8	24.0	39.0	13.0
Current Price	42.8	3.4	14.8	4.3	19.7	37.5	14.3
Upside/(Downside) (%)	5%	35%	35%	35%	22%	4%	-9%
Market Cap (in USD mm)	15,074.0	14,646.8	1,928.6	14,646.8	4,008.8	6,778.7	3,524.0
Avg Daily Traded Vol (in USD mm)	28.4	16.0	18.4	146.0	6.0	17.4	65.9
Street View: Ratings							
Buy/Overweight	94%	100	75%	100	100	67%	94%
Hold/Equal-weight	6%	0%	25%	0%	0%	33%	6%
Sell/Underweight	0%	0%	0%	0%	0%	0%	0%
Morgan Stanley Estimates							
FY26e	CNY	CNY	CNY	CNY	CNY	CNY	CNY
Sales	127,910	1,179,319	2,929	1,179,319	18,647	31,637	7,282
EBITDA	11,692	69,205	871	69,205	4,514	6,030	2,118
EBIT	9,749	56,046	840	56,046	3,933	4,683	1,661
EPS	3.08	1.16	0.97	1.16	2.13	3.13	0.67
FY27e							
Sales	140,936	1,197,043	3,266	1,197,043	19,820	34,974	7,962
EBITDA	12,824	71,385	1,000	71,385	4,863	6,662	2,343
EBIT	10,837	57,535	969	57,535	4,232	5,201	1,838
EPS	3.52	1.13	1.11	1.13	2.29	3.45	0.75
FY26 MSe vs. Consensus Mean							
Sales	1.8%	16.2%	10.4%	15.8%	-2.7%	-0.8%	-4.3%
EBITDA	-0.4%	29.3%	-4.2%	23.2%	-1.3%	-6.1%	15.4%
EBIT	-2.4%	56.0%	5.5%	43.0%	-0.7%	-3.1%	29.7%
EPS	3.1%	37.8%	3.9%	28.5%	-4.6%	-4.6%	-5.5%
FY27 MSe vs. Consensus Mean							
Sales	1.7%	16.8%	12.1%	8.3%	-5.4%	-0.8%	-7.1%
EBITDA	-3.3%	26.9%	0.3%	14.5%	-3.6%	-5.3%	12.3%
EBIT	-5.2%	53.9%	9.7%	21.5%	-3.3%	-3.5%	23.6%
EPS	3.8%	33.3%	7.6%	10.2%	-6.3%	-6.3%	-7.6%
Valuation Multiples at Last Close							
FY26e							
P/E	12.0x	2.5x	15.3x	3.7x	8.0x	10.4x	21.4x
EV/EBIT	8.9x	11.3x	13.8x	11.3x	5.8x	8.8x	13.5x
EV/EBITDA	7.4x	9.1x	13.3x	9.1x	5.0x	6.8x	10.6x
EV/Sales	0.7x	0.5x	3.9x	0.5x	1.2x	1.3x	3.1x
FCF Yield	15.6%	-13.1%	6.1%	-13.1%	8.7%	1.2%	2.6%
FY27e							
P/E	10.5x	2.6x	13.3x	3.8x	7.4x	9.4x	19.0x
EV/EBIT	7.1x	11.6x	11.9x	11.6x	5.0x	7.7x	11.8x
EV/EBITDA	6.0x	9.3x	11.6x	9.3x	4.4x	6.0x	9.3x
EV/Sales	0.5x	0.6x	3.5x	0.6x	1.1x	1.1x	2.7x
FCF Yield	15.1%	4.7%	7.0%	4.7%	10.4%	4.4%	3.1%

Source: Factset as of July 6 , Morgan Stanley Research estimates

Exhibit 11: UW stocks

	CRRC-A	CRRC-H	CSCEC	Guomao	Estun	SC New Energy	Autowell	Maxwell
	601766.SS	1766.HK	601668.SS	603915.SS	002747.SZ	300724.SZ	688516.SS	300751.SZ
Sub-sector	Railway	Railway	E&C	Automation	Automation	Solar Equip.	Solar Equip.	Solar Equip.
Rating	Underweight	Underweight	Underweight	Underweight	Underweight	Underweight	Underweight	Underweight
Trading Currency	CNY	HKD	CNY	CNY	CNY	CNY	CNY	CNY
Price Target	5.9	5.0	4.7	13.0	29.6	56.0	41.0	166.0
Current Price	5.4	4.6	4.5	15.3	46.0	68.0	50.5	256.2
Upside/(Downside) (%)	8%	8%	4%	-15%	-36%	-18%	-19%	-35%
Market Cap (in USD mm)	20,975.0	20,975.0	27,143.4	1,482.5	5,900.8	3,487.0	2,347.3	10,560.2
Avg Daily Traded Vol (in USD mm)	145.3	15.2	177.6	28.8	125.5	291.5	96.6	278.1
Street View: Ratings								
Buy/Overweight	100%	80%	83%	100%	29%	56%	100%	73%
Hold/Equal-weight	0%	0%	17%	0%	57%	22%	0%	9%
Sell/Underweight	0%	20%	0%	0%	14%	22%	0%	18%
Morgan Stanley Estimates								
FY26e	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY
Sales	283,519	283,519	2,215,090	2,754	5,909	6,377	5,510	7,328
EBITDA	27,423	27,423	116,868	470	446	429	1,109	1,232
EBIT	17,758	17,758	105,603	277	246	338	1,006	448
EPS	0.55	0.55	1.18	0.47	0.29	1.43	0.58	2.19
FY27e								
Sales	289,976	289,976	2,261,360	2,901	7,099	5,491	6,022	8,100
EBITDA	28,974	28,974	121,580	552	560	116	1,251	1,504
EBIT	18,698	18,698	110,019	340	337	52	1,133	572
EPS	0.56	0.56	1.20	0.56	0.44	0.63	1.00	2.64
FY26 MSe vs. Consensus Mean								
Sales	-1.8%	-1.1%	-1.7%	-10.9%	0.4%	-3.9%	-18.1%	-6.4%
EBITDA	-3.0%	-3.1%	-3.5%	-5.3%	-17.6%	-71.3%	9.1%	-16.1%
EBIT	-6.1%	-5.2%	-0.7%	-9.9%	-24.5%	-76.7%	10.4%	-66.8%
EPS	4.6%	2.0%	14.0%	-5.8%	2.0%	-58.2%	-72.6%	-36.9%
FY27 MSe vs. Consensus Mean								
Sales	-4.2%	-2.7%	-2.4%	-16.3%	5.1%	-15.1%	-13.3%	-21.0%
EBITDA	-2.6%	-2.5%	-4.0%	0.6%	-12.9%	-92.6%	8.6%	-22.9%
EBIT	-8.6%	-5.8%	-0.9%	-5.7%	-22.7%	-96.1%	12.0%	-68.5%
EPS	-0.7%	-2.1%	11.9%	-4.4%	22.2%	-82.2%	-58.3%	-50.0%
Valuation Multiples at Last Close								
FY26e								
P/E	9.9x	7.3x	3.9x	32.1x	156.2x	47.7x	86.6x	117.2x
EV/EBIT	7.3x	7.3x	8.9x	26.8x	173.4x	53.8x	15.0x	164.7x
EV/EBITDA	4.7x	4.7x	8.0x	15.8x	95.6x	42.4x	13.6x	59.9x
EV/Sales	0.5x	0.5x	0.4x	2.7x	7.2x	2.9x	2.7x	10.1x
FCF Yield	9.1%	9.1%	-16.3%	3.8%	0.2%	6.7%	5.5%	-0.1%
FY27e								
P/E	9.7x	7.1x	3.8x	27.5x	105.2x	107.1x	50.6x	97.2x
EV/EBIT	7.2x	7.2x	9.2x	21.4x	128.0x	346.1x	13.9x	130.3x
EV/EBITDA	4.6x	4.6x	8.3x	13.2x	77.0x	156.2x	12.6x	49.5x
EV/Sales	0.5x	0.5x	0.4x	2.5x	6.1x	3.3x	2.6x	9.2x
FCF Yield	6.1%	6.1%	-13.9%	4.6%	-0.4%	0.6%	-3.6%	1.7%

Source: Factset as of July 6, Morgan Stanley Research estimates

Sector Outlook

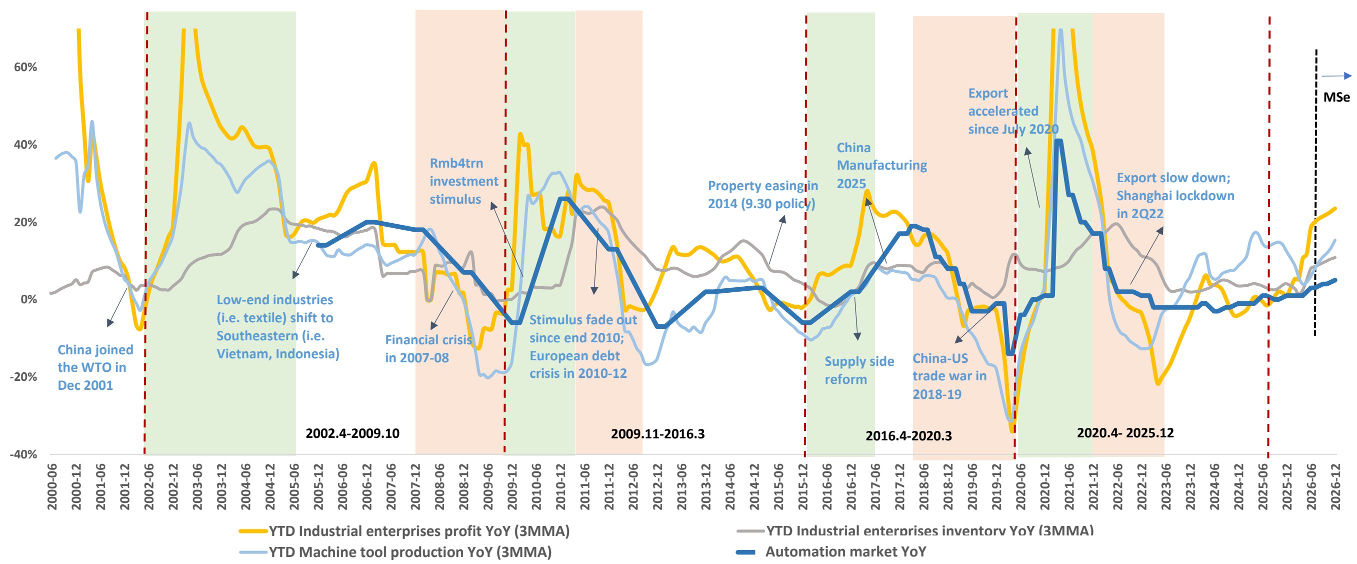
Automation and General Equipment

Automation upcycle sustains in 2026-27 on super capex cycle. With improving profitability among industrial enterprises (5M26: +19% y-y), automation demand is in an upcycle, supported by solid YTD order intake that reflects both a recovery in traditional downstream segments and strong growth in tech-driven industries.

We expect automation market sales to grow ~5% y-y in 2026 (vs. +1% y-y in 1Q26 based on MIR data), with momentum sustaining into 2027. Growth should be driven by broader AI/physical AI application demand (intelligent robots, PCB equipment, AI wearables and electronics, and AI embedded equipment), as well as replacement demand and equipment companies' increasing export competitiveness.

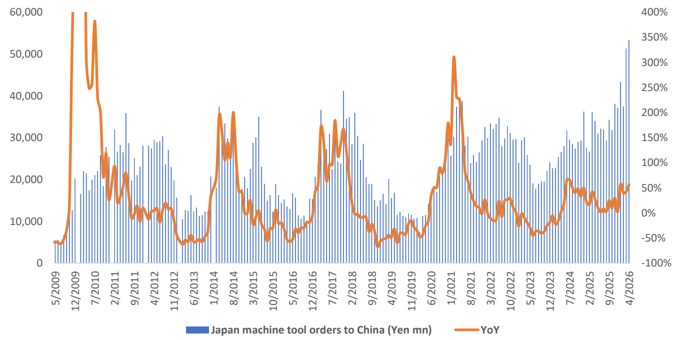
AI transformation has also become a central theme for automation companies, with leading players outlining strategies to deliver AI solutions and embodied-AI products. Overseas expansion efforts are also ongoing and should become a long-term growth driver.

Exhibit 12: We expect automation market demand to enter a clear upcycle in 2026–27



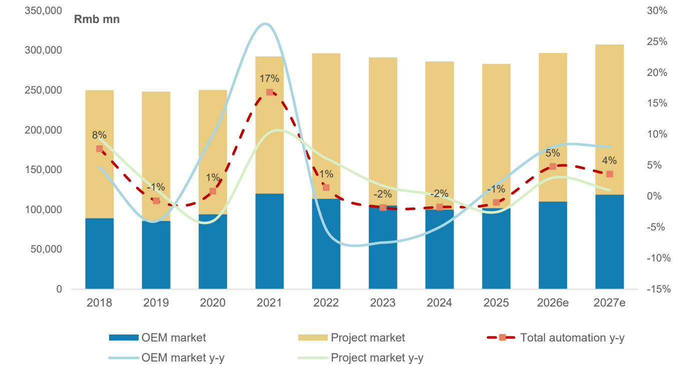
Source: NBS, MIR, Morgan Stanley Research estimates

Exhibit 13: Japan machine tool orders to China have shown solid growth momentum



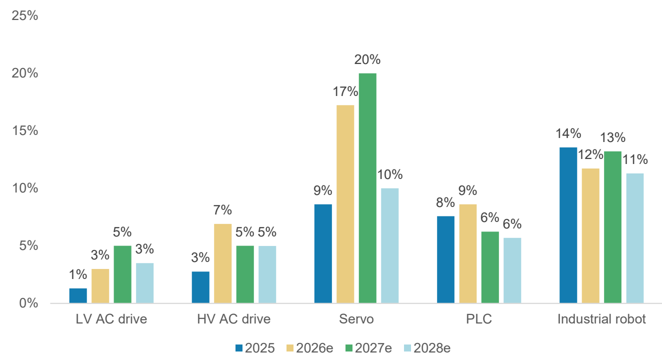
Source: JMTBA, Morgan Stanley Research

Exhibit 14: OEM market to grow faster on AI tailwinds; project market to underperform due to downstream overcapacity



Source: MIR, Morgan Stanley Research. E= Morgan Stanley Research estimates

Exhibit 15: Key automation products in 2026–27 — servo and industrial robots to grow faster



Source: MIR, Morgan Stanley Research. E= MIR estimates

Stock ideas: We stick to high-quality names with clear market share gains, strong pricing power, and business scope expansion.

- **Hongfa (600885.SS, OW) raise PT to Rmb43:** We lift our 2026 revenue growth forecast to 22% YoY, exceeding management guidance of 15-20%, driven by strong momentum across downstream segments (particularly HVDC and new energy relays). We expect 2Q26 revenue growth of +23% YoY, supported by sustained YTD order intake, particularly in HVDC and new energy relays. We expect NP growth of +10% YoY, dragged by FX losses. Hongfa is currently trading at 22x 2027e P/E. We are positive on its global business presence, diversified downstream exposure, continued market share gains supported by rapid product iteration, and new product opportunities (such as AIDC/800V offerings). These should provide room for a re-rating to 25x (historical average +1sd).

- **Bochu (688188.SS, OW):** We believeBochu is benefitting from both the domestic capex upcycle and rising laser penetration, especially in precision manufacturing. Bochu continues to gain share and is proactively expanding its product lineup (e.g. to cutting heads and welding robot motion control systems), as well as downstream exposure (e.g. shipbuilding). The stock is currently trading at 25x 2027e P/E.

Robotics (Humanoids & Industrial Robots)

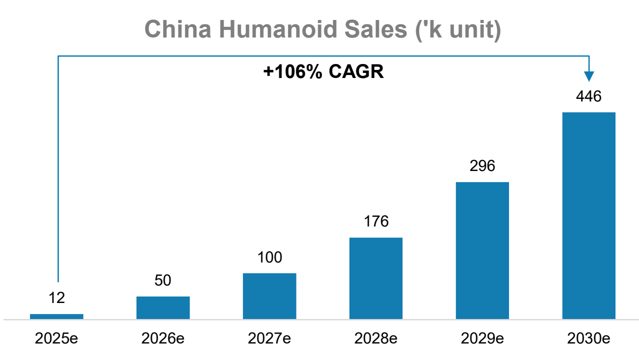
Commercial verification, policy execution, and supplier feedback all point to a faster humanoid adoption curve in China in 2H26. We expect China humanoid shipments of 50k units in 2026e and 446k units by 2030e, underpinned by integrators' competition to accumulate deployment scale and close the real-world data feedback loop. Use cases are broadening across factory lines, logistics sorting, unmanned retail, and commercial services, etc. We expect 1H26 pilot projects to begin converting into broader deployments from 2H26. We also forecast the shipment mix to shift progressively toward full-size humanoids, reaching c.30% of shipments in 2026, c.50% in 2027, and c.70% in 2028.

Policy support is also shifting to operational deployment: MIIT and SASAC launched a nationwide initiative to push humanoid robots into real operational environments, targeting 10k-level deployment capacity and more than 100 high-value applications by end-2026. The initiative requires local governments and central SOEs to identify real operating sites for training and validation (≥20/province, ≥10/central SOE).

Supply-chain checks support a more constructive 2026-27 volume outlook. We see: 1) suppliers continuing to expand capacity in anticipation of rising humanoid demand. For instance, according to the National Bureau of Statistics, China robotics reducer production volume growth accelerated to 45% in May-26, from 38% in Apr-26; 2) component shipments and revenue scaling quickly; and 3) demand emerging for equipment and automated production lines, suggesting the industry is moving toward scalable manufacturing preparation.

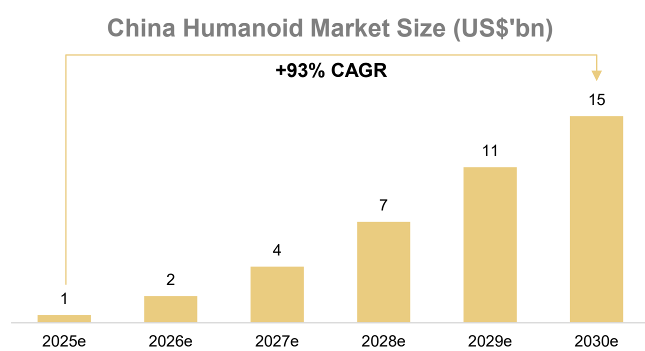
The 2H26 catalysts should further sustain investor attention. See Exhibit 19 or our catalyst preview report.

Exhibit 16: We now forecast China humanoid shipments to reach 50k and 446k in 2026e/30e, implying a CAGR of +106% over 2025-30e.



Source: Morgan Stanley Research estimates

Exhibit 17: ...implying a market size of US$2bn/$15bn in 2026e/2030e.



Source: Morgan Stanley Research estimates

Exhibit 18: We expect the industry's blended ASP to decline 15% in 2026 but rise 5%/2% in 2027/28, mainly due to the increasing adoption of full-size humanoids

Source: Morgan Stanley Research estimates

Exhibit 19: Upcoming catalysts

Date	Catalyst
Jun 30	UBTECH's UWORLD U1 Launch Event
July	World Artificial Intelligence Conference 2026 (WAIC)
Aug 19-23	World Robot Conference 2026 (WRC)
Aug 22-26	2nd World Humanoid Robot Games
3Q26	Tesla Optimus Gen3 unveil & production update
Aug/Oct	2Q26 & 3Q26 earnings release
-	Other integrators' production and commercialization update Commercial order announcement for real use cases

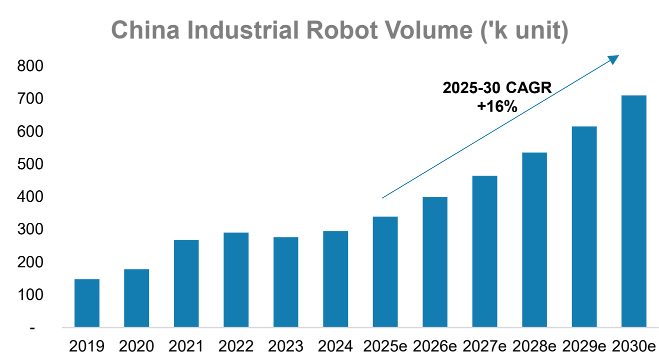
IPO Pipeline	Status
Unitree	Passed the Shanghai Stock Exchange listing committee review on June 1, awaiting CSRC registration
DeepRobot	Filed prospectus on May 18
Leju	Filed prospectus on May 19

Source: Morgan Stanley Research

We expect the China industrial robot market to grow 18% YoY in 2026e, above MIR's estimate of +12% YoY. Robust demand is supported by: 1) resilient domestic demand across downstream segments (particularly electronics, battery, auto parts manufacturing); and 2) overseas share gains. NBS data show China's industrial robot output reached 424k units in 5M26, up 28% YoY (vs. 26% in 4M26); industrial robot export growth accelerated to 40% YoY in 5M26 (vs. 35% in 4M26).

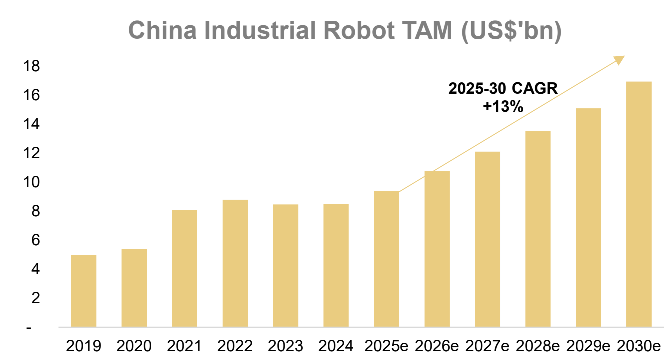
We are positive on industrial robot volume growth. Strong demand could partially ease price competition and margin pressure. However, competition remains intense, especially for second-tier players. With more industrial and collaborative robot companies potentially coming to IPO, competitive pressure is likely to persist.

Exhibit 20: We are more optimistic on China industrial robot shipments, expecting +18% YoY growth in 2026e...



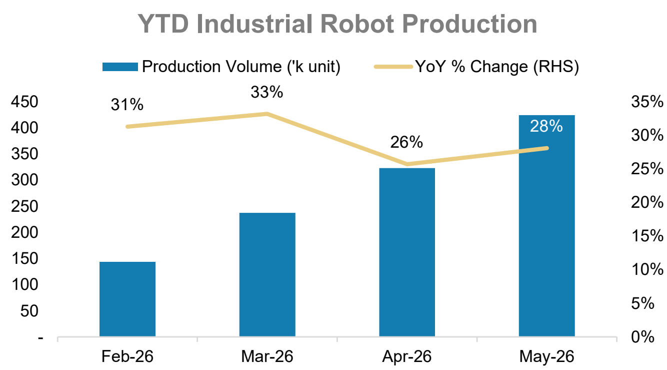
Source: IFR, MIR, Morgan Stanley Research estimates

Exhibit 21: ...implying a US$11bn market in 2026e and US$17bn by 2030e.



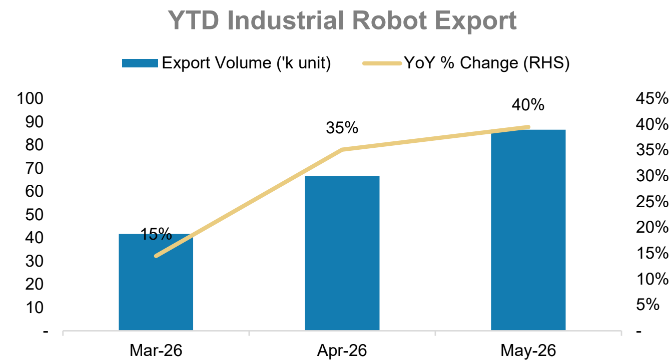
Source: IFR, MIR, Morgan Stanley Research estimates

Exhibit 22: China industrial robot production growth remains robust



Source: NBS, Morgan Stanley Research.

Exhibit 23: Industrial robot exports accelerated in May



Source: NBS, Morgan Stanley Research.

Stock ideas:

- **Leaderdrive (688017.SS, OW):** Its harmonic reducers hold a leading market share among humanoid integrators. Leaderdrive is one of the major beneficiaries of the humanoid volume ramp up, and we expect humanoids to contribute 35%/50% of Leaderdrive's revenue in 2026/27e. With a strong demand outlook, the company has expanded capacity from 50k units/month in 1Q26 to ~70k currently, and targets 100-120k by year-end. Therefore, we forecast its 2Q26 revenue and NP to grow 45% and 46% YoY, respectively.
- **Hengli Hydraulic (601100.SS, OW):** Hengli is a key planetary roller screw supplier for humanoids and could potentially expand its offerings to motors and linear actuator assemblies. Mexico capacity aims to support c.100k robots by year-end. We expect 2Q26 revenue to grow 23% YoY, supported by the global construction machinery upcycle, and NP to grow 10%, mainly due to FX losses and the ramp up of new businesses (industrial screws and the Mexico plant).
- **Shuanghuan (002472.SZ, OW):** Shuanghuan supplies gears for reducer production and has been developing a new reducer with a leading US humanoid integrator for >2 years. We believe its precision gear know-how will transfer into humanoid components. For 2Q26, we expect YoY growth to be slightly better than in 1Q26, with overseas NEV gear ramp up offsetting domestic weakness, although intelligent actuator growth is lower than expected. In our view, GPM should remain stable, while net profit could be impacted by FX losses. The stock is currently trading at 28x 2026e P/E.

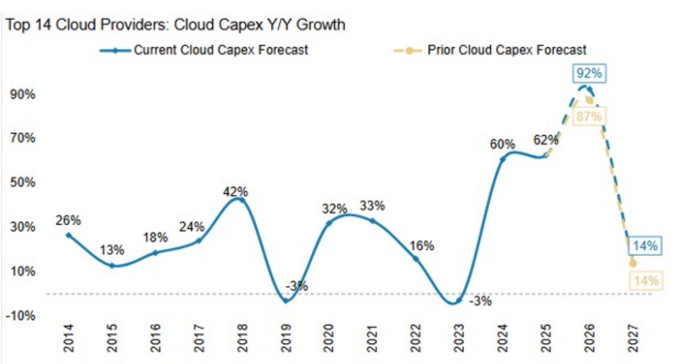
- **Geekplus (2590.HK, OW): We cut our PT to HK$20 but remain OW.** AMR penetration expansion and Geekplus' solid order intake growth remain intact (we expect >35% YoY order intake growth in 2026). Higher investment in embodied AI and overseas channels could pressure margins and extend net loss in 2026, exchanging near-term profitability for future growth. The stock is currently trading at 3x 2026e P/S, attractive versus logistics/warehouse automation peers at 5x and humanoid & autonomous driving peers at 9x. We reiterate OW.

AIDC Equipment

Global AI capex supercycle remains in full swing: After consecutive upward revisions to capex, our US team's latest cloud capex tracker estimates about US$916bn in cloud capex spending in 2026 from the top 14 listed global cloud service providers, up 92% y-y. In China specifically, AI capex growth is also robust, with the top six Chinese companies' annual capex projected to exceed Rm600bn/Rmb700bn in 2026/27. The outlook for AI chip shipments remains optimistic, including both AI GPUs (our Taiwan semi team continues to forecast 70-80k GB200/300 racks in 2026 and ASICs. Resilient AI spending supports capital goods demand sustainability in our view, benefitting core infra/equipment demand across the value chain, including gas turbines, diesel generators, gas engines, liquid cooling systems, PCB equipment, and optical transceiver equipment, etc.

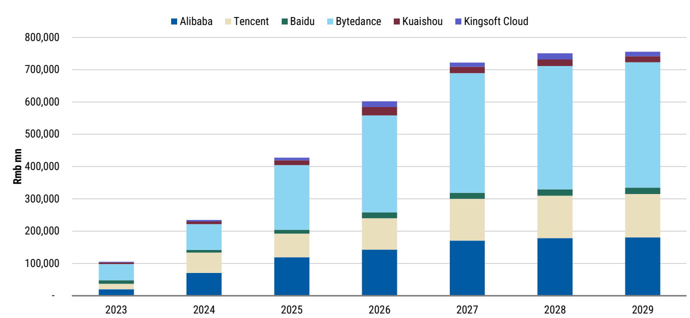
Solid fundamentals for Chinese AIDC equipment names in 2026-27: We stay constructive on key companies' earnings benefiting from the global AI supply chain, despite differences in product offerings. Rapid product iteration is pushing equipment upgrades much faster than before and generating new equipment demand (e.g. testing). For instance, in the Rubin rack BOM, PCB content value shows the biggest increase vs. GB300 among downstream components, at +233%, with the introduction of new modules such as the ConnectX module and the midplane PCB, and there is an increase in layer count and CCL-grade for PCBs as well. Similarly, in optical transceiver, upgrades in CCL materials (M6 to M8), increased layer count (10L to 16L), and a more complex manufacturing process (HDI to mSAP) are driving optical transceiver PCB content value growth. Accordingly, the addressable market for high-end PCB equipment has opened up significantly (e.g. CCD drilling equipment, ultrafast laser equipment, and high-end LDI). We believe rising exposure to high-value AI-related revenue should lift these equipment companies' margins over the medium term, supporting ROE improvement.

Exhibit 24: MS cloud capex tracker now points to 92% YoY growth in 2026 to US$916bn, up 5ppt from a month ago, with 2027 likely understated at +14% YoY



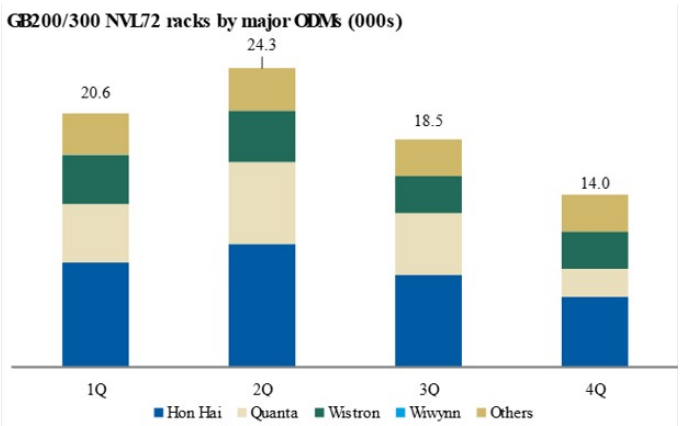
Source: Company data, FactSet, Morgan Stanley Research. Note: Cloud capex includes capex from Amazon, Alphabet, Microsoft, Meta Platforms, CoreWeave, Nebius, IREN, Tesla, Tencent, Baidu, Alibaba, Apple, IBM, and Oracle.

Exhibit 25: Chinese hyderscalers' AI capex remains robust with ~40% y-y growth in 2026 and ~20% y-y in 2027



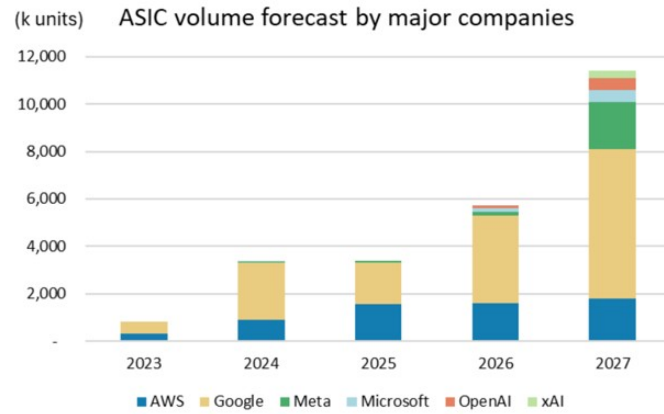
Source: Company data, Morgan Stanley Research estimates.

Exhibit 26: Industry-wide GB200/300 NVL72-equivalent monthly rack output, by major ODMs (2026)



Source: Morgan Stanley Research estimates.

Exhibit 27: ASIC volume forecasts by major companies



Source: Company data, Morgan Stanley Research (e) estimates

Stock ideas:

- **Weichai Power (2338.HK,OW):** Weichai is undergoing a successful transformation from a traditional truck engine company into a broader power and energy equipment platform. Weichai has a broad and competitive product matrix in the AIDC business, with rapid capacity expansion and ongoing market share gains. We think the recent stock pullback presents a buying opportunity. The stock is trading at 22x 2026e P/E.

- **Han's Laser (002008.SZ, OW):** Han's Laser is a leading PCB drilling equipment supplier benefiting from the PCB capex upcycle, with margin expansion supported by a favorable product mix. Its Apple business is also in an up-cycle in 2026-27. In addition, we see product/downstream extensions serving as new growth drivers, including ultrafast laser drilling equipment for 1.6T optical modules, TGV, and engagement in the optical fiber industry (especially fiber preform, hollow-core fiber). The stock is trading at 33x 2026e P/E.

Battery Equipment

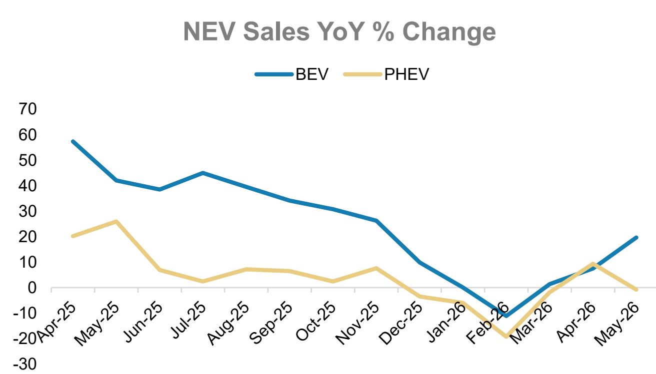
Concerns around battery equipment demand have risen recently, mainly due to weakening downstream demand in EV and ESS, as well as battery manufacturing capacity expansion plans. However, we remain constructive on the outlook for battery equipment players.

- **EV is experiencing weakness but could see a turnaround in 3Q26:** NEV sales in 2026 YTD remain weak, despite edging up in May. Per our China auto team, auto sales have likely found a floor but have yet to regain momentum, with demand still conspicuously weak. That said, the team believes a window is likely to emerge in mid-3Q, supported by low base effects, above-seasonal demand underpinned by solid order books, policy-driven consumption support, and an early ramp in new launches from late July. Soaring export could also offset domestic weakness. The team expects 88% YoY export growth in 2026. Battery demand is supported by strong EV demand in EU particularly. Also, EV battery deployment is moving beyond passenger vehicles to commercial fleets such as trucks. EV batteries should see >20% YoY growth this year, driven by commercial fleets and rising battery capacity per car.

- **ESS biding and export:** China ESS bidding wins slumped in 2Q26, attributed to high lithium prices. China ESS exports declined for two consecutive months, -17% / -20% MoM in Apr / May, likely due to front-loaded demand pull forward before VAT change (9->6%), effective Apr 1. Yet, this is a kind of shipment pattern instead of end-market demand weakening, per our battery analyst. ESS deployment is still strong due to energy security initiatives by many countries. ESS deployment in 2026 is expected to grow >50% YoY.

- **Regulatory tightening on battery capacity, but with less impact on tier 1 & 2 manufacturing:** In April 2026, MIIT, NDRC, SAMR, and NEA hosted a meeting to urge curbing "involution-style" competition in the battery sector, which we view as having limited new measures. Battery is an industry that has faced capacity expansion constraints for years. These measures could impose greater constraints on tier 3 players' irrational plans, while tier 1 & 2 players are likely less affected, despite a prolonged approval process.
- **Geopolitical concerns, but no alternative to China batteries. This could strengthen the position of manufacturers with localized capacity:** Moreover, according to a Bloomberg report on June 3, the EU is increasingly preparing for a broader trade confrontation with China, amid growing concerns over industrial overcapacity, subsidized exports, and widening trade imbalances. Yet our battery team thinks Europe has no alternative to Chinese battery technology and supply chains for energy storage deployment; tariff hikes, if any, will be passed through. CATL's expanding localized European capacity further strengthens this position, potentially reaching ~150GWh next year, along with 30GWh of Indonesia capacity.

Exhibit 28: NEV sales remain weak



Source: CEIC, CAAM, Morgan Stanley Research.

Exhibit 29: China LiB exports slowed down in April and May

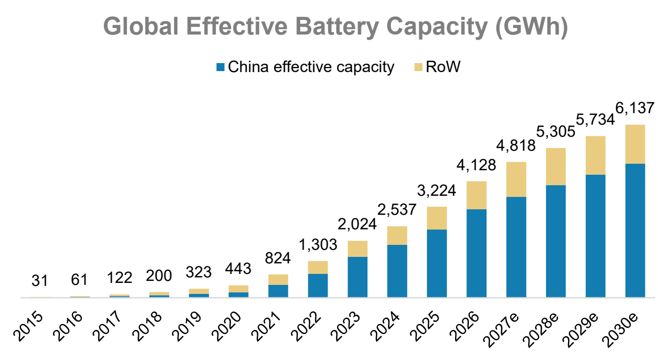
Source: CEIC, China Customs, Morgan Stanley Research

Multiple structural opportunities could outweigh the short-term drag, in our view. According to NBS, LiB battery manufacturing investment grew 25% YoY in 5M26. For 2H26, we believe three structural demand drivers are converging simultaneously, supporting new order intake for battery equipment providers:

- **Replacement cycle:** The large-scale capacity build since 2020 is approaching its five-year end of life, creating visible, non-discretionary baseline demand. Wuxi Lead expects replacement demand to account for 10–15% of 2026 orders, potentially rising to ~30% from 2027.

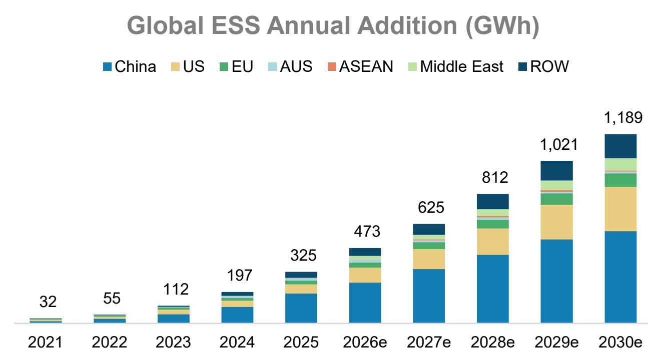
- **Sodium-ion battery commercialization, particularly CATL's push:** Our battery analyst, Jack Lu, expects sodium-ion batteries (NaB) to scale from the pilot stage today to an annual global market of 830GWh by 2030 and 2.4TWh by 2035. CATL is targeting TENER NaB shipments of 1GWh by end-2026, with global deliveries scheduled to commence in June 2027. >10GWh of material supply has been secured now; further supply chain expansion is on the way. We believe CATL's NaB push is particularly favorable for Wuxi Lead, as its share in NaB equipment should be higher than its existing 40–50% share in CATL, given tighter process requirements and its early involvement.
- **Global ESS buildout:** The global ESS opportunity is sized at 5TWh by 2030 vs. ~1TWh currently, representing a 46% CAGR, driven by improving economics and energy security needs. This will gradually reflect in battery equipment order intake, Wuxi Lead expects its EV-to-ESS order mix to shift from ~7:3 in 2025 toward 5:5 in 2026.

Exhibit 30: China battery capacity is expected to expand at a 14% CAGR over 2025–30e...



Source: Company data, Morgan Stanley Research estimates

Exhibit 31: ...supported by strong ESS demand, with global annual additions expected to grow at a 30% CAGR over 2025–30e



Source: Company data, Morgan Stanley Research estimates

Stock ideas:

- **Wuxi Lead (300450.SZ, OW), lowering PT to Rmb54 but maintain a constructive view**, forecasting 2026 full year new order growth of 50% YoY. While new orders are already at a high base, we expect growth to sustain into 2027, supported by replacement demand, sodium battery equipment, and the gradual ramp-up of solid-state battery opportunities. Beyond batteries, the company's expansion into MLCC, SOFC, and humanoid robot automation should further broaden its addressable market and support its long-term growth runway. It is currently trading at 1.8x market cap-to-new orders, which looks attractive.

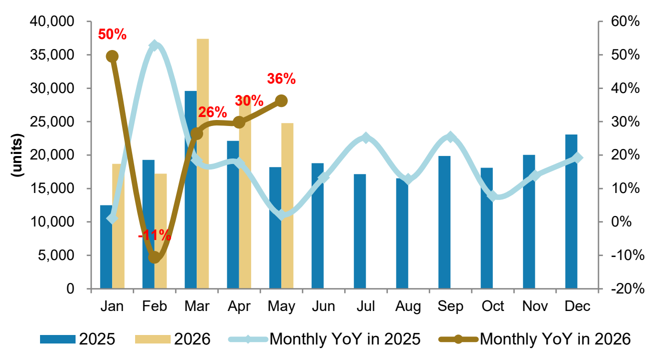
Construction Machinery

We revise up our China excavator shipment forecast to +21% YoY in 2026, from +15% previously.

Recent strong industry data reaffirm our thesis of a domestic upcycle, supported by 1) replacement demand from the previous peak (2020-21), considering a typical 6-8 years lifecycle; 2) solid infrastructure investment, with our China economics team expecting infrastructure investment to grow 8% YoY in 2026 (vs. 2025 -1.5%), supported by the newly planned Rmb800bn in policy-based financing instruments, Rmb500bn carried over from 2H25 (largely unused due to a lack of eligible projects), and front-loading and launch of key national strategic projects under the 15th Five-Year Plan, which should help alleviate the project pipeline bottleneck; and 3) recent price hikes (including by Sany Heavy, Zoomlion, XCMG, and Shantui) could support sequential margin recovery in 2H26

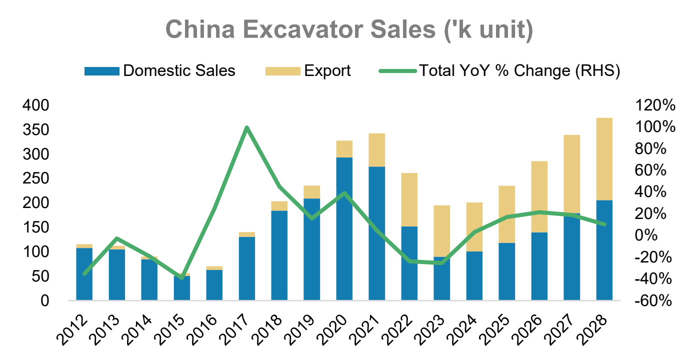
China OEMs' global market share gains remain intact. Overseas growth is supported by demand recovery in developed markets, ongoing urbanization in emerging markets, strong mining demand amid higher commodity prices, and continued market share gains by Chinese OEMs.

Exhibit 32: China excavator sales accelerated to +36% in May-2026 / +25% in 5M26.



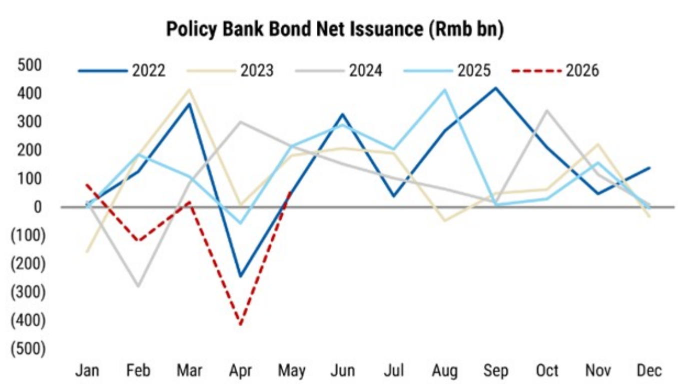
Source: CCMA, Morgan Stanley Research.

Exhibit 33: We revise our China excavator growth to 286k units in 2026 (+21% YoY).



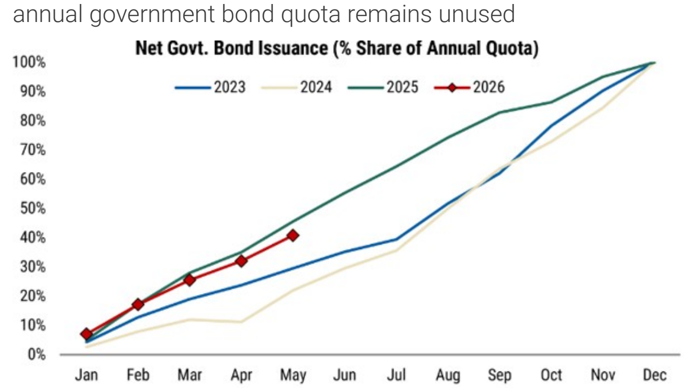
Source: CCMA, Morgan Stanley Research estimates

Exhibit 34: Rollout of the Rmb800bn in quasi-fiscal financing tools for infrastructure remains slow



Source: CEIC, Morgan Stanley Research

Exhibit 35: There is room for policy catch-up: ~60% of the annual government bond quota remains unused



Source: CEIC, Morgan Stanley Research

Stock ideas:

- **Sany Heavy (600031.SS, OW):** Sany expects 2Q revenue to grow c.20% y-y, with overseas revenue up >20% y-y and domestic revenue up c.15% y-y. We are positive on Sany Heavy as an early beneficiary of the global construction machinery upcycle. Supported by its superior overseas execution, including localized manufacturing and management, as well as leadership in electrification, we expect its global market share gains to continue. The stock is currently trading at 17x 2026e P/E.
- **Zoomlion (000157.SZ / 1157.HK, OW):** Zoomlion expects earnings growth to accelerate over the next few quarters as the FX impact eases, and it maintains full-year net profit guidance of ~Rmb6bn. We expect Zoomlion to benefit from the continued global upcycle, particularly as its non-excavator machinery products ramp in the later stage of the upcycle. The stock is currently trading at 12x 2026e P/E.

- **Hengli (601100.SS, OW):** Hengli's market share in the overseas OEM supply chain is continuing to rise. Together with multiple new business expansions (industrial screws/linear actuators, humanoid components), this could support outperformance versus excavator industry growth, in our view. The stock is currently trading at 48x 2026e P/E.

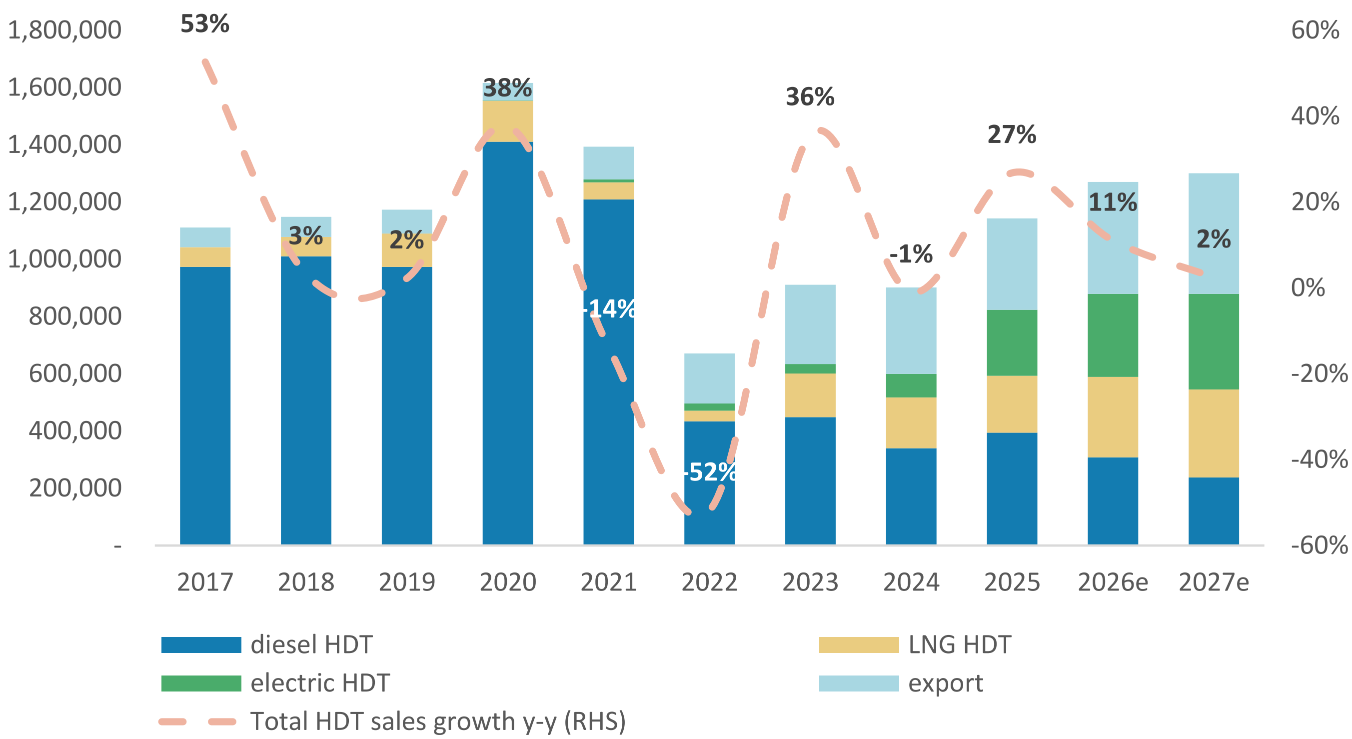
- **Dingli (603338.SS, OW):** We expect Dingli 2026e revenue to grow 19% YoY. The overseas growth thesis remains intact, with positive US sales growth helped by eased tariffs, European sales recovery, and solid infrastructure demand in emerging markets. In 5M26, China AWP sales showed strong momentum (+17 YoY in 5M26, vs. -29% in 2025), supported by robust exports (+35% YoY), while the domestic sales decline continued to narrow (-12% YoY). The stock is currently trading at 13x 2026e P/E.

HDT

We revised up our 2026-27 HDT sales forecasts to 1.27mn/1.3mn units, up 11%/2% y-y. The 1H26 HDT market beat expectations, at 655k units, up ~21% y-y, supported by continued domestic subsidy stimulus, rising electric HDT penetration (1H electric HDT was up >60% y-y with ~30% penetration), as well as robust exports (1H was up ~25% y-y). Heading into 2H26, we expect overall growth to moderate off a high base, but absolute volumes should stay high.

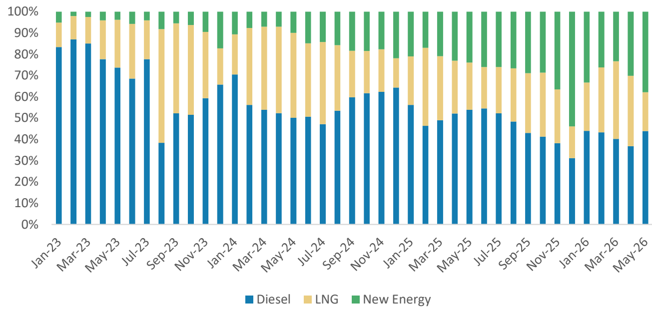
For full-year 2026, we expect total HDT sales to reach 1.27mn units, up 11% y-y, including 880k domestic units (+7% y-y) and 390k export units (+22% y-y). By HDT type, we expect LNG and electric HDT penetration to diverge to 22%/40%, vs. 24%/28% in 2025, respectively. We expect a mild increase in 2027 sales, primarily supported by robust exports. We stay EW on Sinotruk, as we think the HDT recovery has been largely priced in.

Exhibit 36: HDT forecast model - We expect ~11% y-y growth in 2026 to ~1.27mn units – domestic sales to grow 7% y-y and exports to accelerate to 22% y-y



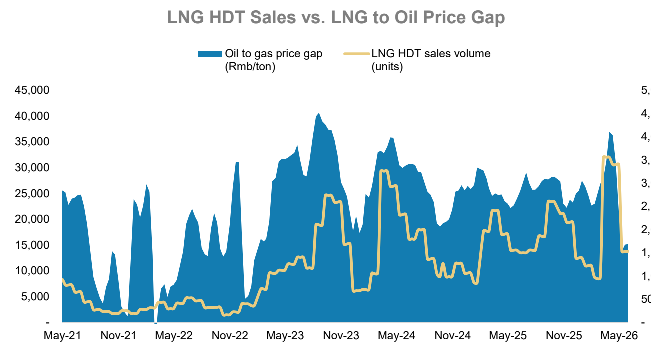
Source: CAAM, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 37: China domestic HDT retail sales by fuel type - both LNG and electric HDT penetration has risen rapidly in YTD2026



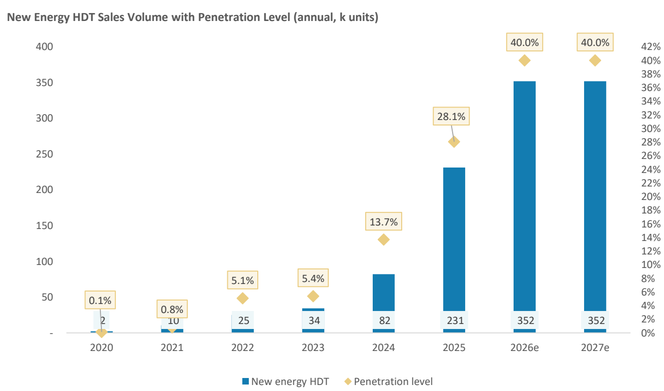
Source: CAAM, CV World, Morgan Stanley Research.

Exhibit 38: Oil-to-gas price gap vs. LNG HDT sales



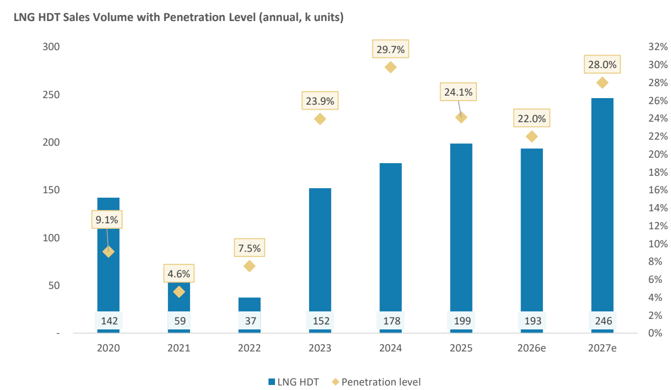
Source: CAAM, Morgan Stanley Research.

Exhibit 39: Electric HDT penetration is expected to rise to 40% in 2026



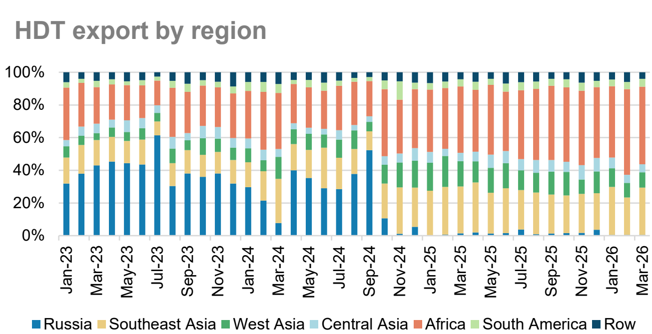
Source: CAAM, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 40: LNG HDT penetration is expected to rise to 22% in 2026



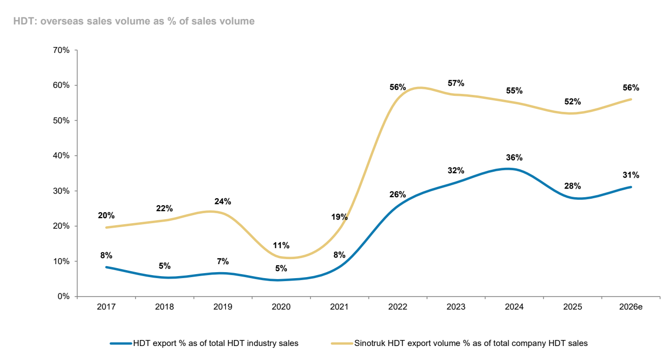
Source: CAAM, Morgan Stanley Research. e = Morgan Stanley Research estimates

Exhibit 41: China's HDT exports by region - Strong momentum seen in Southeast Asia and Africa YTD



Source: China Customs, Morgan Stanley Research.

Exhibit 42: HDT export growth acceleration in 2026 implies higher revenue/net profit contribution for Sinotruk



Source: CAAM, Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Key Changes

Bochu (688188.SS) - Move PT to Rmb122, stay OW

We trimmed 2026-27 net profit estimates by 1/4%, respectively, to reflect 2025/1Q26 actual results, and introduce our 2028 estimates. EPS estimates in 2026-27 are 30%/31% lower considering the stock split in June. We also introduced our 2028 estimates.

We roll over our P/E multiple to 30x 2027e EPS (vs. 35x 2026e previously) to derive our PT of Rmb122 (vs. Rmb169 previously before the stock split). The 30x P/E is largely in-line with Inovance, given Bochu's dominant position in laser cutting motion control systems, but it's still below Bochu's 5-year historical average FY2 P/E of 36x due to our expectation of slower revenue growth in 2026-27.

Exhibit 43: Estimate revisions

	2025A		2026E				2027E				2028E	
Revenue (Rmb mn)		YoY	New	Old	Chg%	YoY	New	Old	Chg%	YoY	New	YoY
Planar (平面解决方案)	1,293	15%	1,465	1,470	-0.3%	13%	1,645	1,651	-0.4%	12%	1,829	11%
Pipe (管材解决方案)	487	28%	628	605	3.7%	29%	776	717	8.2%	24%	959	24%
Three-dimensional (三维解决方案)	64	74%	118	234	-49.4%	85%	207	482	-57.0%	75%	342	65%
Others	322	83%	489	381	28.4%	52%	696	504	38.1%	42%	894	28%
Total Revenue	**2,196**	**27%**	**2,738**	**2,717**	**0.8%**	**25%**	**3,373**	**3,389**	**-0.5%**	**23%**	**4,087**	**21%**
Gross Profit	1,705	23%	2,094	2,127	-1.5%	23%	2,544	2,641	-3.6%	21%	3,064	20%
Selling Expense	137	35%	153	152	0.8%	12%	186	186	-0.5%	21%	225	21%
G&A Expense	156	28%	189	188	0.8%	21%	229	230	-0.5%	21%	278	21%
R&D Expense	341	21%	397	394	0.8%	16%	472	474	-0.5%	19%	572	21%
Operating Profit	1,043	21%	1,320	1,357	-2.7%	27%	1,613	1,703	-5.3%	22%	1,936	20%
Net Profit	**1,113**	**26%**	**1,370**	**1,390**	**-1.4%**	**23%**	**1,643**	**1,707**	**-3.8%**	**20%**	**1,944**	**18%**
Basic EPS (Rmb)	**3.87**	**-10%**	**3.40**	**4.83**	**-29.6%**	**-12%**	**4.08**	**5.94**	**-31.3%**	**20%**	**4.83**	**18%**
Margin												
Gross Margin	77.7%	-2.3%	76.5%	78.3%	-1.8%	-1.2%	75.4%	77.9%	-2.5%	-1.1%	75.0%	-0.5%
Selling Expense / Revenue	6.2%	0.4%	5.6%	5.6%	0.0%	-0.6%	5.5%	5.5%	0.0%	-0.1%	5.5%	0.0%
G&A Expense / Revenue	7.1%	0.1%	6.9%	6.9%	0.0%	-0.2%	6.8%	6.8%	0.0%	-0.1%	6.8%	0.0%
R&D Expense / Revenue	15.5%	-0.6%	14.5%	14.5%	0.0%	-1.0%	14.0%	14.0%	0.0%	-0.5%	14.0%	0.0%
Operating Margin	47.5%	-2.1%	48.2%	49.9%	-1.7%	0.7%	47.8%	50.3%	-2.4%	-0.4%	47.4%	-0.5%
Net Margin	50.7%	-0.2%	50.0%	51.1%	-1.1%	-0.6%	48.7%	50.4%	-1.7%	-1.3%	47.6%	-1.2%

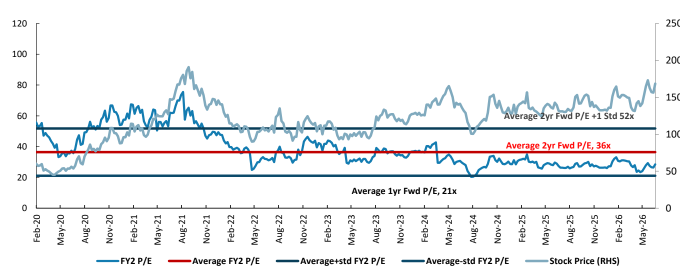
Source: Company data, Morgan Stanley Research estimates

Exhibit 44: P/E valuation methodology

	2023	2024	2025	2026E	2027E	2028E
Net Profit (Rmb, mn)	**729**	**883**	**1,113**	**1,370**	**1,643**	**1,944**
% YoY	52%	21%	26%	23%	20%	18%
Basic EPS (Rmb)	**4.98**	**4.30**	**3.87**	**3.40**	**4.08**	**4.83**
PE multiple					**30**	
Implied PEG (forward year)					1.5	
Equity Value (Rmb mn)					49,299	
Price Target (Rmb)					**122**	

Source: Company data, Morgan Stanley Research estimates

Exhibit 45: FY2 P/E band



Source: Factset, Morgan Stanley Research

Envicool (002837.SZ) - Cut PT to Rmb101, stay OW

We cut 2026-27 revenue estimates by 8%/5% to reflect weak 1Q26 results and potentially lower-than-expected business progress among overseas customers. We trimmed 2026-27 GPM by 2.1/1.7ppt due to the product mix (lower-than-expected overseas revenue contribution). Hence, our net profit estimates are 24% lower in 2026 and 20% lower in

2027, factoring in impairment and FX loss impact. EPS estimates are 42%/38% lower than before after factoring in the stock split in June. We also introduced our 2028 estimates.

For valuation methodology, we continue to use SOTP consisting of DCF+P/E to better capture Envicool's market potential in the overseas liquid cooling market, as we believe its consecutive breakthroughs with US CSPs have broadened its addressable market in the mid-to long term. We use a DCF methodology to discount free cash flow over 2025-2035, with a WACC of 9.7% and 4% terminal growth (vs. 3% previously; reflecting long-term structural adoption of liquid cooling solutions) to derive its overseas liquid cooling business value per share of Rmb80. We anticipate a 48% PAT CAGR in 2026-35 for its overseas liquid cooling business, vs. 42% previously, given higher global AI capex expectations and ongoing rack upgrades with higher cooling value. We roll over to use 30x 2027e P/E (vs. 30x 2026e P/E previously) for its other traditional business to get value per share of Rmb21, versus its historical 5-year average FY2 P/E of 34x. Combining both these values, our new PT is Rmb101 (vs. Rmb118 previously).

Exhibit 46: Estimate revisions

	2025	2026E			2027E			2028E
	Actual	New	Old	*Chg%*	New	Old	*Chg%*	New
Revenue								
Room cooling	3,448	4,733	4,446	*6%*	5,875	5,298	*11%*	7,406
Cabinet cooling	1,977	2,690	2,724	*-1%*	3,445	3,203	*8%*	4,256
Rail transit cooling	45	71	86	*-17%*	75	91	*-17%*	79
Bus cooling	90	132	152	*-13%*	154	169	*-9%*	173
Other business	507	2,202	3,225	*-32%*	4,071	5,541	*-27%*	6,045
Total	6,068	9,827	10,633	*-8%*	13,621	14,302	*-5%*	17,958
Gross Profit	1,691	2,862	3,317	*-14%*	4,180	4,639	*-10%*	5,588
Selling expenses	(254)	(411)	(452)	*-9%*	(555)	(601)	*-8%*	(732)
R&D expenses	(446)	(724)	(780)	*-7%*	(989)	(1,013)	*-2%*	(1,286)
G&A expenses	(244)	(381)	(422)	*-10%*	(523)	(560)	*-7%*	(672)
Operating Profit	548	1,048	1,400	*-25%*	1,688	2,103	*-20%*	2,323
Net Profit	522	1,040	1,373	*-24%*	1,644	2,031	*-19%*	2,258
EPS	0.53	0.82	1.41	*-42%*	1.29	2.08	*-38%*	1.78
Gross Margin	27.9%	29.1%	31.2%	-2.1%	30.7%	32.4%	-1.7%	31.1%
Selling exp as % of Rev	-4.2%	-4.2%	-4.3%	0.1%	-4.1%	-4.2%	0.1%	-4.1%
R&D as % of Rev	-7.3%	-7.4%	-7.3%	0.0%	-7.3%	-7.1%	-0.2%	-7.2%
G&A as % of Rev	-4.0%	-3.9%	-4.0%	0.1%	-3.8%	-3.9%	0.1%	-3.7%
Operating Margin	9.0%	10.7%	13.2%	-2.5%	12.4%	14.7%	-2.3%	12.9%
Net Margin	8.6%	10.6%	12.9%	-2.3%	12.1%	14.2%	-2.1%	12.6%

Source: Company data, Morgan Stanley Research estimates

Exhibit 47: Valuation methodology - SOTP

Envicool overseas liquid cooling business												
CNY mn	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2032E**	**2033E**	**2034E**	**2035E**	**Terminal Value**
Discounted cash flow analysis												
Revenue	**315**	**2,075**	**3,938**	**5,905**	**11,368**	**17,643**	**27,523**	**39,040**	**49,008**	**59,455**	**71,279**	
---y-y		560%	90%	50%	93%	55%	56%	42%	26%	21%	20%	
Profit after tax	**63**	**411**	**772**	**1,181**	**2,251**	**3,458**	**5,340**	**7,496**	**9,311**	**11,177**	**13,258**	
---y-y		553%	88%	53%	91%	54%	54%	40%	24%	20%	19%	
PAT margin	20%	20%	20%	20%	20%	20%	19%	19%	19%	19%	19%	
YoY Growth		*553%*	*88%*	*53%*	*91%*	*54%*	*54%*	*40%*	*24%*	*20%*	*19%*	
CAPEX (net)	(315)	(311)	(394)	(590)	(909)	(882)	(1,101)	(1,562)	(1,960)	(1,784)	(1,996)	
Capex as % of revenue	100%	15%	10%	10%	8%	5%	4%	4%	4%	3%	3%	
Free Cash Flow	**(252)**	**100**	**378**	**590**	**1,341**	**2,576**	**4,239**	**5,934**	**7,351**	**9,394**	**11,262**	**204,764**
Discount Factor	1.00	0.91	0.83	0.76	0.69	0.63	0.57	0.52	0.48	0.43	0.40	
PV of FCF	**(252)**	**91**	**314**	**447**	**926**	**1,620**	**2,429**	**3,100**	**3,500**	**4,076**	**4,454**	**80,983**

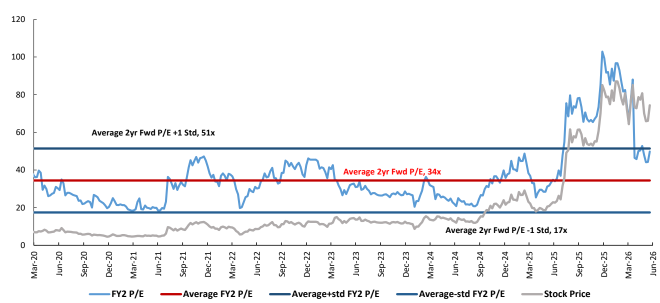
Fair value	**CNY mn**
Summary of PV (Enterprise Value)	**101,689**
Total shares issued	1,270
Per Share Value - Rmb	**80**

DCF valuation assumptions	
Valuation date	
Cost of Equity	12.0%
Risk free rate	4.2%
Beta	1.3
Risk premium	6.0%
China premium	
Cost of Debt	4.4%
Debt rate	5.0%
Tax rate	12.0%
Long-Term Debt / Total Cap.	30.0%
WACC	**9.7%**
Perpetual Growth	**4.0%**

Other traditional business	**2025**	**2026E**	**2027E**	**2028E**
Net profit (Rmb mn)	459	630	872	1,077
% YoY		37%	38%	24%
PE multiple			**30**	
Equity Value (Rmb mn)			**26,160**	
Per Share Value - Rmb			**21**	
Price target - Rmb		**101**		

Source: Company data, Morgan Stanley Research estimates

Exhibit 48: FY2 P/E band



Source: Factset, Morgan Stanley Research

iRay (688301.SS)- Raise Earnings estimates and PT; Upgrade to OW

We raised our 2026-27 revenue estimates by 36%/39% after reflecting 2025/1Q26 actual results, and incremental revenue from Hefei Shiya this year, but we trimmed GPM projections by 4ppt for 2026-27 due to product mix changes. Therefore, our net profit estimates are lifted by 17%/20% in 2026-27. Our EPS estimates are 21%/19% lower than before after factoring in the stock split in June. We also introduced our 2028 estimates.

We continue to use discounted cash flow (DCF) methodology to derive our new price target of Rmb140 (vs. Rmb110 previously before the stock split) for iRay given its continuous FCF generation ability in the long term. Key DCF assumptions include: 1) WACC of 7.5% (unchanged): derived from - Cost of equity of 8.5%, risk-free rate of 3.5%, market risk premium of 5.5%, and a beta of 0.9; Cost of debt of 5.5%; Long-term corporate tax rate of 12%. 2) Sustainable earnings growth in 2026-33: We assume pretax profit expands at a 20% CAGR in 2026-33 (previously 18% CAGR). 3) Capex: We assume Rmb1.2bn/700mn/600m annual capex in 2026-28, stabilizing at Rmb200-300mn from 2029. 4) Terminal growth rate of 4% (3% previously; reflecting the new business' long-term potential). We upgrade to OW given iRay's fundamental turnaround as well as the emergence of a new business growth driver.

New business update - CT inspection equipment for PCB is undergoing client verification: iRay expects testing demand to grow significantly, given tighter hole tolerance with high-layer PCB design upgrades and materials upgrade to M8/M9; that said, the inspection proportion will increase significantly. Management anticipates at least 1-2k unit equipment demand p.a. in 2026-27, and capacity constraints from key foreign peer (Omron) provide opportunities for domestic suppliers. iRay's relevant product is undergoing verification at top Chinese PCB manufacturers, and management expects order intake to start in 3Q (ASP is potentially ~Rmb2mn; >40% GPM). This will become another key growth driver for iRay in the next few years in our view.

Exhibit 49: Estimate revisions

(RMB mn)	2025 Actual	YoY	2026E Old	2026E New	Chg %	YoY	2027E Old	2027E New	Chg %	YoY	2028E New	YoY
EPS (Rmb)	3.07	-5%	**3.53**	2.79	**-21.0%**	-9%	**4.31**	3.49	**-19.0%**	25%	4.30	23%
Total Revenue	**2,251**	**23%**	**2,672**	**3,626**	**36%**	**61%**	**3,323**	**4,610**	**39%**	**27%**	**5,572**	**21%**
--Medicine	1,372	11%	1,673	1,619	-3%	18%	1,991	1,955	-2%	21%	2,355	20%
--Industrials	343	35%	378	426	13%	24%	463	532	15%	25%	617	16%
--Others	536	57%	620	1,581	155%	195%	869	2,123	144%	34%	2,600	22%
Total Gross Profit	**1,156**	**26%**	**1,311**	**1,641**	**25%**	**42%**	**1,616**	**2,074**	**28%**	**26%**	**2,529**	**22%**
GPM	**51.4%**	**1%**	**49.1%**	**45.3%**	**-4%**	**-6%**	**48.6%**	**45.0%**	**-4%**	**0%**	**45.4%**	**0%**
--Medicine	60.0%	3%	55.0%	61.0%	6%	1%	55.5%	61.0%	5%	0%	61.0%	0%
--Industrials	56.9%	2%	54.0%	57.0%	3%	0%	54.0%	58.0%	4%	1%	59.0%	1%
--Others	25.7%	4%	30.0%	26.0%	-4%	0%	30.0%	27.0%	-3%	1%	28.0%	1%
Operating Profit	**589**	52%	**612**	**742**	21%	26%	**767**	**958**	25%	29%	**1,185**	24%
SG&A % of Revenue	24.6%	-4%	25.6%	24.2%	-1%	0%	25.0%	23.6%	-1%	-1%	23.5%	0%
Operating Margin	26.2%	5%	22.9%	20.5%	-2%	-6%	23.1%	20.8%	-2%	0%	21.3%	0%
Net Profit	**650**	40%	**707**	**825**	16.7%	27%	**862**	**1,033**	19.8%	25%	**1,272**	23%
Net Margin	**28.9%**	3%	26.5%	**22.8%**	-4%	-6%	26.0%	**22.4%**	-4%	0%	**22.8%**	0%

Source: Company data, Morgan Stanley Research estimates

Exhibit 50: Valuation methodology - DCF

Rmb mn	2019A	2020A	2021A	2022A	2023A	2024A
Profit before taxation	**103**	**254**	**560**	**709**	**685**	**507**
YoY Growth		*147%*	*120%*	*27%*	*-3%*	*-26%*
Plus: D&A	(16)	(24)	(32)	(50)	(56)	(73)
Net Financial Expenses	(3)	(5)	17	62	23	4
Operating cashflow before WC	**83**	**225**	**545**	**721**	**652**	**438**
Changes in WC	(89)	8	(200)	(312)	(441)	(252)
Cash generated from operation	**(6)**	**233**	**344**	**409**	**211**	**187**
Income tax paid	(8)	(31)	(75)	(70)	(80)	(57)
Net Operating Cashflow	**(14)**	**202**	**269**	**339**	**130**	**130**
Capex	(40)	(17)	(192)	(717)	(1,854)	(1,441)
Free Cash Flow	**(54)**	**185**	**77**	**(378)**	**(1,723)**	**(1,311)**
Discount rate %	**7.5%**	**7.5%**	**7.5%**	**7.5%**	**7.5%**	**7.5%**
Discount period						
PV of FCF						

Rmb mn	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	Terminal
Profit before taxation	**686**	**900**	**1,138**	**1,401**	**1,681**	**1,984**	**2,281**	**2,578**	**2,836**	
YoY Growth	*35%*	*31%*	*26%*	*23%*	*20%*	*18%*	*15%*	*13%*	*10%*	
Plus: D&A	(148)	(587)	(662)	(702)	(688)	(674)	(661)	(647)	(634)	
Net Financial Expenses	17	9	7	14	17	20	23	26	29	
Operating cashflow before WC	**555**	**323**	**483**	**714**	**1,011**	**1,330**	**1,644**	**1,957**	**2,231**	
Changes in WC	558	(447)	(16)	(124)	124	149	178	214	257	
Cash generated from operation	**1,113**	**(124)**	**467**	**590**	**1,135**	**1,479**	**1,823**	**2,171**	**2,488**	
Income tax paid	(53)	(99)	(125)	(154)	(185)	(218)	(251)	(284)	(312)	
Net Operating Cashflow	**1,059**	**(224)**	**342**	**436**	**950**	**1,261**	**1,572**	**1,888**	**2,176**	
Capex	(1,686)	(1,200)	(700)	(600)	(300)	(200)	(200)	(200)	(200)	
Free Cash Flow	**(627)**	**(1,424)**	**(358)**	**(164)**	**650**	**1,061**	**1,372**	**1,688**	**1,976**	**63,883**
Discount rate %	**7.5%**	**7.5%**	**7.5%**	**7.5%**	**7.5%**	**7.5%**	**7.5%**	**7.5%**	**7.5%**	**7.5%**
Discount period		0	1	2	3	4	5	6	7	
PV of FCF		**(1,424)**	**(333)**	**(142)**	**523**	**795**	**956**	**1,095**	**1,192**	**38,545**

Summary of PV	**41,207**
Net Cash	730
Equity Value	41,937
Minus: Minority Interest	466
Shareholder Equity Value	**41,471**
# of shares outstanding	296
Per share Value	**140**

Source: Company data, Morgan Stanley Research estimates

Han's Laser (002008.SZ) - Raise PT to Rmb188, stay OW

We raised our net profit estimates by 1%/8%/5% for 2026-28, mainly reflecting stronger-than-expected growth in PCB and 3C businesses, as well as better margin performance. We continue to apply SOTP valuation methodology. For the non-PCB business, we continue to apply 30x 2027e P/E (unchanged), which is comparable to 2017 levels when Apple underwent major product upgrades and its revenue contribution peaked. We value the PCB business based on its subsidiary Han's CNC's market cap (A-share), and Han's Laser's current equity stake. Combining these values, our revised price target is Rmb188 (Rmb118 previously), implying 81x 2026e P/E and 48x 2027e P/E, which we think is justified against an 87% net profit CAGR over 2026-27e.

New business update - Step-up in optical fiber business through capacity expansion and M&A: Han's will build annual capacity of 60mn core-km of optical fiber (incl. hollow-core fiber) and 2,000 tons of preform, with total investment of Rmb2.5bn, which we view as a meaningful acceleration of Han's strategy to move into the high-end optical fiber industry, particularly special optical and hollow-core fiber. Separately, Han's Laser announced the acquisition of a 51% stake (for Rmb306mn) in Linfiber Technology. We believe this demonstrates Han's ability to vertically integrate, enhances synergies with its laser business, and creates new growth drivers. We think the market hasn't fully priced in Han's growth potential in the optical fiber industry, and major business milestones, such as order wins, could support a re-rating.

Exhibit 51: Estimate revisions

	2025	2026E			2027E			2028E		
		New	Old	Chg%	New	Old	Chg%	New	Old	Chg%
Revenue										
3C equipment	2,472	3,980	3,980	*0%*	8,200	7,200	*14%*	4,220	4,220	*0%*
PCB equipment	5,773	10,354	10,354	*0%*	15,358	14,199	*8%*	14,420	13,339	*8%*
New energy equipment	2,361	3,542	3,542	*0%*	3,719	3,719	*0%*	3,347	3,347	*0%*
Semi equipment	2,041	2,143	2,143	*0%*	2,250	2,250	*0%*	2,363	2,363	*0%*
General equipment	6,112	6,418	6,418	*0%*	6,738	6,738	*0%*	7,075	7,075	*0%*
Total	**18,759**	**26,437**	**26,437**	***0%***	**36,265**	**34,106**	***6%***	**31,425**	**30,344**	***4%***
Gross Profit	**6,243**	**8,966**	**8,966**	***0%***	**12,834**	**12,003**	***7%***	**11,141**	**10,728**	***4%***
Selling expenses	1,470	2,007	2,007	*0%*	2,717	2,555	*6%*	2,354	2,273	*4%*
G&A expenses	1,333	1,845	1,866	*-1%*	2,531	2,380	*6%*	2,193	2,148	*2%*
Operating Profit	**1,212**	**2,051**	**2,030**	***1%***	**3,456**	**3,184**	***9%***	**3,049**	**2,885**	***6%***
Net Profit	**1,190**	**2,451**	**2,434**	***1%***	**4,149**	**3,847**	***8%***	**3,638**	**3,455**	***5%***
EPS	**1.13**	**2.33**	**2.31**	***1%***	**3.94**	**3.66**	***8%***	**3.46**	**3.28**	***5%***
Gross Margin	**33.3%**	**33.9%**	**33.9%**	***0.0%***	**35.4%**	**35.2%**	***0.2%***	**35.5%**	**35.4%**	***0.1%***
Selling exp as % of Rev	7.8%	7.6%	7.6%	*0.0%*	7.5%	7.5%	*0.0%*	7.5%	7.5%	*0.0%*
G&A as % of Rev	7.1%	7.0%	7.1%	*-0.1%*	7.0%	7.0%	*0.0%*	7.0%	7.1%	*-0.1%*
Operating Margin	**6.5%**	**7.8%**	**7.7%**	***0.1%***	**9.5%**	**9.3%**	***0.2%***	**9.7%**	**9.5%**	***0.2%***
Net Margin	**6.3%**	**9.3%**	**9.2%**	***0.1%***	**11.4%**	**11.3%**	***0.2%***	**11.6%**	**11.4%**	***0.2%***

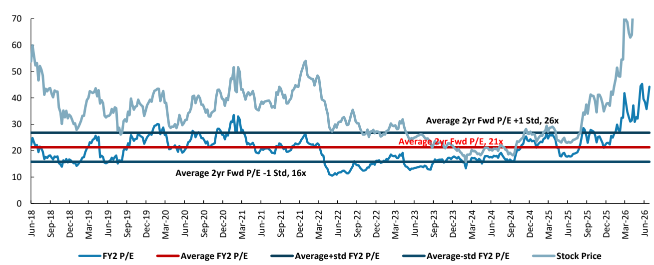
Source: Company data, Morgan Stanley Research estimates

Exhibit 52: Valuation methodology - SOTP

Non-PCB business	2024	2025	2026E	2027E	2028E
Net profit (Rmb mn)	1,438	489	1,131	2,076	1,583
% YoY		*-66%*	*131%*	*84%*	*-24%*
EPS (Rmb)	**1.4**	**0.5**	**1.1**	**2.0**	**1.5**
PE multiple				30	-
Implied PEG				0.4	
Equity value per share (Rmb)				**59**	
Equity Value (Rmb mn)				**62,272**	
PCB business (Han's CNC)					
Net profit (Rmb mn)	256	701	1,320	2,073	2,055
Han's CNC market cap			**181,300**		
Han's Laser's stake in Han's CNC			75%		
Equity Value (Rmb mn)			**135,975**		
Total equity value (Rmb mn)			**198,247**		
Price Target (Rmb)			**188**		
Total company net profit	**1,694**	**1,190**	**2,451**	**4,149**	**3,638**
PE multiple			81	48	

Source: Company data, Morgan Stanley Research estimates

Exhibit 53: FY2 P/E band



Source: Factset, Morgan Stanley Research

Sinotruk (3808.HK) - Raise Earnings Estimates and PT; stay EW

We raised our 2026-28 net profit estimates by 6%/4%/9% to reflect stronger-than-expected HDT sales YTD and our higher projections on HDT industry demand in 2026-27, supported by robust electric HDT demand amid high oil prices, as well as export resilience. We roll over to use 11x 2027e P/E to derive our new PT of HK$45.0 (vs. HK$36.0 previously). This is slightly above the 8-year historical average FY2 P/E of 9x, as we believe Sinotruk's expansion overseas is more resilient and will be the key profit contributor going forward. Stay EW on balanced risk-reward.

Exhibit 54: Estimate revisions

(RMB mn)	2025A	YoY	2026E		% Chg	YoY	2027E		% Chg	YoY	2028E		% Chg	YoY
			Old	New			Old	New			Old	New		
EPS (Rmb)	**2.54**	**20%**	**2.91**	**3.08**	**6%**	**21%**	**3.39**	**3.52**	**4%**	**14%**	**3.53**	**3.84**	**9%**	**9%**
Volume (Unit)														
HDT	292,140	20%	329,022	344,359	5%	18%	364,978	380,748	4%	11%	371,259	407,603	10%	7%
LDT	123,385	22%	148,023	148,023	0%	20%	162,809	162,809	0%	10%	170,947	170,947	0%	5%
Engine	143,927	32%	165,106	172,621	5%	20%	186,568	194,453	4%	13%	189,912	208,085	10%	7%
ASP (Rmb '000)														
HDT	332.6	13%	322.8	324.4	0%	-2%	323.1	322.7	0%	-1%	322.1	321.7	0%	0%
LDT	117.9	42%	120.2	120.2	0%	2%	121.4	121.4	0%	1%	122.6	122.6	0%	1%
Engine	121.2	24%	124.9	124.9	0%	3%	128.6	128.6	0%	3%	132.5	132.5	0%	3%
Revenue														
HDT	96,658	14%	105,634	111,103	5%	15%	117,283	122,222	4%	10%	118,956	130,413	10%	7%
LDT	12,142	23%	14,849	14,849	0%	22%	16,493	16,493	0%	11%	17,491	17,491	0%	6%
Engine	896	25%	1,059	1,107	5%	24%	1,232	1,284	4%	16%	1,292	1,416	10%	10%
Finance	740	22%	852	852	0%	15%	937	937	0%	10%	1,030	1,030	0%	10%
Total	**109,541**	**15%**	122,393	**127,910**	**5%**	**17%**	135,945	**140,936**	**4%**	**10%**	138,769	**150,350**	**8%**	**7%**
Gross Profit	**16,519**	**11%**	**19,356**	**19,514**	**1%**	**18%**	**21,709**	**21,647**	**0%**	**11%**	**22,309**	**23,002**	**3%**	**6%**
GP Margin	15.1%	-0.6%	15.8%	15.3%	-0.6%	0.2%	16.0%	15.4%	-0.6%	0.1%	16.1%	15.3%	-0.8%	-0.1%
Operating Profit														
HDT	8,114	10%	8,766	9,459	8%	17%	9,675	10,301	6%	9%	9,816	10,801	10%	5%
LDT	(215)	0%	(249)	(249)	0%	16%	(257)	(257)	0%	3%	(210)	(210)	0%	-18%
Engine	2,618	33%	3,093	3,234	5%	24%	3,600	3,752	4%	16%	3,774	4,135	10%	10%
Finance	191	56%	219	219	0%	15%	241	241	0%	10%	265	265	0%	10%
Total	**8,137**	**9%**	**9,810**	**9,749**	**-1%**	**20%**	**11,318**	**10,837**	**-4%**	**11%**	**11,733**	**11,603**	**-1%**	**7%**
OP Margin														
HDT	8.3%	-0.3%	8.3%	8.5%	0.2%	0.1%	8.2%	8.4%	0.2%	-0.1%	8.2%	8.2%	0.0%	-0.1%
LDT	-1.5%	0.5%	-1.4%	-1.4%	0.0%	0.1%	-1.3%	-1.3%	0.0%	0.1%	-1.0%	-1.0%	0.0%	0.3%
Engine	15.0%	0.8%	15.0%	15.0%	0.0%	0.0%	15.0%	15.0%	0.0%	0.0%	15.0%	15.0%	0.0%	0.0%
Finance	25.7%	5.9%	25.7%	25.7%	0.0%	0.0%	25.7%	25.7%	0.0%	0.0%	25.7%	25.7%	0.0%	0.0%
Total	**7.4%**	**-0.4%**	**8.0%**	**7.6%**	**-0.4%**	**0.2%**	**8.3%**	**7.7%**	**-0.6%**	**0.1%**	**8.5%**	**7.7%**	**-0.7%**	**0.0%**
Net profit	**7,019**	**20%**	**8,036**	**8,511**	**6%**	**21%**	**9,359**	**9,726**	**4%**	**14%**	**9,750**	**10,609**	**9%**	**9%**
Net margin	6.4%	0.2%	6.6%	6.7%	0.1%	0.2%	6.9%	6.9%	0.0%	0.2%	7.0%	7.1%	0.0%	0.2%

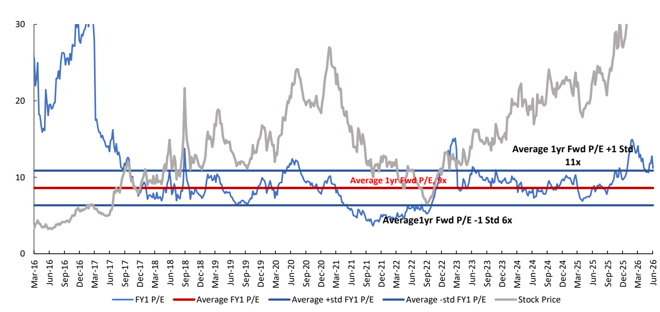
Source: Company data, Morgan Stanley Research estimates

Exhibit 55: P/E valuation methodology

	2025	2026E	2027E	2028E
Net profit (Rmb, mn)	7,019	8,511	9,726	10,609
% YoY	*20%*	*21%*	*14%*	*9%*
EPS (Rmb)	**2.54**	**3.08**	**3.52**	**3.84**
PE multiple			11	
Implied PEG			0.8	
Equity Value (Rmb mn)			**106,989**	
Exchange Rate (RMB/HK$)			0.9	
Price Target (HKD)			**45**	

Source: Company data, Morgan Stanley Research estimates

Exhibit 56: FY1 P/E band



Source: Factset, Morgan Stanley Research

Weichai Power (2338.HK, 000338.SZ) - Raise Earnings Estimates; Stay OW

We raised our net profit estimates for 2026-28 by 7%/8%/11%, mainly reflecting stronger than expected HDT business sales YTD and lifted blended GPM estimates in the next three years due to a favorable product mix shift with a rising contribution from high-margin AIDC. Overall, we anticipate revenue and EPS CAGRs of 11% and 27%, respectively, over 2026-28, with margins on an upward trajectory.

We continue to use SOTP methodology to value Weichai Power. For the traditional engine and truck business, we apply a 10x 2026e P/E (vs. 13x previously), largely in-line with its 8-year historical average FY1 P/E of 11x, reflecting muted growth projections in 2026-28. For the AIDC business, we apply a 80x 2026e P/E (vs. 90x previously, as the business is ramping up), implying 31x 2027e P/E, largely in line with its peers CAT. Our valuation of KION and PSI is based on their market cap and Weichai's equity stakes.

As a result, our price target for the H-share stays unchanged at HK$47.0, implying 26x 2026e P/E, broadly in line with Cummins, which we think is reasonable given the similar business mix and growth drivers. Our A-share price target is also unchanged at Rmb43.0.

Exhibit 57: Estimate revisions

(RMB mn)	2025A	YoY	2026E		% Chng	YoY	2027E		% Chng	YoY	2028E		% Chng	YoY
			Old	New			Old	New			*Old*	New		
EPS (Rmb)	***1.25***	***-4%***	**1.53**	***1.64***	**7%**	***31%***	**1.97**	***2.14***	**8%**	***31%***	**2.31**	***2.57***	**11%**	***20%***
MW EPS (RMB)	***1.25***	***-4%***	**1.53**	***1.64***	**7%**	***31%***	**1.97**	***2.14***	**8%**	***31%***	**2.31**	***2.57***	**11%**	***20%***
Revenue														
Engine	64,025	*8%*	75,755	75,686	0%	*18%*	98,118	96,727	-1%	*28%*	116,954	114,391	-2%	*18%*
--Traditional	61,561	*5%*	65,398	65,238	0%	*6%*	67,745	68,658	1%	*5%*	70,147	72,479	3%	*6%*
--AIDC	2,464	*285%*	10,357	10,448	1%	*324%*	30,373	28,069	-8%	*169%*	46,808	41,911	-10%	*49%*
Heavy Truck	52,598	*19%*	58,295	61,665	6%	*17%*	60,870	65,886	8%	*7%*	64,779	68,781	6%	*4%*
Fast Gear	12,970	*3%*	13,618	13,618	0%	*5%*	14,299	14,299	0%	*5%*	15,014	15,014	0%	*5%*
KION	91,131	*3%*	91,496	91,496	0%	*0%*	96,328	96,328	0%	*5%*	101,352	101,352	0%	*5%*
Total revenue	**231,809**	***7%***	**251,459**	**254,222**	**1%**	***10%***	**284,881**	**288,156**	**1%**	***13%***	**315,367**	**317,012**	**1%**	***10%***
Net Profit														
Engine	9,657	*2%*	11,294	11,703	4%	*21%*	14,627	15,743	8%	*35%*	17,964	19,377	8%	*23%*
--Traditional	9,016	*-3%*	8,933	8,769	-2%	*-3%*	9,332	8,228	-12%	*-6%*	10,284	8,372	-19%	*2%*
--AIDC	641	*300%*	2,361	2,934	24%	*358%*	5,295	7,515	42%	*156%*	7,680	11,005	43%	*46%*
Heavy Truck	625	*78%*	718	760	6%	*22%*	723	783	8%	*3%*	770	817	6%	*4%*
Fast Gear	299	*-29%*	366	366	0%	*22%*	377	377	0%	*3%*	388	388	0%	*3%*
KION	815	*-36%*	1,474	1,474	0%	*81%*	1,867	1,867	0%	*27%*	2,300	2,300	0%	*23%*
Total net profit	**10,931**	***-4%***	**13,359**	**14,273**	**7%**	***31%***	**17,221**	**18,640**	**8%**	***31%***	**20,124**	**22,428**	**11%**	***20%***
Net Margin														
Engine	15.1%	*-0.9%*	14.9%	15.5%	0.6%	*0.4%*	14.9%	16.3%	1.4%	*0.8%*	15.4%	16.9%	1.6%	*0.7%*
--Traditional	14.6%	*-1.3%*	13.7%	13.4%	-0.2%	*-1.2%*	13.8%	12.0%	-1.8%	*-1.5%*	14.7%	11.6%	-3.1%	*-0.4%*
--AIDC	26.0%	*1.0%*	22.8%	28.1%	5.3%	*2.1%*	17.4%	26.8%	9.3%	*-1.3%*	16.4%	26.3%	9.9%	*-0.5%*
Heavy Truck	1.2%	*0.4%*	1.2%	1.2%	0.0%	*0.0%*	1.2%	1.2%	0.0%	*0.0%*	1.2%	1.2%	0.0%	*0.0%*
Fast Gear	2.3%	*-1.0%*	2.7%	2.7%	0.0%	*0.4%*	2.6%	2.6%	0.0%	*-0.1%*	2.6%	2.6%	0.0%	*0.0%*
KION	0.9%	*-0.5%*	1.6%	1.6%	0.0%	*0.7%*	1.9%	1.9%	0.0%	*0.3%*	2.3%	2.3%	0.0%	*0.3%*
Overall net margin	**4.7%**	***-0.6%***	**5.3%**	**5.6%**	**0.3%**	***0.9%***	**6.0%**	**6.5%**	**0.4%**	***0.9%***	**6.4%**	**7.1%**	**0.7%**	***0.6%***
Selling expense	13,621	*9%*	13,818	14,943	8%	*10%*	15,410	16,501	7%	*10%*	16,622	17,718	7%	*7%*
G&A expense	20,285	*9%*	19,527	19,346	-1%	*-5%*	21,479	21,087	-2%	*9%*	22,768	22,352	-2%	*6%*
Operating profit	15,620	*-12%*	20,358	21,627	6%	*38%*	25,240	27,104	7%	*25%*	29,718	32,770	10%	*21%*
Net profit	10,931	*-4%*	13,359	14,273	7%	*31%*	17,221	18,640	8%	*31%*	20,124	22,428	11%	*20%*

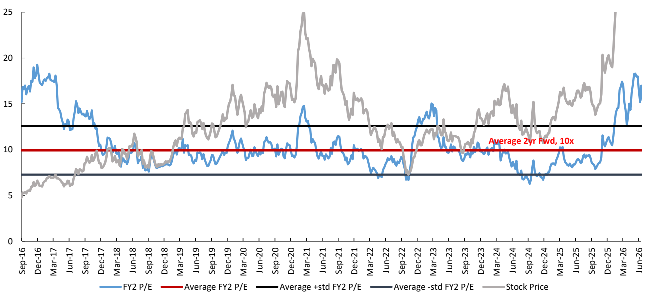
Source: Company data, Morgan Stanley Research estimates

Exhibit 58: SOTP valuation methodology

Rmb mn	2025	2026e	2027e	2028e
Total NP to shareholders	**10,931**	**14,273**	**18,640**	**22,428**
--y-y	**-4%**	**31%**	**31%**	**20%**
Traditional business				
NP excl Kion (Rmb mn)	**9,107**	**9,520**	**8,826**	**8,535**
--y-y	**-7%**	**5%**	**-7%**	**-3%**
Target P/E		10	11	11
Equity value		**95,197**		
KION Group				
Market Capitalization		42,197		
Weichai's share		46.5%		
Equity value		**19,622**		
AIDC business				
NP (Rmb mn)	**641**	**2,934**	**7,515**	**11,005**
--y-y	**300%**	**358%**	**156%**	**46%**
% of total net profit	*6%*	*21%*	*40%*	*49%*
--Diesel engine (backup power)	641	2,534	4,182	5,436
--SOFC		-	133	569
--Gas engine (for primary power)		400	3,200	5,000
Target P/E		80	31	21
Equity value		**234,752**		
PSI				
Market Capitalization		10,780		
Weichai's share		46.0%		
Equity value		**4,959**		
Total Company Equity Value		**354,529**		
Traditional business		*114,819*		
AIDC business		*239,711*		
Shares Outstanding		8,727		
Equity value per share (Rmb)		**40.6**		
H Share Price Target (HKD)		**47**		
Implied PE multiple		***25***	*22*	*18*
A-H premium		0%		
A Share Price Target (Rmb)		**43**		

Source: Company data, Morgan Stanley Research estimates

Exhibit 59: FY2 P/E band



Source: Factset, Morgan Stanley Research

Geekplus (2590.HK) - Cut PT to HK$20, Remain OW

We cut our earnings estimates for Geekplus, mainly to reflect an estimated FX loss of Rmb100mn in 1H26. Our macro team expects further RMB appreciation, with USD/RMB forecast at 6.72/6.75 in 3Q/4Q26, respectively. We also factor in slightly slower medium-term margin expansion, as the company continues to support overseas expansion and R&D investment in embodied robotics products. As a result, we now expect Geekplus to remain loss-making in 2026E, and we trim our 2027E/2028E net profit forecasts by 3%/20%, respectively.

Given the execution risk around Geekplus' embodied robotics products, we now value the company at 5.6x 2026E P/S. We believe this is appropriate based on a blended framework: 50% weighting on humanoid and autonomous driving peers' average multiple of 8.7x, with a 20% discount applied, and 50% weighting on logistics and warehouse automation peers' average multiple of 4.8x. We also mark to market our FX assumption, using an RMB/HK$ rate of 1:1.15.

Our revised price target is HK$20. Following the recent share-price sell-off, we see the current level as an attractive buying opportunity and reiterate OW.

Exhibit 60: Revision Summary

	2025		2026E				2027E				2028E			
(in Rmb'mn)	Actual	YoY	New	Old	Chg%	YoY	New	Old	Chg%	YoY	New	Old	Chg%	YoY
Order intake	4,137	32%	5,619	5,743	-2%	36%	7,600	7,770	-2%	35%	10,087	10,316	-2%	33%
Revenue	**3,171**	**32%**	**4,159**	**4,159**	**0%**	**31%**	**5,484**	**5,595**	**-2%**	**32%**	**7,369**	**7,533**	**-2%**	**34%**
Gross Profit	1,125	34%	1,511	1,511	0%	34%	2,026	2,067	-2%	34%	2,742	2,803	-2%	35%
R&D exp.	335	19%	457	470	-3%	37%	603	615	-2%	32%	811	753	8%	34%
Selling exp.	539	21%	674	676	0%	25%	795	783	2%	18%	958	904	6%	20%
G&A exp.	271	23%	287	291	-1%	6%	351	336	5%	22%	435	414	5%	24%
Operating Profit	-19	-	93	74	25%	-584%	277	333	-17%	198%	539	732	-26%	95%
Net profit	**-10**	**-**	**-23**	**63**	**-137%**	**123%**	**311**	**320**	**-3%**	**-1442%**	**580**	**722**	**-20%**	**87%**
Basic EPS	**-0.01**	**-**	**-0.02**	**0.05**	**-137%**	**123%**	**0.23**	**0.24**	**-3%**	**-1442%**	**0.43**	**0.54**	**-20%**	**87%**
Margins (%)														
Gross Margin	35.5%	0.7%	36.3%	36.3%	0.0%	0.9%	37.0%	37.0%	0.0%	0.6%	37.2%	37.2%	0.0%	0.3%
R&D exp.	10.6%	-1.1%	11.0%	11.3%	-0.3%	0.4%	11.0%	11.0%	0.0%	0.0%	11.0%	10.0%	1.0%	0.0%
Selling exp.	17.0%	-1.5%	16.2%	16.3%	-0.1%	-0.8%	14.5%	14.0%	0.5%	-1.7%	13.0%	12.0%	1.0%	-1.5%
G&A exp.	8.5%	-0.6%	6.9%	7.0%	-0.1%	-1.6%	6.4%	6.0%	0.4%	-0.5%	5.9%	5.5%	0.4%	-0.5%
Operating Margin	-0.6%	4.0%	2.2%	1.8%	0.5%	2.8%	5.1%	6.0%	-0.9%	2.8%	7.3%	9.7%	-2.4%	2.3%
Net Margin	-0.3%	34.2%	-0.6%	1.5%	-2.1%	-0.2%	5.7%	5.7%	-0.1%	6.2%	7.9%	9.6%	-1.7%	2.2%

Source: Company data, Morgan Stanley Research estimates

Exhibit 61: Valuation methodology

Rmb'mn	2024	2025	2026e	2027e	2028e
Sales	**2,409**	**3,171**	**4,159**	**5,484**	**7,369**
Net profit	**(832)**	**(10)**	**(23)**	**311**	**580**
Adjusted net profit (Rmb'mn)	(92)	44	18	366	654
Adjusted EPS (Rmb)	**(0.08)**	**0.03**	**0.01**	**0.27**	**0.49**
PS multiple			5.6x		
Equity Value (Rmb'mn)			**23,289**		
Price Target (Rmb)			**17.4**		
Rmb:HK$			1.150		
Price Target (HK$)			**20.0**		

Source: Company data, Morgan Stanley Research estimates

Exhibit 62: Sensitivity table

PT (HK$)	2026e Revenue (Rmb'bn)						
2026 PS multiple	3.57	3.75	3.95	4.16	4.37	4.57	4.80
3.0x	9.2	9.7	10.2	10.7	11.3	11.8	12.4
4.0x	12.3	12.9	13.6	14.3	15.0	15.7	16.5
5.0x	15.3	16.1	17.0	17.9	18.8	19.7	20.7
5.6x	17.2	18.1	19.0	**20.0**	21.0	22.0	23.1
6.0x	18.4	19.4	20.4	21.5	22.5	23.6	24.8
7.0x	21.5	22.6	23.8	25.0	26.3	27.5	28.9
8.0x	24.5	25.8	27.2	28.6	30.0	31.5	33.0

Source: Morgan Stanley Research estimates

Exhibit 63:

Comps table

Company	Ticker	MS Rating	Last close LCY	Mkt Cap US$ (mn)	Revenue Growth 2026e	Revenue Growth 2027e	EPS Growth (%) 2026e	EPS Growth (%) 2027e	P/E (x) 2026e	P/E (x) 2027e	P/B (x) 2026e	P/B (x) 2027e	P/S (x) 2026e	P/S (x) 2027e
Humanoid and autonomous driving comparables														
UBTECH	9880.HK	Non-covered	98	5,943	106%	53%	73%	240%	-207.7x	148.0x	5.6x	5.3x	9.9x	6.5x
Tesla	TSLA.O	Equal-Weight	393	1,477,690	2%	19%	(29%)	59%	514.4x	324.1x	15.6x	14.4x	14.4x	12.2x
WeRide	WRD.O	Overweight	6	1,838	122%	184%	41%	108%	NM	156.5x	2.5x	2.3x	7.5x	2.6x
Horizon Robotics	9660.HK	Overweight	4	8,020	74%	48%	74%	66%	NM	NM	4.6x	4.6x	7.9x	5.3x
Mobileye	MBLY.O	Equal-Weight	10	8,060	5%	7%	NM	54%	32.2x	32.2x	1.0x	1.1x	3.9x	3.7x
Average					**62%**	**62%**	**(196%)**	**105%**	**113.0x**	**165.2x**	**5.9x**	**5.5x**	**8.7x**	**6.1x**
Logistics/Warehouse automation														
Autostore	AUTO.OL	Equal-Weight	12	4,383	20.0%	3.0%	33.9%	10.1%	27.4x	24.8x	2.5x	2.3x	6.6x	6.4x
Daifuku	6383.T	Equal-Weight	7,258	17,050	0.6%	2.2%	3.8%	2.6%	34.2x	33.4x	5.8x	5.7x	3.9x	3.8x
Kardex	KARN.S	Non-covered	250	2,242	13.4%	12.4%	12.8%	43.6%	30.5x	21.3x	7.2x	6.3x	2.0x	1.8x
Interroll	INRN.S	Non-covered	1,352	1,395	4.2%	9.4%	9.0%	15.2%	18.2x	15.8x	2.2x	2.0x	2.0x	1.9x
Symbotic	SYM.O	Non-covered	43	25,760	25%	28%	129%	58%	82.9x	52.5x	4.5x	3.5x	9.2x	7.2x
Average					**12.5%**	**11.1%**	**37.6%**	**25.9%**	**38.6x**	**29.6x**	**4.4x**	**4.0x**	**4.8x**	**4.2x**

Source: Company data, FactSet as of July 6 close, e = Morgan Stanley Research estimates. For non-covered companies, estimates are derived from Factset.

Hongfa (600885.SS) - Raise PT to Rmb43, OW

We raise our revenue forecasts by 7%/7%/6% for 2026e/27e/28e, respectively. Our 2026 revenue growth forecast of +22% YoY is higher than management guidance of 15-20%, supported by strong momentum across downstream segments (particularly HVDC and new energy relays). Meanwhile, our net profit forecasts are revised by +5%/-2%/-2% for 2026e/27e/28e, respectively, to reflect its cost-linked pricing mechanism instead of standalone price hike, as well as the ramp up of slightly lower-margin new products (connectors, capacitor, etc.).

We lift our valuation multiple to 25x 2027e P/E (previously 20x) to derive our new PT of Rmb43, reflecting our positive view on Hongfa's strong global business presence, diversified downstream exposure, and continued market share gains supported by rapid product iteration. 800V adoption starting in 2027/28 could provide a higher value growth runaway for Hongfa. We view 25x as appropriate as it's largely in line with the historical average 2-year forward P/E+1sd.

Exhibit 64: Revision summary

	2025A		2026E				2027E				2028E			
	Actual	YoY %chg	New	Old	Chg%	YoY %chg	New	Old	Chg%	YoY %chg	New	Old	Chg%	YoY %chg
Revenue														
Relays	**15,703**	**24%**	**19,267**	**17,964**	**7%**	**23%**	**22,130**	**20,647**	**7%**	**15%**	**24,311**	**22,687**	**7%**	**10%**
General Relays	4,500	11%	5,597	4,786	17%	24%	6,122	5,231	17%	9%	6,548	5,593	17%	7%
Signal Relays	750	20%	885	863	3%	18%	974	949	3%	10%	1,051	1,025	3%	8%
Industrial Relays	1,060	51%	1,272	1,251	2%	20%	1,450	1,426	2%	14%	1,595	1,569	2%	10%
Automotive Relays	7,600	37%	9,456	9,140	3%	24%	11,379	10,976	4%	20%	12,806	12,338	4%	13%
Power Repays	2,200	11%	2,464	2,332	6%	12%	2,612	2,472	6%	6%	2,716	2,571	6%	4%
Electricial Products	758	-4%	834	834	0%	10%	934	934	0%	12%	1,074	1,074	0%	15%
Other	70	52%	84	84	0%	20%	93	93	0%	10%	102	102	0%	10%
Other non-relay business	671	19%	806	806	0%	20%	967	967	0%	20%	1,160	1,160	0%	20%
Total	**17,202**	**22%**	**20,991**	**19,688**	**7%**	**22%**	**24,123**	**22,640**	**7%**	**15%**	**26,646**	**25,023**	**6%**	**10%**
Gross Profit	**5,904**	**16%**	**7,085**	**6,604**	**7%**	**20%**	**8,359**	**8,032**	**4%**	**18%**	**9,351**	**8,957**	**4%**	**12%**
Selling expenses	568	10%	676	634	7%	19%	770	711	8%	14%	842	766	10%	9%
G&A expenses	2,627	18%	3,173	2,976	7%	21%	3,610	3,388	7%	14%	3,988	3,745	6%	10%
Operating Profit	2,574	14%	3,072	2,840	8%	19%	3,790	3,756	1%	23%	4,313	4,250	1%	14%
Net Profit	**1,758**	**8%**	**2,068**	**1,963**	**5%**	**18%**	**2,676**	**2,725**	**-2%**	**29%**	**3,045**	**3,107**	**-2%**	**14%**
EPS	**1.20**	**-23%**	**1.34**	**1.27**	**5%**	**11%**	**1.73**	**1.76**	**-2%**	**29%**	**1.97**	**2.01**	**-2%**	**14%**
Gross Margin	**34.3%**	**-1.9%**	**33.8%**	**33.5%**	**0.2%**	**-0.6%**	**34.7%**	**35.5%**	**-0.8%**	**0.9%**	**35.1%**	**35.8%**	**-0.7%**	**0.4%**
Selling exp as % of Rev	3.3%	-0.4%	3.2%	3.2%	0.0%	-0.1%	3.2%	3.1%	0.1%	0.0%	3.2%	3.1%	0.1%	0.0%
G&A as % of Rev	15.3%	-0.5%	15.1%	15.1%	0.0%	-0.2%	15.0%	15.0%	0.0%	-0.2%	15.0%	15.0%	0.0%	0.0%
Operating Margin	15.0%	-1.1%	14.6%	14.4%	0.2%	-0.3%	15.7%	16.6%	-0.9%	1.1%	16.2%	17.0%	-0.8%	0.5%
Net Margin	**10.2%**	**-1.3%**	**9.9%**	**10.0%**	**-0.1%**	**-0.4%**	**11.1%**	**12.0%**	**-0.9%**	**1.2%**	**11.4%**	**12.4%**	**-1.0%**	**0.3%**

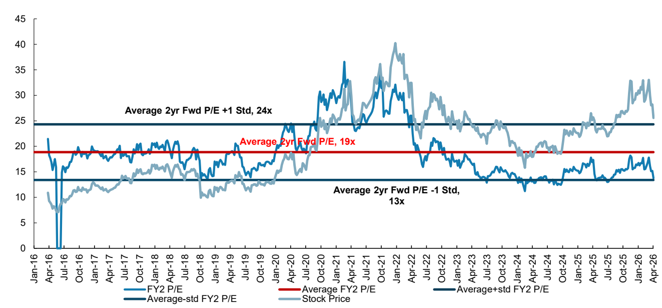
Source: Company data, Morgan Stanley Research estimates.

Exhibit 65: Valuation methodology

	2025A	2026E	2027E	2028E
Net profit (Rmbmn)	1,758	2,068	2,676	3,045
% YoY	*8%*	*18%*	*29%*	*14%*
EPS (Rmb)	**1.20**	**1.34**	**1.73**	**1.97**
P/E multiple		32.2x	25.0x	
Equity Value (Rmb mn)			**66,903**	
Price Target (Rmb)			**43.0**	

Source: Company data, Morgan Stanley Research estimates.

Exhibit 66: P/E band



Source: Factset, Morgan Stanley Research.

Wuxi Lead (300450.SZ) - Lowering PT to Rmb54; maintain constructive view, stay OW

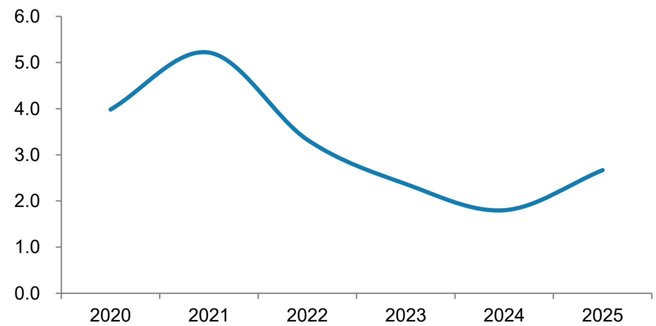
Our earnings estimates remain unchanged. We continue to expect new orders to grow 50% YoY, but revise our valuation multiple to better reflect the current stage of the cycle. We continue to apply a market cap-to-new orders valuation based on our new order estimate for Wuxi Lead, as new orders remain a more forward-looking indicator of downstream demand, whereas a P/E approach reflects sales recognition with a lag. We now apply a 2.5x market cap-to-new order multiple, down from 4.0x previously, to derive our new price target of Rmb54, (vs Rmb87 previously). We view the 2.5x multiple as appropriate, as it is consistent with the level at which the stock traded in 2023. We believe this reflects new orders already being at a high level while growth is sustained into 2027, unlike the decline seen in 2024, supported by replacement demand, sodium battery commercialization, and gradually increasing solid-state battery opportunities. Beyond batteries, Wuxi Lead is also expanding its equipment capabilities into MLCC, SOFC, and humanoid robot automation, which should broaden its long-term growth runway.

Exhibit 67: Valuation methodology

	2025	2026E	2027E	2028E
New order (Rmb mn)	**24,000**	**36,000**	**37,800**	**43,470**
% YoY	37%	50%	5%	15%
Mkt cap to new orders		**2.5x**	2.4x	2.1x
Equity Value (Rmb mn)		**90,000**		
Share capital (mn)		1,663		
Price Target (Rmb)		**54**		
New order NPM %		*15%*	*16%*	*16%*
New order implied NP (Rmb mn)		*5,400*	*6,048*	*6,955*
Implied PE on new orders' EPS		**17x**	**15x**	**13x**

Source: Company data, Morgan Stanley Research estimates

Exhibit 68: 1-year forward market cap to new order ratio



Source: Company data, Factset, Morgan Stanley Research

Leaderdrive (688017.SS) - Lift PT to Rmb631

Our 2026-28e earnings estimate remains unchanged. We expect Leaderdrive's revenue to grow 66%/57%/45% in 2026-28e, respectively, supported by the rapid ramp up of its humanoid business. We believe Leaderdrive is one of the major beneficiaries of this trend, with humanoid-related revenue contribution potentially reaching 35%/50%/61% in 2026-28e, respectively. Following the latest JV with SKF (Leaderdrive holds a 40% stake), we believe Leaderdrive can leverage SKF's know-how in bearings to expand product offering and SKF's global network to penetrate customers in Europe, Japan, and the US, etc, per the company announcement. Therefore, we further raise our long-term global humanoid harmonic reducer market share assumption to 30% from 25% previously and assume modest margin upside from greater international sales. Using an unchanged 11% WACC and 4% terminal growth rate, we discount cash flows over 2026-50e and derive **our new price target of Rmb631.**

Key downside risks include: 1) slower humanoid volume growth due to delayed commercialization or limited commercial ROI; 2) lower-than-expected penetration of harmonic reducers in humanoid robots; 3) market-share erosion, including potential exclusion from leading US integrators' supply chain; and 4) intensified competition leading to greater pricing pressure.

Exhibit 69: DCF

(in Rmb'mn unless specified)		2025	2026e	2027e	2028e	2029e	2030e	2040e	2050e
Revenue		**571**	**950**	**1,489**	**2,170**	**3,171**	**3,723**	**95,148**	**426,115**
Harmonic reducer - non-humanoid		395	463	552	609	714	862	4,504	18,129
Humanoid components (reducer, screw, and actuator)		47	330	739	1,320	2,175	2,536	89,467	405,389
Precision Parts		34	36	38	40	43	47	87	127
Integrated actuator		74	96	129	162	190	219	765	1,672
Intelligent equipment		15	21	27	34	43	54	321	793
Other business		5	5	5	5	5	5	5	5
Gross profit		**211**	**338**	**529**	**770**	**1,128**	**1,323**	**33,302**	**140,618**
GPM	%	*36.9%*	*35.6%*	*35.5%*	*35.5%*	*35.6%*	*35.5%*	*35.0%*	*33.0%*
Operating profit		**114**	**191**	**304**	**445**	**664**	**790**	**22,836**	**102,268**
OPM	%	*20.0%*	*20.1%*	*20.4%*	*20.5%*	*20.9%*	*21.2%*	*24.0%*	*24.0%*
FCFF			**74**	**123**	**183**	**284**	**347**	**12,483**	**58,037**

Start year	2026
End year	2050
NPV of future cash flow	49,923
Terminal value	801,253
NPV of terminal value	65,716
Terminal value % of EV	56.8%
Equity value	**115,639**
Per share value (Rmb)	**631**

Source: Company data, Morgan Stanley Research estimates

Exhibit 70: WACC

WACC	
Cost of equity	**13.2%**
Risk free rate	4.2%
Equity risk premium	6.0%
Beta	1.5
Cost of debt	**2.1%**
Pre-tax CofD	2.4%
Tax rate	12.0%
Equity/Capital	80.0%
Debt/Capital	20.0%
WACC	**11.0%**

Source: Morgan Stanley Research.

Exhibit 71: Bull/base/bear scenario

Bull/Base/Bear Scenario	2025e Global Volume	2050e OPM	Share Value	Upside/ Downside
Bull case	344	25%	1,169	140%
Base case	202	24%	631	29%
Bear case	38	23%	176	-64%

Source: Morgan Stanley Research estimates

Estun - Raise PT to Rmb29.6, remain UW

We revise up our 2026e/27e revenue by 3%/8%, respectively, reflecting our positive view on industrial robot growth. Our GPM forecast is slightly revised up, considering improved economies of scale/cost efficiency but also sustained competition and price pressure. Following Estun's announcement of its plan to acquire the remaining stake in Codroid, we introduce humanoid forecasts and expect shipments of 300/1k/3.5 units in 2026e-28e, respectively (with full consolidation from 2027). Therefore, we lift our 2026e/2027e net profit forecasts by 28%/54%, respectively, mainly to reflect investment gains from its subsidiary Codroid.

For its core business, we roll over to 50x 2027E P/E (previously 50x 2026E). This remains below its historical average 2-year forward P/E of 65x, which we view as appropriate given its lower margin profile and our separate valuation of the humanoid business. For Estun's humanoid business, we apply a 15x multiple to our 2028e sales forecast of Rmb680mn, reflecting its plan to acquire the remaining stake in Codroid. This is below the ~20x average sales multiple of core humanoid OEMs Ubtech and Dobot, given Estun's smaller scale and market share.

Despite our higher earnings forecasts, we remain UW, as we believe the current share price already prices in a meaningful recovery in the core business and substantial humanoid optionality.

Exhibit 72: Revision summary

	2025		2026E				2027E				2028E	
	Actual	*YoY %*	New	Old	*Chg%*	*YoY %*	New	Old	*Chg%*	*YoY %*	New	*YoY %*
Revenue												
Industrial robot	3,997	*32%*	4,906	4,657	*5%*	*23%*	5,855	5,457	*7%*	*19%*	6,848	*17%*
Automation components	891	*-9%*	985	1,054	*-7%*	*11%*	1,028	1,107	*-7%*	*4%*	1,051	*2%*
Humanoid	-	-	18	-	*NA*	*NA*	216	-	*NA*	*NA*	680	*NA*
Total	**4,888**	***22%***	**5,909**	**5,711**	***3%***	***21%***	**7,099**	**6,564**	***8%***	***20%***	**8,580**	***21%***
Gross Profit	**1,440**	***21%***	**1,807**	**1,709**	***6%***	***26%***	**2,170**	**1,975**	***10%***	***20%***	**2,622**	***21%***
Selling expenses	449	*1%*	519	457	*14%*	*16%*	609	505	*21%*	*17%*	719	*18%*
G&A expenses	829	*-15%*	983	988	*-1%*	*19%*	1,152	1,122	*3%*	*17%*	1,367	*19%*
Operating Profit	**119**	***-117%***	**246**	**188**	***31%***	***106%***	**337**	**259**	***30%***	***37%***	**450**	***33%***
Net Profit	**45**	***-106%***	**256**	**201**	***28%***	***470%***	**380**	**248**	***54%***	***48%***	**476**	***25%***
EPS	**0.05**	***-106%***	**0.29**	**0.23**	***28%***	***470%***	**0.44**	**0.28**	***54%***	***48%***	**0.55**	***25%***
Gross Margin	**29.5%**	**-0.1%**	**30.6%**	**29.9%**	**0.7%**	**1.1%**	**30.6%**	**30.1%**	**0.5%**	**0.0%**	**30.6%**	**0.0%**
SG&A expense % revenue	26.1%	-9.2%	25.4%	25.3%	0.1%	-0.7%	24.8%	24.8%	0.0%	-0.6%	24.3%	-0.5%
Operating Margin	**2.4%**	**20.4%**	**4.2%**	**3.3%**	**0.9%**	**1.7%**	**4.8%**	**3.9%**	**0.8%**	**0.6%**	**5.2%**	**0.5%**
Net Margin	**0.9%**	**21.1%**	**4.3%**	**3.5%**	**0.8%**	**3.4%**	**5.4%**	**3.8%**	**1.6%**	**1.0%**	**5.5%**	**0.2%**

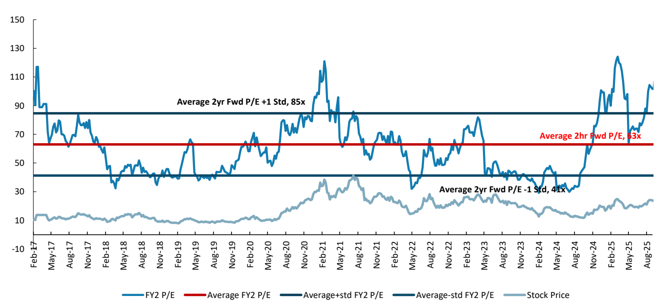
Source: Company data, Morgan Stanley Research estimates.

Exhibit 73: Valuation methodology

	2025A	2026E	2027E	2028E
Core Business				
Revenue (Rmb mn)	**4,888**	**5,891**	**6,883**	**7,900**
% YoY	*N.M*	*21%*	*49%*	*25%*
Net profit (Rmb mn)	45	255	369	438
% YoY	*N.M*	*470%*	*48%*	*25%*
EPS (Rmb)	**0.05**	**0.29**	**0.42**	**0.50**
PE multiple			50.0x	
Implied PEG (forward year)			2.0	
Equity Value (Rmb mn)			**18,439**	
Implied P/S			-	
Equity value per share (Rmb)			**19.1**	
Humaniod Business				
Revenue (Rmb mn)	-	**18**	**216**	**680**
% YoY		*31%*	*20%*	*21%*
PS multiple		15.0x	15.0x	15.0x
Equity Value (Rmb mn)		**270**	**3,240**	**10,206**
Equity value per share (Rmb)				**10.5**
Total equity value (Rmb mn)			**21,679**	
Price Target (Rmb)			**29.6**	

Source: Company data, Morgan Stanley Research estimates

Exhibit 74: P/E band



Source: Factset, Morgan Stanley Research

Financial Summary

Exhibit 75: Bochu

Income Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2027E
Revenue	**1,735**	**2,196**	**2,738**	**3,373**	**4,087**
COGS	348	491	643	829	1,023
Gross profit	**1,387**	**1,705**	**2,094**	**2,544**	**3,064**
Sales taxes and extra charges	23	29	36	44	53
Selling expense	101	137	153	186	225
Administrative expense	121	156	189	229	278
R&D expense	281	341	397	472	572
Operating income	**860**	**1,043**	**1,320**	**1,613**	**1,936**
Financial expense	26	33	34	34	34
Investment income	23	22	22	22	22
Asset impairment loss	(0)	(17)	(17)	(17)	(17)
Credit Impairment loss	(2)	(4)	(4)	(4)	(4)
Gain on Asset disposition	0	(0)	(0)	(0)	(0)
Non-Operating Income	0	0	0	0	0
Non-Operating Expenditure	(1)	(1)	(1)	(2)	(2)
Net income from fair value changes	24	45	45	45	45
Other non-operating income	105	124	149	164	180
Net profit before tax	**1,036**	**1,244**	**1,547**	**1,855**	**2,194**
Income tax	104	114	141	169	200
Net profit after tax	**932**	**1,131**	**1,405**	**1,685**	**1,993**
Minority interest	49	18	35	42	50
Net profit attributable to shareholders	**883**	**1,113**	**1,370**	**1,643**	**1,944**
EPS (Rmb)	4.3	3.9	3.4	4.1	4.8

Balance Sheet

(Rmb Mn)	2024A	2025A	2026E	2027E	2027E
Cash and Deposits	2,226	2,133	2,578	3,128	3,776
Account Receivable	124	167	181	223	271
Inventory	165	250	290	396	517
Other current assets	5	15	15	15	15
Current Assets	**5,174**	**5,899**	**6,414**	**7,134**	**7,975**
PPE	448	446	441	434	426
Construction in Process	1	0	0	0	0
Intangible Assets	109	105	100	94	89
Non-Current Assets	**703**	**705**	**695**	**682**	**668**
Total Assets	**5,878**	**6,604**	**7,109**	**7,817**	**8,644**
Short-term borrowings	3	20	20	20	20
Notes Payable	-	-	18	45	84
Account Payable	40	80	71	91	112
Prepayment Received	-	-	-	-	-
Current Liabilities	**352**	**490**	**554**	**718**	**901**
Leasing liabilities	2	1	1	1	1
Deferred revenues	-	-	-	-	-
Total liabilities	**354**	**492**	**556**	**719**	**903**
Share Capital	205	289	289	289	289
Capital Reserve	2,999	3,043	3,043	3,043	3,043
Other Reserve	103	144	144	144	144
Retained Earnings	2,160	2,594	3,042	3,579	4,215
Total shareholder's equity	5,468	6,070	6,518	7,055	7,691
Total equity	**5,524**	**6,112**	**6,553**	**7,097**	**7,741**
Liability and equity	**5,878**	**6,604**	**7,109**	**7,817**	**8,644**

Source: Company data, Morgan Stanley Research estimates

Financial Analysis

(Rmb Mn)	2024A	2025A	2026E	2027E	2027E
Growth (%)					
Turnover	23%	27%	25%	23%	21%
Operating Profit	30%	21%	27%	22%	20%
Net Profit	21%	26%	23%	20%	18%
Margins (%)					
Gross Margin	79.9%	77.7%	76.5%	75.4%	75.0%
Selling expenses	5.8%	6.2%	5.6%	5.5%	5.5%
G&A expenses	7.0%	7.1%	6.9%	6.8%	6.8%
Operating Margin	49.6%	47.5%	48.2%	47.8%	47.4%
Net Margin	50.9%	50.7%	50.0%	48.7%	47.6%
Efficiency					
Asset Turnover (X)	31%	35%	40%	45%	50%
Inventory Days	167	154	164	174	184
Account Receivables Days	22	24	24	24	24
Account Payable Days	38	44	40	40	40
Return (%)					
ROA	15.0%	16.8%	19.3%	21.0%	22.5%
ROE	16.0%	18.2%	20.9%	23.2%	25.1%
Gearing (X)					
Asset/Equity	1.1	1.1	1.1	1.1	1.1
Total Liabilities/Equity	6%	8%	8%	10%	12%
Total IB Debt/Equity	0%	0%	0%	0%	0%
Net Cash	4,772	5,320	5,765	6,315	6,963
Valuations (X)					
P/E	47.2	36.6	45.3	37.8	32.0
P/BV	7.6	6.7	9.5	8.8	8.1
EV/EBITDA	35.3	27.3	35.5	29.5	24.8
Dividend Yield (%)	1%	2%	1%	2%	2%

Cashflow Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2027E
Operating cash flow	952	1,104	1,403	1,678	1,978
Investing cash flow	(858)	(648)	(36)	(22)	(22)
Financing cash flow	(510)	(548)	(922)	(1,106)	(1,308)
Increase in cash	(416)	(92)	445	550	648
Effect of foreign exchange rate changes	0	(0)	-	-	-
Cash and cash equivalents at BOP	2,641	2,226	2,133	2,578	3,128
Cash and cash equivalents at EOP	**2,226**	**2,133**	**2,578**	**3,128**	**3,776**

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Exhibit 76: Envicool

Income Statement	F24	F25	F26E	F27E	F28E
Revenue	**4,589**	**6,068**	**9,827**	**13,621**	**17,958**
Cost of goods sold	(3,270)	(4,377)	(6,966)	(9,440)	(12,371)
Gross profit	**1,319**	**1,691**	**2,862**	**4,180**	**5,588**
Tax and Surcharges	(27)	(32)	(51)	(71)	(93)
Selling Expenses	(207)	(254)	(411)	(555)	(732)
Research and development expenses	(350)	(446)	(724)	(989)	(1,286)
Admin Expenses	(198)	(244)	(381)	(523)	(672)
Asset impairment loss	(54)	(73)	(119)	(164)	(217)
Credit impairment loss	(49)	(94)	(128)	(189)	(264)
Operating profit	**435**	**548**	**1,048**	**1,688**	**2,323**
Other income	74	65	102	138	176
Net finance expenses	1	(16)	31	34	53
Others	0	0	0	0	1
Profit before tax	**511**	**597**	**1,182**	**1,861**	**2,554**
Tax	(57)	(55)	(108)	(170)	(234)
Profit after tax	**454**	**543**	**1,074**	**1,690**	**2,320**
Minorities	(1)	(21)	(34)	(47)	(61)
Net Profit	**453**	**522**	**1,040**	**1,644**	**2,258**
EPS (CNY)	0.61	0.53	0.82	1.29	1.78
Net Profit - recurring	**533**	**648**	**1,274**	**1,965**	**2,694**
EPS (CNY) - recurring	0.81	0.75	1.13	1.55	2.12

Balance Sheet	F24	F25	F26E	F27E	F28E
Cash and Cash Equivalents	728	1,237	2,333	3,199	3,809
Accounts Receivable	2,428	3,054	4,039	5,224	6,396
Financial Assets Held for Trading	30	31	31	31	31
Other Current Assets	1,615	1,826	2,512	3,869	5,973
Current Assets	**4,802**	**6,148**	**8,915**	**12,323**	**16,209**
PP&E, Net	626	792	994	1,281	1,659
Construction work in progress	164	268	317	385	475
Intangible Assets	126	148	185	237	306
Other Non Current Assets	296	391	391	391	391
Non-current assets	**1,213**	**1,600**	**1,888**	**2,294**	**2,832**
Total Assets	**6,014**	**7,747**	**10,803**	**14,617**	**19,040**
Accounts Payable	1,320	1,488	2,290	3,362	4,406
Note Payable	484	514	925	1,181	1,595
Other Current Liabilities	901	1,783	2,870	4,176	5,527
Current liabilities	**2,706**	**3,785**	**6,085**	**8,719**	**11,528**
Long term borrowings	24	321	321	321	321
Deferred Revenue - Non-current Liabilities	15	20	33	46	60
Other Non Current Liabilities	356	159	159	159	159
Non-current liabilities	**395**	**500**	**512**	**525**	**540**
Total Liabilities	**3,101**	**4,285**	**6,597**	**9,244**	**12,067**
Share Capital	744	977	977	977	977
Capital Reserve	567	492	492	492	492
Surplus Reserve	156	198	198	198	198
Retained Earnings	1,446	1,777	2,486	3,607	5,146
Others	(0)	19	53	99	161
Total Equity	**2,913**	**3,463**	**4,206**	**5,373**	**6,973**
Liability and Equity	**6,014**	**7,747**	**10,803**	**14,617**	**19,040**

Financial Analysis	F24	F25	F26E	F27E	F28E
Growth (%)					
Revenue	30%	32%	62%	39%	32%
Gross profit	26%	28%	69%	46%	34%
Operating Profit	27%	26%	91%	61%	38%
Net Profit	32%	15%	99%	58%	37%
Net Profit - recurring	27%	21%	97%	54%	37%
Margins (%)					
Gross Margin	28.7%	27.9%	29.1%	30.7%	31.1%
Selling expenses	4.5%	4.2%	4.2%	4.1%	4.1%
R&D expenses	7.6%	7.3%	7.4%	7.3%	7.2%
Operating Margin	9.5%	9.0%	10.7%	12.4%	12.9%
Net Margin	9.9%	8.6%	10.6%	12.1%	12.6%
Efficiency					
Asset Turnover (X)	0.8	0.8	0.9	0.9	0.9
Inventory Days	99	82	90	86	88
Account Receivables Days	197	188	159	169	179
Account Payable Days	201	167	168	176	177
Return (%)					
ROA	7.5%	6.7%	9.6%	11.2%	11.9%
ROE	15.5%	15.1%	24.7%	30.6%	32.4%
Gearing					
Total Liabilities / Total Assets	51.6%	55.3%	61.1%	63.2%	63.4%
Net Cash	70	481	1,578	2,443	3,054
Valuation					
PE	51.8	181.5	106.2	67.2	48.9
PB	8.0	27.5	26.6	20.9	16.2
EV/EBITDA	34.5	123.3	78.4	56.1	42.9
Dividend yield	0.6%	0.2%	0.3%	0.5%	0.7%

Cash Flow Statement	F24	F25	F26E	F27E	F28E
Net Income	454	543	1,074	1,690	2,320
D&A	41	59	75	98	127
Change in Working Capital	(497)	(741)	(446)	(1,201)	(1,804)
Operating Cash Flow	**200**	**157**	**1,063**	**1,278**	**1,514**
CAPEX	(353)	(303)	(491)	(680)	(897)
Free Cash Flow	**(153)**	**(146)**	**572**	**598**	**617**
Investing Cash Flow	(332)	(303)	(363)	(503)	(664)
Financing Cash Flow	(131)	735	397	91	(240)
(+/-) Net Changes in Cash	(263)	589	1,096	866	610

Source: Company data, Morgan Stanley Research estimates

Exhibit 77: iRay

Income Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Revenue	**1,831**	**2,251**	**3,626**	**4,610**	**5,572**
COGS	914	1,095	1,984	2,536	3,043
Gross profit	**918**	**1,156**	**1,641**	**2,074**	**2,529**
Sales taxes and extra charges	11	13	22	27	33
Selling expense	70	87	132	168	203
Administrative expense	138	126	202	252	300
R&D expense	310	340	544	668	808
Operating income	**389**	**589**	**742**	**958**	**1,185**
Financial expense	4	17	9	7	14
Investment income	37	29	33	31	32
Other non-operating income	136	143	165	190	218
Net profit before tax	**507**	**686**	**900**	**1,138**	**1,401**
Income tax	57	53	99	125	154
Net profit after tax	**450**	**632**	**801**	**1,012**	**1,247**
Minority interest	(15)	(18)	(24)	(20)	(25)
Net profit attributable to shareholders	**465**	**650**	**825**	**1,033**	**1,272**
EPS (Rmb)	3.25	3.07	2.79	3.49	4.30

Balance Sheet

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Cash and Deposits	2,099	3,256	2,996	3,966	5,306
Account Receivable	749	722	1,093	1,263	1,527
Inventory	798	822	1,359	1,737	2,084
Other current assets	64	69	69	69	69
Current Assets	**3,954**	**5,482**	**6,203**	**7,782**	**9,793**
AFS Financial Assets	72	160	160	160	160
PPE	1,441	4,818	5,254	5,114	4,735
Construction in Process	2,930	1,488	1,688	1,888	2,088
Intangible Assets	221	298	275	253	231
Non-Current Assets	**5,129**	**7,337**	**7,950**	**7,988**	**7,787**
Total Assets	**9,083**	**12,819**	**14,153**	**15,770**	**17,579**
Short-term borrowings	135	336	336	336	336
Notes Payable	33	7	38	49	58
Account Payable	541	845	1,250	1,598	1,918
Prepayment Received	-	-	-	-	-
Current Liabilities	**900**	**2,107**	**2,616**	**3,201**	**3,739**
Long-term Borrowing	1,269	1,316	1,316	1,316	1,316
Deferred revenues	113	227	227	227	227
Total liabilities	**4,437**	**6,150**	**6,660**	**7,245**	**7,783**
	-		-	-	-
Share Capital	143	211	211	211	211
Capital Reserve	2,293	3,287	3,287	3,287	3,287
Other Reserve	72	106	106	106	106
Retained Earnings	1,891	2,364	3,190	4,223	5,495
Total shareholder's equity	4,639	6,202	7,027	8,060	9,332
Total equity	**4,646**	**6,668**	**7,494**	**8,526**	**9,798**
Liability and equity	**9,083**	**12,818**	**14,153**	**15,771**	**17,581**

Financial Analysis

(Rmb Mn)	2023A	2024A	2025A	2026E	2027E	2028E
Growth (%)						
Turnover	20%	-2%	23%	61%	27%	21%
Operating Profit	31%	-36%	52%	26%	29%	24%
Net Profit	-5%	-23%	40%	27%	25%	23%
Margins (%)						
Gross Margin	56.9%	50.1%	51.4%	45.3%	45.0%	45.4%
Selling expenses	4.3%	3.8%	3.9%	3.6%	3.6%	3.6%
G&A expenses	19.6%	24.5%	20.7%	20.6%	20.0%	19.9%
Operating Margin	32.5%	21.2%	26.2%	20.5%	20.8%	21.3%
Net Margin	32.6%	25.4%	28.9%	22.8%	22.4%	22.8%
Efficiency						
Asset Turnover (X)	28%	22%	21%	27%	31%	33%
Inventory Days	327	316	270	250	250	250
Account Receivables Days	94	135	119	110	100	100
Account Payable Days	225	263	231	230	230	230
Return (%)						
ROA	8.1%	5.1%	5.1%	5.8%	6.5%	7.2%
ROE	14.0%	10.0%	9.7%	11.0%	12.1%	13.0%
Gearing (X)						
Asset/Equity	1.7	2.0	1.9	1.9	1.8	1.8
Total Liabilities/Equity	73%	95%	92%	89%	85%	79%
Total IB Debt/Equity	32%	30%	25%	22%	19%	17%
Net Cash	1,621	115	990	730	1,699	3,040
Valuations (X)						
P/E	36.9	29.2	37.7	42.7	34.1	27.7
P/BV	5.2	2.9	3.9	5.0	4.4	3.8
EV/EBITDA	28.7	24.6	31.8	36.6	28.6	22.1
Dividend Yield (%)	1%	1%	1%	0%	46%	0%

Cashflow Statement

(Rmb Mn)	2023A	2024A	2025A	2026E	2027E	2028E
Operating cash flow	340	360	1,302	940	1,669	1,841
Investing cash flow	(1,709)	(1,129)	(2,149)	(1,200)	(700)	(500)
Financing cash flow	360	1,150	2,039	-	-	-
Increase in cash	(1,009)	381	1,192	(260)	969	1,341
Effect of foreign exchange rate changes	11	(5)	(22)	-	-	-
Cash and cash equivalents at BOP	2,709	1,880	2,099	3,256	2,996	3,966
Cash and cash equivalents at EOP	**1,880**	**2,099**	**3,256**	**2,996**	**3,966**	**5,306**

Source: Company data, Morgan Stanley Research estimates

Exhibit 78: Han's Laser

Income Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Revenue	**14,771**	**18,759**	**26,437**	**36,265**	**31,425**
Cost of sales and services	(10,068)	(12,516)	(17,470)	(23,431)	(20,285)
Gross profit	**4,704**	**6,243**	**8,966**	**12,834**	**11,141**
Other income	675	758	1,060	1,456	1,261
Selling expenses	(1,179)	(1,470)	(2,007)	(2,717)	(2,354)
Admin expenses	(1,167)	(1,333)	(1,845)	(2,531)	(2,193)
R&D expenses	(1,800)	(2,065)	(2,857)	(3,847)	(3,300)
Business Tax	(123)	(163)	(206)	(283)	(245)
Operating profit	**435**	**1,212**	**2,051**	**3,456**	**3,049**
Financial expenses	165	(10)	(96)	118	146
Investment income	1,047	(83)	150	150	150
Asset Impairment loss	(485)	(324)	(340)	(357)	(375)
Profit before tax and MI	**1,836**	**1,553**	**2,825**	**4,823**	**4,231**
Income tax	(84)	(236)	(177)	(337)	(297)
Non-controlling interests	(58)	(128)	(198)	(338)	(296)
Net profit	**1,694**	**1,190**	**2,451**	**4,149**	**3,638**
Recurring net profit	**594**	**1,190**	**2,451**	**4,149**	**3,638**
EPS (Rmb)	**1.61**	**1.13**	**2.33**	**3.94**	**3.46**

Balance Sheet

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Non-current assets	**11,207**	**12,676**	**12,420**	**12,199**	**11,733**
PPE	4,229	6,311	6,430	6,507	6,361
Intangible assets	1,621	1,646	1,585	1,521	1,444
Other current assets	5,162	4,511	4,277	4,042	3,797
Current assets	**23,020**	**25,572**	**30,618**	**38,191**	**36,915**
Cash	5,858	6,838	6,857	7,365	7,933
Cash Deposits and Equivalents	2,379	1,176	1,176	1,176	1,176
Notes Receivable	669	1,029	1,231	1,689	1,636
Account Receivable	8,488	8,324	11,082	15,201	14,722
Prepayments	149	235	235	235	235
Other Receivables	204	150	150	150	150
Inventory	3,961	5,222	7,289	9,776	8,463
Other Current Assets	1,313	2,599	2,599	2,599	2,599
Total Assets	**34,227**	**38,248**	**43,039**	**50,390**	**48,647**
Current liabilities	**12,738**	**16,190**	**19,019**	**23,093**	**18,513**
Short-term bank debt	1,634	911	410	(90)	(590)
Notes Payable	2,333	3,243	2,680	3,595	2,779
Account Payable	5,503	6,830	10,721	14,380	11,115
Prepayment Received	864	1,119	1,119	1,119	1,119
Salary Payable	1,245	1,590	1,590	1,590	1,590
Tax Payable	142	270	270	270	270
Other Payable	172	207	208	209	210
Long-term debt due in 1year	313	1,483	1,483	1,483	1,483
Non-current liabilities	**3,992**	**3,133**	**3,133**	**3,133**	**3,133**
Long-term Borrowing	3,237	2,635	2,635	2,635	2,635
Long-term Payables	6	5	5	5	5
Debt in Provision	152	174	174	174	174
Deferred tax Liabilities	79	75	75	75	75
Non-controlling interests	**1,359**	**1,643**	**1,643**	**1,643**	**1,643**
Shareholders' equity	**16,139**	**17,283**	**19,244**	**22,522**	**25,359**
Share Capital	1,052	1,030	1,030	1,030	1,030
Additional Paid-in Capital	3,238	3,307	3,307	3,307	3,307
Retained Earnings	11,849	12,946	14,907	18,185	21,022
Total Liabilities and Equity	**34,227**	**38,248**	**43,039**	**50,390**	**48,647**

Source: Company data, Morgan Stanley Research estimates

Financial Analysis

	2024A	2025A	2026E	2027E	2028E
Growth (%)					
Turnover	5%	27%	41%	37%	-13%
Operating Profit	-11%	179%	69%	68%	-12%
Net Profit	107%	-30%	106%	69%	-12%
Recurring Net Profit	-28%	100%	106%	69%	-12%
Margins (%)					
Gross Margin	31.8%	33.3%	33.9%	35.4%	35.5%
Operating Margin	2.9%	6.5%	7.8%	9.5%	9.7%
Net Margin	11.5%	6.3%	9.3%	11.4%	11.6%
Efficiency					
Asset Turnover (X)	0.4	0.5	0.6	0.7	0.6
Inventory Days	144	152	152	152	152
Receivables Days	226	182	170	170	190
Payable Days	284	294	280	280	250
Return (%)					
ROA	4.9%	3.1%	5.7%	8.2%	7.5%
ROE	11.3%	7.4%	14.2%	21.6%	16.2%
ROIC	7.6%	6.4%	11.8%	16.9%	13.4%
Gearing (X)					
Asset/Equity	2.2	2.2	2.2	2.2	2.1
Total Liabilities/Equity	1.0	1.1	1.2	1.2	0.9
Total IB Debt/Equity	0.3	0.2	0.2	0.1	0.1
Net Interest Coverage	3.9	13.0	19.4	30.1	30.2
Valuations (X)					
P/E	15.5	39.1	64.9	38.4	43.7
P/BV	1.6	2.7	8.3	7.1	6.3
EV/EBITDA	29.3	26.7	61.3	39.5	43.4
Dividend Yield (%)	1.4%	0.4%	0.3%	0.5%	0.5%

Cashflow Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Cash fr operating activities	1,126	1,469	1,682	2,338	2,099
Cash used in investing activities	354	511	(833)	(833)	(633)
Cash fr/(used in) financing activities	(2,669)	(985)	(830)	(997)	(898)
Increasein cash and equivalents	(1,189)	996	19	508	569
Effect of foreign exchange rate changes	24	(16)	0	0	0
Cash and cash equivalents at BOP	7,022	5,858	6,838	6,857	7,365
Cash and cash equivalents at EOP	**5,858**	**6,838**	**6,857**	**7,365**	**7,933**

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Exhibit 79: Sinotruk

Income Statement

RMB Mn	2024A	2025A	2026E	2027E	2028E
Revenue	**95,062**	**109,541**	**127,910**	**140,936**	**150,350**
Cost of sales	(80,196)	(93,022)	(108,396)	(119,289)	(127,348)
Gross profit	14,865	16,519	19,514	21,647	23,002
Distribution costs	(3,441)	(4,238)	(4,861)	(5,356)	(5,713)
Administrative expenses	(4,974)	(5,124)	(5,884)	(6,483)	(6,766)
Other gains - net	1,007	980	980	1,029	1,080
Operating profit	**7,458**	**8,137**	**9,749**	**10,837**	**11,603**
Finance costs - net	193	506	873	1,267	1,616
Profit before income tax	7,780	8,818	10,827	12,329	13,459
Income tax expense	(1,092)	(1,153)	(1,417)	(1,615)	(1,764)
Profit for the year	6,688	7,664	9,409	10,714	11,695
Minority interests	830	645	898	988	1,086
Net Profit	**5,858**	**7,019**	**8,511**	**9,726**	**10,609**
EPS (in RMB)	2.12	2.54	3.08	3.52	3.84

Balance Sheet

RMB Mn	2024A	2025A	2026E	2027E	2028E
Land use rights	2,255	2,217	2,082	2,022	1,957
Property, plant and equipment	15,424	14,518	13,784	12,999	12,159
Other non-current assets	21,671	32,369	32,348	32,326	32,304
Non-current assets	**39,350**	**49,104**	**48,214**	**47,347**	**46,419**
Inventories	11,640	22,233	25,908	28,511	30,437
Trade and other receivables	44,386	37,078	43,295	47,704	50,890
Restricted cash	7,124	12,191	12,191	12,191	12,191
Cash and cash equivalents	11,956	18,293	31,283	42,891	54,047
Current assets	**90,427**	**104,024**	**126,906**	**145,527**	**161,795**
Total assets	**129,777**	**153,129**	**175,120**	**192,874**	**208,214**
Share capital	16,717	16,717	16,717	16,717	16,717
Reserves	24,443	28,273	32,757	37,600	42,629
Minority Interest	7,992	8,224	9,122	10,109	11,196
Total equity	**49,152**	**53,214**	**58,596**	**64,427**	**70,542**
Borrowings-non current	466	536	646	757	868
Non-current liabilities	**1,570**	**1,667**	**1,778**	**1,889**	**2,000**
Trade and other payables	71,903	90,978	106,014	116,668	124,549
Borrowings-current	5,232	4,929	5,951	6,972	7,993
Other current liabilities	1,920	2,340	2,781	2,919	3,130
Current liabilities	**79,055**	**98,248**	**114,746**	**126,559**	**135,673**

Financial Analysis

	2024A	2025A	2026E	2027E	2028E
Growth (%)					
Revenue	11%	15%	17%	10%	7%
Gross profit	10%	11%	18%	11%	6%
Operating profit	15%	9%	20%	11%	7%
Net profit	10%	20%	21%	14%	9%
Margins (%)					
GP Margin	15.6%	15.1%	15.3%	15.4%	15.3%
OP Margin	7.8%	7.4%	7.6%	7.7%	7.7%
Net Margin	6.2%	6.4%	6.7%	6.9%	7.1%
Return (%)					
ROA	4.7%	5.0%	5.2%	5.3%	5.3%
ROE	14.4%	16.3%	18.0%	18.7%	18.7%
ROIC	11.9%	12.3%	13.2%	13.3%	12.9%
Gearing (%)					
Total liabilities/equity	164%	188%	199%	199%	195%
Total IB debt/equity	12%	10%	11%	12%	13%
Net debt/equity	-33%	-56%	-75%	-87%	-97%
Net interest coverage (x)	61.7	119.9	99.5	91.6	83.7
Valuations (x)					
P/E	10.0	9.9	11.7	10.3	9.4
P/BV	1.4	1.5	2.0	1.8	1.7
EV/EBITDA	5.7	5.6	6.4	5.1	4.0
Dividend Yield (%)	5.5%	5.8%	4.9%	5.6%	6.1%
Efficiency					
Asset turnover (x)	0.7	0.7	0.7	0.7	0.7
Inventory days	53	87	87	87	87
Receivables days	170	124	124	124	124
Payable days	327	357	357	357	357

Cash Flow Statement

RMB Mn	2024A	2025A	2026E	2027E	2028E
Net cash fr. operation	**10,087**	**7,623**	**15,966**	**15,094**	**14,968**
Net cash fr. investment	(8,662)	2,225	(82)	266	635
Net cash fr. financing	(4,780)	(3,511)	(2,895)	(3,751)	(4,448)
Net change in cash	(3,355)	6,338	12,989	11,609	11,155
Cash balance at begn. of year	15,252	11,956	18,293	31,283	42,891
Cash balance at end of year	**11,956**	**18,293**	**31,283**	**42,891**	**54,047**

Source: Company data, Morgan Stanley Research estimates

Exhibit 80: Weichai Power

Income Statement

RMB Mn	2024A	2025A	2026E	2027E	2028E
Revenue	**215,691**	**231,809**	**254,222**	**288,156**	**317,012**
Cost of sales	167,305	182,027	198,259	223,411	244,115
Gross profit	**48,386**	**49,782**	**55,962**	**64,745**	**72,897**
Selling expenses	12,485	13,621	14,943	16,501	17,718
Admin expenses	18,559	20,285	19,346	21,087	22,352
Operating profit	**17,659**	**15,620**	**21,627**	**27,104**	**32,770**
Finance costs	231	(454)	608	146	263
Non-operating income	2,452	2,325	2,549	2,890	3,179
Profit before taxation	**17,322**	**16,214**	**21,173**	**27,133**	**32,698**
Income tax	3,044	2,534	3,309	3,804	4,628
Minority interests	2,874	2,750	3,591	4,689	5,642
Net profit	**11,403**	**10,931**	**14,273**	**18,640**	**22,428**
EPS (in RMB)	1.31	1.25	1.64	2.14	2.57

Balance Sheet

RMB Mn	2024A	2025A	2026E	2027E	2028E
Long-term equity investments	4,915	5,435	5,435	5,435	5,435
Fixed assets	47,303	53,670	49,903	46,291	42,554
Construction in progress	6,500	4,668	4,668	4,668	4,668
Intangible assets	22,205	22,063	21,591	21,265	21,029
Other non-current assets	78,206	95,115	95,115	95,115	95,115
Non-current assets	**159,130**	**180,952**	**176,713**	**172,774**	**168,802**
Cash and cash equivalents	72,067	68,713	84,301	115,383	146,166
Notes receivable	7,891	629	689	781	860
Accounts receivable	30,877	34,355	37,677	42,706	46,982
Inventories	35,675	35,236	43,454	48,967	53,505
Other current assets	38,240	47,592	47,887	48,335	48,716
Current assets	**184,750**	**186,524**	**214,009**	**256,172**	**296,229**
Total Assets	**343,879**	**367,476**	**390,722**	**428,946**	**465,031**
Short-term borrowings	2,050	3,024	3,024	3,024	3,024
Trade and other payables	100,795	112,516	113,938	128,392	140,290
Advances from customers	13,914	13,064	14,327	16,240	17,866
Taxes payable	2,245	2,674	2,674	2,674	2,674
Other current liabilities	35,835	30,257	30,285	31,333	32,196
Current liabilities	**154,839**	**161,534**	**164,247**	**181,662**	**196,049**
Long-term borrowings	8,517	11,052	17,045	17,989	19,028
Bonds payable	7,117	7,196	7,196	7,196	7,196
Deferred tax liabilities	3,911	3,599	3,599	3,599	3,599
Other non-current liabilities	47,538	53,033	56,055	60,870	64,641
Non-current liabilities	**67,081**	**74,879**	**83,894**	**89,653**	**94,463**
Minority interests	35,262	37,872	41,462	46,152	51,794
Share capital	8,727	8,714	8,714	8,714	8,714
Reserves	15,163	16,154	16,154	16,154	16,154
Retained earnings	62,558	68,109	76,036	86,398	97,642
Shareholders' equity	**121,959**	**131,062**	**142,580**	**157,631**	**174,518**

Financial Analysis

	2024A	2025A	2026E	2027E	2028E
Growth (%)					
Revenue	1%	7%	10%	13%	10%
Gross profit	11%	3%	12%	16%	13%
Operating profit	31%	-12%	38%	25%	21%
Net profit	27%	-4%	31%	31%	20%
EPS	27%	-4%	31%	31%	20%
Margins (%)					
Gross margin	22.4%	21.5%	22.0%	22.5%	23.0%
Operating margin	8.2%	6.7%	8.5%	9.4%	10.3%
Net margin	5.3%	4.7%	5.6%	6.5%	7.1%
Return (%)					
ROA	3.4%	3.1%	3.8%	4.5%	5.0%
ROE	13.7%	12.2%	14.7%	17.5%	19.2%
ROIC	10.9%	9.2%	11.3%	13.1%	14.4%
Gearing (%)					
Total liabilities/equity	182%	180%	174%	172%	166%
Total IB debt/equity	14%	16%	19%	18%	17%
Net debt/equity	-38%	-31%	-44%	-66%	-85%
H-Share Valuations (x)					
P/E	8.2	17.2	21.3	16.3	13.5
P/B	1.1	2.0	3.0	2.7	2.5
Dividend Yield (%)	6.7%	3.4%	2.7%	3.7%	4.4%
A-Share Valuations (x)					
P/E	10.3	17.2	19.1	14.6	12.1
P/B	1.4	2.0	2.7	2.4	2.2
Dividend Yield (%)	5.3%	3.4%	3.0%	4.1%	4.9%
Efficiency					
Asset turnover (x)	0.6	0.6	0.7	0.7	0.7
Inventory days	78	71	80	80	80
Receivables days	66	55	55	55	55
Payable days	201	209	193	193	193

Cash Flow Statement

RMB Mn	2024A	2025A	2026E	2027E	2028E
Cash from operation	26,094	28,682	24,457	47,527	51,056
Cash from investment	(28,911)	(16,628)	(7,908)	(8,965)	(9,864)
Cash from financing	(13,838)	(18,320)	(961)	(7,480)	(10,409)
Net change in cash	(16,655)	(6,267)	15,589	31,082	30,783
Cash balance at year beg.	92,857	72,067	68,713	84,301	115,383
Cash balance at year end.	72,067	68,713	84,301	115,383	146,166

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Source: Company data, Morgan Stanley Research estimates

Exhibit 81: Geekplus

Beijing Geekplus Technology Co., Ltd.

Income Statement

(Rmb'mn)	2024	2025	2026e	2027e	2028e
Revenue	**2,409**	**3,171**	**4,159**	**5,484**	**7,369**
Cost of sales and services	(1,572)	(2,046)	(2,648)	(3,457)	(4,627)
Gross profit	**837**	**1,125**	**1,511**	**2,026**	**2,742**
R&D exp.	(282)	(335)	(457)	(603)	(811)
Selling exp.	(446)	(539)	(674)	(795)	(958)
G&A exp.	(220)	(271)	(287)	(351)	(435)
Operating profit	**(111)**	**(19)**	**93**	**277**	**539**
Financial (cost)/income	(14)	(13)	(16)	(21)	(22)
Other Income/(loss)	(2)	26	(84)	75	88
Impairment losses recognized on receivables	(15)	(35)	(31)	(40)	(54)
Impairment loss of noncurrent asset	-	-	-	-	-
Impairment loss of PPE	-	-	-	-	-
Revaluation of redemption liabilities	(686)	21	-	-	-
Share of profits less losses of an associate	0	15	20	26	35
Profit before tax	**(827)**	**(5)**	**(18)**	**316**	**585**
Tax	(4)	(5)	(5)	(5)	(5)
Net profit	**(832)**	**(10)**	**(23)**	**311**	**580**
Net profit to shareholders	**(832)**	**(10)**	**(23)**	**311**	**580**
EPS (Rmb)	**(0.72)**	**(0.01)**	**(0.02)**	**0.23**	**0.43**
Adjusted net profit	**(92)**	**44**	**18**	**366**	**654**

Balance Sheet

(Rmb'mn)	2024	2025	2026e	2027e	2028e
Non-current assets	**276**	**367**	**437**	**509**	**578**
PPE	197	208	214	223	229
Intangible assets	13	72	135	199	262
Other current assets	66	87	87	87	87
Current assets	**2,929**	**5,347**	**6,050**	**7,079**	**8,636**
Cash	636	2,975	3,054	3,243	3,600
Account Receivable	714	958	1,257	1,657	2,227
Inventory	1,029	803	1,039	1,357	1,816
Other Current Assets	550	610	700	821	993
Total Assets	**3,204**	**5,714**	**6,487**	**7,587**	**9,214**
Current liabilities	**9,404**	**2,231**	**3,027**	**3,816**	**4,863**
Account payable	1,000	1,138	1,472	1,922	2,572
Salary payable	91	-	-	-	-
Short Term Loans	414	358	612	673	673
Other current liabilities	7,900	735	943	1,222	1,618
Non-current liabilities	**49**	**75**	**75**	**75**	**75**
Non-controlling interests	-	-	-	-	-
Shareholders' equity	**(6,249)**	**3,408**	**3,385**	**3,695**	**4,276**
Share Capital	1,159	1,337	1,337	1,337	1,337
Other Reserve	(7,408)	2,070	2,047	2,358	2,938
Total Liabilities and Equity	**3,204**	**5,714**	**6,486**	**7,587**	**9,214**

Financial Analysis

(Rmb'mn)	2024	2025	2026e	2027e	2028e
Growth (%)					
Revenue	12%	32%	31%	32%	34%
Operating Profit	-	-	-	198%	95%
Net Profit	-	-	-	-	87%
Margins (%)					
Gross Margin	34.8%	35.5%	36.3%	37.0%	37.2%
R&D exp.	11.7%	10.6%	11.0%	11.0%	11.0%
Selling exp.	18.5%	17.0%	16.2%	14.5%	13.0%
G&A exp.	9.1%	8.5%	6.9%	6.4%	5.9%
Operating Margin	-4.6%	-0.6%	2.2%	5.1%	7.3%
Net Margin	-34.5%	-0.3%	-0.6%	5.7%	7.9%
Adjusted Net Margin	-3.8%	1.4%	0.4%	6.7%	8.9%
Efficiency					
Asset Turnover (X)	0.8x	0.6x	0.6x	0.7x	0.8x
Inventory Days	239	143	143	143	143
Account Receivables Days	108	110	110	110	110
Account Payable Days	232	203	203	203	203
Return (%)					
ROA	-25.9%	-0.2%	-0.4%	4.1%	6.3%
ROE	13.3%	-0.3%	-0.7%	8.4%	13.6%
ROIC	14.0%	0.4%	-0.1%	7.6%	12.2%
Gearing (X)					
Asset/Equity	-0.5x	1.7x	1.9x	2.1x	2.2x
Total Liabilities/Equity	-1.5x	0.7x	0.9x	1.1x	1.2x
Net Cash	222	2,617	2,442	2,571	2,928

Cashflow Statement

(Rmb'mn)	2024	2025	2026e	2027e	2028e
Operating cash flow	(108)	86	(87)	221	448
Investing cash flow	48	(156)	(88)	(92)	(91)
Increase in cash	(116)	2,367	79	190	357
Effect of FX changes	(8)	(28)	-	-	-
Cash Restatement	-	-	-	-	-
Cash&cash equivalents at BOP	760	636	2,975	3,054	3,243
Cash&cash equivalents at EOP	636	2,975	3,054	3,243	3,600

Source: Company Data, Morgan Stanley Research (e) estimates.

Source: Company data, Morgan Stanley Research estimates

Exhibit 82: Estun

Estun Automation

Income Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Revenue	**4,009**	**4,888**	**5,909**	**7,099**	**8,580**
Cost of sales and services	(2,823)	(3,448)	(4,102)	(4,928)	(5,958)
Gross profit	**1,185**	**1,440**	**1,807**	**2,170**	**2,622**
Business tax	(23)	(24)	(29)	(34)	(41)
Selling and marketing expenses	(446)	(449)	(519)	(609)	(719)
General and administrative expenses	(971)	(829)	(983)	(1,152)	(1,367)
Operating profit	**(254)**	**138**	**277**	**375**	**495**
Asset impairment Loss	(466)	(18)	(31)	(37)	(45)
Investment gain	66	104	176	211	243
Financial expenses	(136)	(153)	(123)	(98)	(128)
Non-operating income	27	21	25	30	37
Non-operating expenses	(11)	(13)	(12)	(14)	(17)
Profit before tax	**(775)**	**77**	**313**	**467**	**584**
Tax	(42)	(32)	(63)	(93)	(117)
Net profit	**(817)**	**45**	**250**	**373**	**467**
Minority	(7)	0	(6)	(7)	(9)
Net profit to shareholders	**(810)**	**45**	**256**	**380**	**476**
EPS (Rmb)	**(0.93)**	**0.05**	**0.29**	**0.44**	**0.55**
NP to shareholders - recurring	**(818)**	**41**	**256**	**380**	**476**
Diluted EPS - recurring	**(0.94)**	**0.05**	**0.29**	**0.44**	**0.55**

Balance Sheet

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Non-current assets	**4,077**	**4,090**	**4,876**	**5,453**	**6,174**
PPE	1,435	1,471	1,597	1,756	1,957
Intangible assets	731	655	712	766	839
Other current assets	1,912	1,964	2,567	2,931	3,379
Current assets	**6,064**	**5,326**	**6,040**	**7,240**	**8,594**
Cash	1,197	896	752	1,039	1,256
Bills receivable	147	26	243	292	353
Account receivable	1,777	1,906	2,304	2,768	3,346
Other receivable	33	107	130	156	188
Prepayments	44	46	67	81	98
Inventory	1,721	1,478	1,758	2,112	2,553
Other current assets	1,145	867	787	793	800
Total Assets	**10,141**	**9,415**	**10,916**	**12,693**	**14,768**
Current liabilities	**6,012**	**5,207**	**5,913**	**6,932**	**8,184**
Short-term borrowing	1,839	1,278	1,533	1,840	2,208
Bills payable	649	405	486	583	705
Account payable	1,559	1,495	1,791	2,133	2,554
Advance payaments	505	586	709	851	1,029
Tax payable	39	65	118	142	172
Other payables	108	125	532	639	772
Other current liabilities	1,314	1,254	744	744	744
Non-current liabilities	**2,236**	**2,189**	**2,718**	**3,222**	**3,726**
Debt and long term bond	1,353	1,216	1,716	2,216	2,716
Other Non-current Liabilities	882	973	1,002	1,006	1,010
Non-controlling interests	**104**	**58**	**53**	**48**	**42**
Shareholders' equity	**1,789**	**1,961**	**2,232**	**2,491**	**2,815**
Total Liabilities and Equity	**10,141**	**9,415**	**10,916**	**12,693**	**14,768**

Financial Analysis

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Growth					
Turnover	-14%	22%	21%	20%	21%
Operating Profit	NM	NM	101%	35%	32%
Net Profit	NM	NM	470%	48%	25%
Margins					
Gross Margin	29.6%	29.5%	30.6%	30.6%	30.6%
Selling expenses	11.1%	9.2%	8.8%	8.6%	8.4%
G&A expenses	24.2%	17.0%	16.6%	16.2%	15.9%
Operating Margin	-6.3%	2.8%	4.7%	5.3%	5.8%
Net Margin	-20.2%	0.9%	4.3%	5.4%	5.5%
Efficiency					
Asset Turnover	0.4x	0.5x	0.5x	0.6x	0.6x
Inventory Days	210	172	170	171	171
Account Receivables Days	150	156	156	155	156
Account Payable Days	190	174	173	172	171
Return					
ROA	-8.1%	0.5%	2.5%	3.2%	3.4%
ROE	5.9%	-43.6%	2.2%	10.6%	14.1%
ROIC	-13.5%	3.0%	6.4%	6.9%	7.4%
Gearing					
Asset/Equity	5.7x	4.8x	4.9x	5.1x	5.2x
Total Liabilities/Equity	4.6x	3.8x	3.9x	4.1x	4.2x
Total IB Debt/Equity	1.8x	1.3x	1.5x	1.6x	1.7x
Net Cash	1,995	1,598	2,497	3,017	3,668
Valuations					
P/E	-13.0x	496.1x	169.1x	113.9x	91.0x
P/BV	5.9x	11.4x	19.4x	17.4x	15.4x
EV/EBITDA	-26.4x	59.8x	3.9x	3.8x	3.8x
Dividend Yield (%)	-	-	0.2%	0.3%	0.4%

Cashflow Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	(74)	507	558	403	476
Investing cash flow	(192)	157	(1,015)	(796)	(969)
Financing cash flow	289	(990)	313	680	711
Increase in cash	23	(327)	(144)	287	217
Effect of foreign exchange	(38)	22	0	0	0
Cash and cash equivalents	1,227	1,197	896	752	1,039
Cash and cash	1,212	892	752	1,039	1,256

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Source: Company data, Morgan Stanley Research estimates.

Exhibit 83: Hongfa

Hongfa Technology Co Ltd

Income Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Revenue	**14,102**	**17,202**	**20,991**	**24,123**	**26,646**
Cost of sales and services	(8,996)	(11,299)	(13,905)	(15,764)	(17,295)
Gross profit	**5,106**	**5,904**	**7,085**	**8,359**	**9,351**
Business Tax and plus	(109)	(134)	(164)	(188)	(208)
Selling exp.	(518)	(568)	(676)	(770)	(842)
G&A exp.	(2,220)	(2,627)	(3,173)	(3,610)	(3,988)
Operating profit	**2,259**	**2,574**	**3,072**	**3,790**	**4,313**
Asset impairment Loss	(34)	(55)	(76)	(81)	(89)
Investment Gains	(25)	16	16	16	16
Non-operating profit	276	234	286	295	299
Non-operating loss	(4)	(9)	0	0	0
Financial expenses	(70)	(84)	(105)	(7)	(3)
Profit before tax	**2,445**	**2,689**	**3,193**	**4,013**	**4,536**
Tax	(282)	(350)	(415)	(522)	(590)
Net profit	**2,163**	**2,339**	**2,778**	**3,492**	**3,946**
Minority	(532)	(581)	(710)	(815)	(901)
Net profit to shareholders	**1,631**	**1,758**	**2,068**	**2,676**	**3,045**
EPS (Rmb)	**1.56**	**1.20**	**1.34**	**1.73**	**1.97**
NP to shareholders - recurring	**1,417**	**1,571**	**1,981**	**2,458**	**2,835**
Diluted EPS - recurring	**1.34**	**1.07**	**1.28**	**1.59**	**1.83**

Balance Sheet

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Non-current assets	**7,784**	**8,385**	**8,652**	**9,533**	**10,323**
PPE	5,254	5,533	5,937	6,505	7,075
Intangible assets	485	468	455	440	428
Other current assets	2,045	2,385	2,260	2,588	2,820
Current assets	**12,881**	**14,979**	**16,465**	**19,020**	**21,797**
Cash	1,863	2,261	1,007	1,605	2,793
Cash Deposits and Equivalents	2,091	1,363	1,363	1,363	1,363
Notes Receivable	1,649	2,132	2,609	2,999	3,313
Account Receivable	3,271	4,144	5,463	6,279	6,935
Prepayments	169	205	252	286	313
Other Receivables	55	56	94	108	120
Inventory	3,487	4,278	5,265	5,969	6,548
Other Current Assets	296	539	411	411	411
Total Assets	**20,664**	**23,364**	**25,118**	**28,553**	**32,119**
Current liabilities	**4,732**	**6,207**	**5,719**	**6,295**	**6,733**
Short-term borrowing	1,214	602	602	602	602
Notes Payable	626	1,835	838	950	1,042
Account Payable	1,693	2,261	2,706	2,981	3,176
Prepayments	1	1	1	1	1
Salary payable	684	886	840	965	1,066
Tax payable	153	154	210	241	266
Other current assets	361	468	523	555	580
Non-current liabilities	**3,390**	**1,147**	**1,147**	**1,147**	**1,147**
Debt and long term bond	2,565	169	169	169	169
Other Non-current Liabilities	825	978	978	978	978
Non-controlling interests	**3,038**	**3,380**	**3,380**	**3,380**	**3,380**
Shareholders' equity	**9,504**	**12,631**	**14,871**	**17,731**	**20,859**
Share Capital	1,043	1,548	1,548	1,548	1,548
Additional Paid-in Capital	1,857	3,500	3,500	3,500	3,500
Retained Earnings	6,605	7,583	9,824	12,684	15,812
Total Liabilities and Equity	**20,664**	**23,364**	**25,118**	**28,553**	**32,119**

Financial Analysis

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Growth (%)					
Turnover	9%	22%	22%	15%	10%
Operating Profit	-2%	14%	19%	23%	14%
Net Profit	17%	8%	18%	29%	14%
Margins (%)					
Gross Margin	36.2%	34.3%	33.8%	34.7%	35.1%
Selling expenses	3.7%	3.3%	3.2%	3.2%	3.2%
G&A expenses	15.7%	15.3%	15.1%	15.0%	15.0%
Operating Margin	16.0%	15.0%	14.6%	15.7%	16.2%
Net Margin	11.6%	10.2%	9.9%	11.1%	11.4%
Efficiency					
Asset Turnover (X)	0.7	0.7	0.8	0.8	0.8
Inventory Days	141	138	138	138	138
Account Receivables Days	85	88	95	95	95
Account Payable Days	69	73	71	69	67
Return (%)					
ROA	7.9%	7.5%	8.2%	9.4%	9.5%
ROE	17.2%	13.9%	13.9%	15.1%	14.6%
ROIC	19.5%	18.0%	18.3%	18.9%	18.3%
Gearing (X)					
Asset/Equity	2.2	1.8	1.7	1.6	1.5
Total Liabilities/Equity	85%	58%	46%	42%	38%
Total IB Debt/Equity	40%	6%	5%	4%	4%
Net Debt / (cash)	(145)	(2,779)	(1,525)	(2,123)	(3,310)
Valuations (X)					
P/E	17.3	30.2	27.2	21.0	18.5
P/BV	3.0	4.2	3.8	3.2	2.7
EV/EBITDA	8.7	13.3	12.6	10.5	12.4
Dividend Yield (%)	1.9%	1.0%	1.1%	1.5%	1.7%

Cashflow Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	2,235	2,969	1,196	3,526	4,393
Investing cash flow	(2,210)	(610)	(1,913)	(2,296)	(2,388)
Financing cash flow	111	(1,951)	(537)	(632)	(818)
Increase in cash	135	408	(1,254)	598	1,188
Effect of FX rate changes	(13)	(10)	0	0	0
Cash and cash equivalents at BOP	1,742	1,863	2,261	1,007	1,605
Cash and cash equivalents at EOP	1,863	2,261	1,007	1,605	2,793

E = Morgan Stanley Research estimates
Source: Company data, Morgan Stanley Research

Source: Company data, Morgan Stanley Research estimates

Exhibit 84: Wuxi Lead

Wuxi Lead Intelligent Equipment Co Ltd (300450.SZ)

Income Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Revenue	**11,855**	**14,443**	**20,260**	**30,011**	**39,358**
Cost of sales and services	(7,708)	(9,630)	(13,362)	(19,226)	(24,904)
Gross profit	**4,147**	**4,813**	**6,898**	**10,785**	**14,454**
Business Tax and plus	(84)	(85)	(119)	(176)	(231)
Selling exp.	(362)	(353)	(483)	(685)	(898)
Admin exp.	(1,086)	(1,064)	(1,425)	(1,934)	(2,340)
R&D exp.	(1,671)	(1,605)	(2,229)	(3,301)	(4,329)
Operating profit	**944**	**1,706**	**2,643**	**4,689**	**6,656**
Asset impairment Loss	(1,104)	(230)	(243)	(360)	(472)
Investment Gains	(17)	(4)	(6)	(9)	(11)
Financial expenses	12	(63)	(96)	9	35
Non-operating profit	277	281	304	450	590
Profit before tax	**112**	**1,689**	**2,601**	**4,780**	**6,798**
Tax	156	(129)	(199)	(365)	(519)
Net profit	**268**	**1,560**	**2,403**	**4,415**	**6,279**
Minority	(18)	(4)	(114)	(186)	(264)
Net profit to shareholders	**286**	**1,564**	**2,516**	**4,600**	**6,543**
EPS (Rmb)	**0.18**	**1.00**	**1.53**	**2.73**	**3.98**

Balance Sheet

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Non-current assets	**5,611**	**6,034**	**5,892**	**5,740**	**5,590**
PPE	1,968	2,461	2,389	2,329	2,265
Intangible assets	622	578	523	459	385
Other current assets	3,021	2,995	2,979	2,952	2,940
Current assets	**30,571**	**33,039**	**36,389**	**48,347**	**61,241**
Cash	4,230	6,057	4,299	7,181	10,222
Notes Receivable	956	690	833	1,233	1,617
Account Receivable	8,626	6,710	9,413	13,944	18,286
Prepayments	406	469	651	936	1,212
Other Receivables	99	94	658	974	1,278
Inventory	13,580	14,957	16,474	20,016	24,563
Other Current Assets	2,675	4,062	4,062	4,062	4,062
Total Assets	**36,183**	**39,073**	**42,281**	**54,086**	**66,831**
Current liabilities	**21,665**	**23,449**	**20,398**	**28,557**	**36,427**
Short-term borrowing	1,667	328	328	328	328
Notes Payable	3,176	3,661	5,491	7,901	10,235
Account Payable	3,770	4,470	5,857	8,428	10,917
Salary payable	639	600	600	600	600
Tax payable	58	75	75	75	75
Dividend & interest payable	187	180	180	180	180
Other current assets	12,168	14,135	7,867	11,046	14,093
Non-current liabilities	**2,939**	**2,504**	**2,504**	**2,504**	**2,504**
Debt and long term bond	2,477	1,817	1,817	1,817	1,817
Other Non-current Liabilities	462	688	688	688	688
Non-controlling interests	**(18)**	**(20)**	**(20)**	**(20)**	**(20)**
Shareholders' equity	**11,598**	**13,140**	**19,399**	**23,045**	**27,920**
Share Capital	1,566	1,566	1,674	1,674	1,674
Additional Paid-in Capital	4,557	4,622	8,848	8,848	8,848
Retained Earnings	5,475	6,951	8,877	12,523	17,398
Total Liabilities and Equity	**36,183**	**39,073**	**42,281**	**54,086**	**66,831**

Financial Analysis

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Growth (%)					
Turnover	-28.7%	21.8%	40.3%	48.1%	31.1%
Operating Profit	-64.1%	80.6%	54.9%	77.4%	41.9%
Net Profit	-84.9%	482.0%	54.0%	83.7%	42.2%
Margins (%)					
Gross Margin	35.0%	33.3%	34.0%	35.9%	36.7%
Selling expenses	3.1%	2.4%	2.4%	2.3%	2.3%
Admin expenses	9.2%	7.4%	7.0%	6.4%	5.9%
R&D expenses	14.1%	11.1%	11.0%	11.0%	11.0%
Operating Margin	8.0%	11.8%	13.0%	15.6%	16.9%
Net Margin	2.4%	10.8%	12.4%	15.3%	16.6%
Efficiency					
Asset Turnover (X)	3.1	2.7	2.1	1.8	1.7
Inventory Days	643.0	566.9	450.0	380.0	360.0
Account Receivables Days	265.6	169.6	169.6	169.6	169.6
Account Payable Days	178.5	169.4	160.0	160.0	160.0
Return (%)					
ROA	0.8%	4.0%	6.0%	8.5%	9.8%
ROE	2.5%	11.9%	13.0%	20.0%	23.4%
ROIC	1.5%	10.6%	11.6%	17.5%	20.8%
Gearing (X)					
Asset/Equity	3.1x	3.0x	2.2x	2.3x	2.4x
Total Liabilities/Equity	2.1x	2.0x	1.2x	1.3x	1.4x
Total IB Debt/Equity	0.4x	0.2x	0.1x	0.1x	0.1x
Net Cash	86	3,912	2,154	5,037	8,078
Valuation					
P/E	110.1x	32.7x	25.2x	14.1x	9.7x
P/BV	2.5x	3.9x	3.1x	2.6x	2.2x
EV/EBITDA	22.2x	20.9x	20.8x	11.7x	8.0x
Dividend Yield (%)	0.3%	0.9%	1.2%	2.2%	3.1%

Cashflow Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	(1,567)	4,957	(5,325)	3,831	4,605
Investing cash flow	(2,820)	(12,730)	(193)	(189)	(195)
Financing cash flow	(300)	(2,478)	0	0	0
Increase in cash	(173)	(192)	0	0	0
FX changes	0	0	0	0	0
Cash beginning	3,669	4,230	6,057	4,299	7,181
Cash ending	**4,230**	**6,057**	**4,299**	**7,181**	**10,222**

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Source: Company data, Morgan Stanley Research estimates

Exhibit 85: Leaderdrive

Leader Harmonious Drive Systems

Income Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Revenue	**387**	**571**	**950**	**1,488**	**2,164**
Cost of sales and services	(242)	(360)	(612)	(959)	(1,394)
Gross profit	**145**	**211**	**338**	**529**	**770**
Business Tax and plus	(4)	(3)	(5)	(8)	(12)
Selling exp.	(13)	(13)	(18)	(29)	(42)
G&A exp.	(72)	(80)	(123)	(188)	(271)
Operating profit	**57**	**114**	**191**	**304**	**446**
Financial cost/income	0	(2)	1	1	1
Other Income	11	12	19	30	43
Asset impairment Loss	(34)	(30)	(29)	(35)	(33)
Net Income from fair value changes	4	16	20	18	13
Investment Gains/Other Income	28	36	48	74	108
Credit Imapirment Loss	(5)	(1)	(8)	(10)	(11)
Non-operating profit	0	0	-	-	-
Non-operating loss	(0)	(1)	(2)	(3)	(5)
Gains on Asset Dispositions	0	0	-	-	-
Profit before tax	**61**	**144**	**240**	**379**	**562**
Tax	(5)	(18)	(31)	(48)	(72)
Net profit	**56**	**126**	**209**	**331**	**490**
Minority	0	(1)	(2)	(4)	(6)
Net profit to shareholders	**56**	**124**	**207**	**327**	**484**
EPS (Rmb)	**0.33**	**0.69**	**1.13**	**1.78**	**2.64**
Net profit to shareholders - recurring	**52**	**106**	**183**	**305**	**468**
EPS (Rmb) - recurring	**0.31**	**0.59**	**1.00**	**1.66**	**2.55**

Balance Sheet

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Non-current assets	**1,550**	**1,337**	**1,491**	**1,729**	**2,063**
PPE	494	610	757	979	1,290
Intangible assets	59	57	56	56	57
Other current assets	998	670	677	694	716
Current assets	**2,205**	**2,592**	**2,499**	**2,629**	**2,808**
Cash	1,525	746	573	470	407
Cash Deposits and Equivalents	7	9	9	9	9
Notes Receivable	53	61	47	78	122
Account Receivable	147	194	299	428	563
Prepayments	13	7	34	53	76
Other Receivables	2	3	4	7	10
Inventory	246	285	470	709	1,012
Other Current Assets	212	1,286	1,063	874	608
Total Assets	**3,755**	**3,929**	**3,989**	**4,358**	**4,871**
Current liabilities	**228**	**271**	**232**	**338**	**471**
Notes Payable	-	56	-	-	-
Account Payable	67	112	134	210	305
Advances from Customers	11	3	13	20	30
Salary payable	12	25	29	45	65
Tax payable	3	24	10	15	22
Other current assets	133	50	47	48	49
Non-current liabilities	**97**	**115**	**73**	**115**	**167**
Non-controlling interests	**5**	**6**	**4**	**(0)**	**(6)**
Shareholders' equity	**3,425**	**3,537**	**3,680**	**3,905**	**4,240**
Share Capital	169	183	183	183	183
Additional Paid-in Capital	2,826	2,830	2,830	2,830	2,830
Retained Earnings	431	523	666	892	1,226
Total Liabilities and Equity	**3,755**	**3,929**	**3,989**	**4,358**	**4,871**

Financial Analysis

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Growth (%)					
Turnover	8.8%	47.3%	66.5%	56.6%	45.4%
Operating Profit	-7.6%	99.8%	67.8%	59.3%	46.5%
Net Profit	-33.3%	121.4%	66.2%	58.1%	48.3%
Margins (%)					
Gross Margin	37.5%	36.9%	35.6%	35.6%	35.6%
Selling expenses	3.3%	2.3%	1.9%	1.9%	1.9%
G&A expenses	18.5%	14.1%	13.0%	12.6%	12.5%
Operating Margin	14.7%	20.0%	20.1%	20.5%	20.6%
Net Margin	14.5%	21.8%	21.8%	22.0%	22.4%
Efficiency					
Asset Turnover (X)	0.1	0.1	0.2	0.3	0.4
Inventory Days	370.4	288.9	280.0	270.0	265.0
Account Receivables Days	138.1	124.4	115.0	105.0	95.0
Account Payable Days	101.7	113.8	80.0	80.0	80.0
Return (%)					
ROA	1.5%	3.2%	5.2%	7.5%	9.9%
ROE	1.6%	3.5%	5.6%	8.4%	11.4%
ROIC	1.6%	3.6%	5.7%	8.5%	11.6%
Gearing (X)					
Asset/Equity	1.1	1.1	1.1	1.1	1.1
Total Liabilities/Equity	0.1	0.1	0.1	0.1	0.2
Net Cash	1,455.5	746.1	572.9	470.4	407.2
Valuations (X)					
P/E	324.5x	350.1x	215.0x	136.0x	0.0x
P/BV	5.3x	11.6x	11.1x	10.5x	0.0x
EV/EBITDA	148.9x	231.1x	137.8x	92.1x	0.0x
Dividend Yield (%)	0.1%	0.1%	0.1%	0.2%	0.0%

Cashflow Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	28	152	110	103	220
Investing cash flow	(312)	(762)	(245)	(144)	(199)
Financing cash flow	840	(168)	(38)	(62)	(85)
Increase in cash	556	(779)	(173)	(103)	(63)
Effect of FX changes	(0)	(1)	-	-	-
Cash Restatement	0	1	-	-	-
Cash and cash equivalents at BOP	969	1,525	746	573	470
Cash and cash equivalents at EOP	1,525	746	573	470	407

E = Morgan Stanley Research estimates
Source: Company data, Morgan Stanley Research

Source: Company data, Morgan Stanley Research estimates

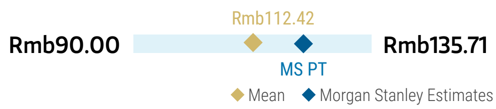
Risk Reward – Shanghai BOCHU Electronic Technology (688188.SS)

China's leading laser-cutting MCS player expanding to welding robot market

PRICE TARGET Rmb122.00

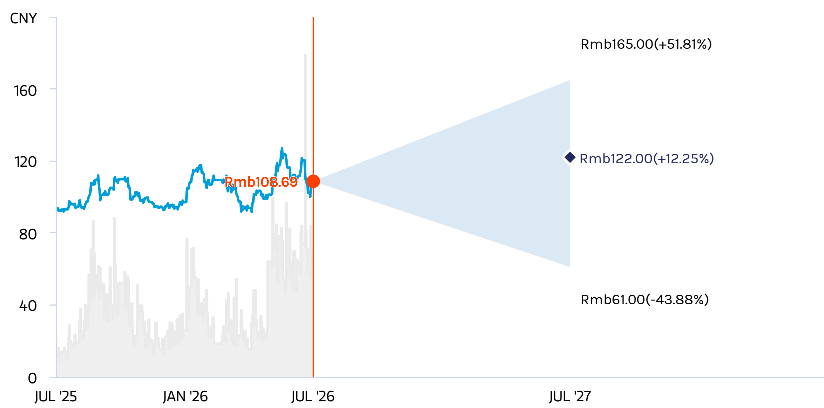
Base case, derived from P/E methodology. Our target multiple is 30x 2027e P/E, this is largely in-line with Inovance, given Bochu's dominant position in laser cutting motion control system, but it's still below Bochu's 5-year historical average FY2 P/E of 36x due to our expectation of slower revenue growth in 2026-27.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



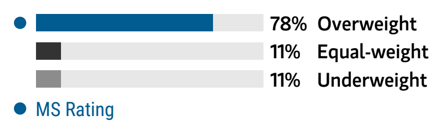
Key: Historical Stock Performance • Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- As China's largest laser-cutting MCS provider, BOCHU enjoys over 70% market share in the low- to mid-power range, and has become a substitute for foreign brands in the high-power range with market share at >40%, per our estimate.
- It is also building a product ecosystem by providing cutting heads compatible with its MCS products.
- BOCHU is expanding its business scope into the welding robot MCS market to broaden its opportunities for long-term growth.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Positive*
Secular Growth:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb165.00

40x 2027e P/E

We anticipate 35% net profit CAGR in 2026-28: We assume the company gains share in the high-power laser MCS market rapidly to >70%; robust cutting head sales; stronger-than-expected demand in welding robot MCS sales; gross margin stay solid at >80% level.

BASE CASE Rmb122.00

30x 2027e P/E

We anticipate 20% net profit CAGR in 2026-28: We project the company will gradually gain share in the high-power MCS market and maintain its solid position in the low-power MCS market. More diversified product line with more hardware (e.g., cutting head) equipped; Welding robot MCS sales pickup. Mild gross margin contraction due to product mix.

BEAR CASE Rmb61.00

20x 2027e P/E

We anticipate single-digit net profit CAGR in 2026-28: We assume market share loss in the low- to mid-power laser segment and slower-than-expected penetration in the high-power MCS market. Laser export demand softens significantly. Welding robot MCS sales weaker-than-expected due to weak downstream capex and fierce competition.

Risk Reward – Shanghai BOCHU Electronic Technology (688188.SS)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Low-to-mid power MCS revenue growth (%)	17.6	10.5	16.0	20.1
High-power system MCS revenue growth (%)	(54.7)	279.4	43.7	41.7
Low-to-mid power MCS GPM (%)	84.2	84.0	83.8	83.6
High-power system MCS GPM (%)	89.0	88.9	88.8	88.7

INVESTMENT DRIVERS

1) Domestic manufacturing capex momentum

2) High-power MCS sales

3) Laser cutting head sales

4) Welding robot MCS sales

GLOBAL REVENUE EXPOSURE

100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 **MOST** | 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected market share gains in high-power MCS market.
- Faster-than-expected market expansion in welding MCS market.

RISKS TO DOWNSIDE

- Narrowing demand for low- to mid-power equipment.
- Margin pressure from intensified competition in the low- to mid-power market.
- Unfavorable product mix.

OWNERSHIP POSITIONING

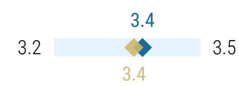
Inst. Owners, % Active 92.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

EPS (Rmb)



Source: Refinitiv, Morgan Stanley Research

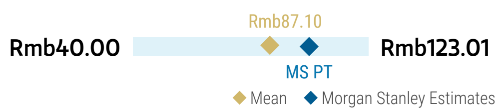
Risk Reward – Shenzhen Envicool Technology Co Ltd (002837.SZ)

Riding the China AI capex wave; Overseas breakthrough unfolds long-term growth

PRICE TARGET Rmb101.00

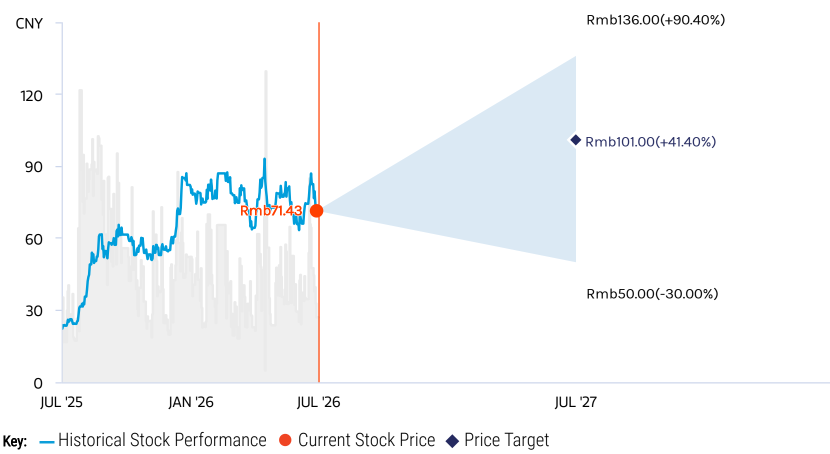
We use a DCF methodology to discount free cash flow over 2025-2035, with a WACC of 9.7% and 4% terminal growth to drive its overseas liquid cooling business value per share of Rmb80. We use 30x 2027e P/E for its other traditional business to get value per share of Rmb21, versus its historical 5-year average FY2 P/E of 34x. Combining both these values, our PT is Rmb101.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Envicool is a domestic leader in thermal management, with advanced cooling solutions for data centers, energy storage systems and other applications. It has strong relationships with high-quality customers.
- It benefits from the data center demand up-cycle in China in 2025-27 with AI inference workload as a key driver. Its comprehensive and premium-quality product offerings and strong delivery capabilities will support market share gains, in our view.
- Envicool has potential to capture overseas market opportunities with higher margins in the next few years.

Consensus Rating Distribution

76%	Overweight
12%	Equal-weight
12%	Underweight

MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Secular Growth:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb136.00

105x 2027e bull-case P/E

>60% revenue CAGR in 2026-28 with significant margin expansion: We assume: 1) greater-than-expected contribution from higher-value liquid cooling businesses given solid AI infrastructure investment and acceleration in direct-to-chip business; 2) significant market share gain in key overseas customers; 3) stronger than expected ESS shipment globally.

BASE CASE Rmb101.00

78x 2027e base-case P/E

We see 44% revenue CAGR in 2026-28, with clear margin expansion: supported by: 1) hyperscalers' increasing AI capex globally and rapid liquid cooling penetration; 2) market share gains with better client mix and comprehensive product matrix; 3) overseas customers breakthrough and increasing revenue/profit contribution.

BEAR CASE Rmb50.00

40x 2027e bear-case P/E

We see ~20% revenue CAGR in 2026-28, with flat margin: We assume: 1) lower-than-expected data center capex and slower liquid cooling deployment; 2) failure to gain market share globally given more entrants and intense competition; 3) ESS project delays with slower than expected growth.

Risk Reward – Shenzhen Envicool Technology Co Ltd (002837.SZ)

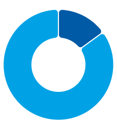
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Data center room cooling revenue YoY (%)	41.3	37.3	24.1	26.0
ESS cooling revenue YoY (%)	13.3	43.5	32.0	25.9
Total GPM (%)	27.9	29.1	30.7	31.1

INVESTMENT DRIVERS

- Data infrastructure and transition to liquid cooling technology
- Major liquid cooling tender from overseas hyperscalers
- ESS tenders and installations

GLOBAL REVENUE EXPOSURE



- 10-20% APAC, ex Japan, Mainland China and India
- 80-90% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected AI investment and AI server shipments
- Market share gain
- Margin improvement

RISKS TO DOWNSIDE

- More intense competition.
- Rising raw material prices

OWNERSHIP POSITIONING

Inst. Owners, % Active 91.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue (Rmb, mn)	7,810.3	9,827.5	9,822.7	13,554.9
Net income (Rmb, mn)	747.0	1,040	1,106.2	1,687.4
EPS (Rmb)	0.6	0.8	0.9	1.4
EBITDA (Rmb, mn)	893.7	1,370	1,410.5	2,009.5
ROE (%)	20.2	30.2	26.7	37.6

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – iRay Technology Company Limited (688301.SS)

Fundamental turnaround; New business in expansion

PRICE TARGET Rmb140.00

Base case, DCF
- WACC of 7.5%: Cost of equity of 8.5% (risk-free rate 3.5%, market risk premium of 5.5%, beta of 0.9); cost of debt of 5.5%; and long-term corporate tax rate of 12%.
- Sustainable earnings growth in 2025-33: We assume +20% CAGR pretax profit in 2026-33.
- Stable capex: We assume Rmb1.2bn/700mn/600m annual capex in 2026-28, stabilizing at Rmb200-300mn from 2029.
- Terminal growth rate of 4%: We assume steady growth period starts in 2033.

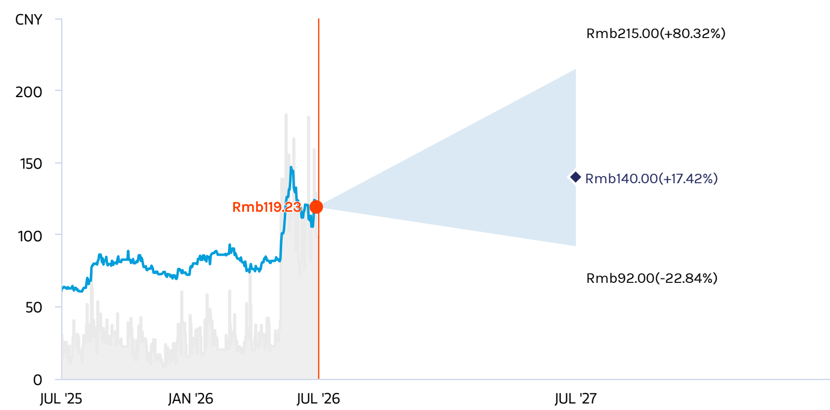
Consensus Price Target Distribution

Rmb78.57 | Rmb111.73 | MS PT | Rmb157.86

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- The medical flat-panel detector (FPD) business has been bottoming since 2025 amid a rapid recovery in medical device tender activity in China, and we expect it to deliver teens growth in 2026-28, per our estimates.
- We like iRay's strong competitive position in FPDs and its significant potential for client, product, and application expansion, supporting secular growth over the medium to long term.
- iRay has achieved a breakthrough in CT inspection equipment for PCBs and is currently undergoing client verification. We believe potential order wins could become a near-term catalyst.

Consensus Rating Distribution

83%	Overweight
17%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*
Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb215.00

60x 2027e P/E

Strong medical business revenue growth with fast downstream tender recovery, supporting >40% earnings CAGR in 2026-28. Overseas dental business presents strong sales in both the intraoral and CBCT markets. Faster penetration in new downstream/products applications, such as PCB back drill inspection, CT tube, etc.

BASE CASE Rmb140.00

40x 2027e P/E

Clear earnings recovery in 2026-28 with +25% CAGR. Gross margin stays steady at ~45% level in 2026-28. Successful penetration of foreign GPS clients and progress in CT business. iRay has order intake in PCB CT inspection equipment.

BEAR CASE Rmb92.00

26x 2027e P/E

Slower medical demand recovery with limited market share gain. Overseas dental business expands slowly due to unsuccessful CBCT promotion. Gross margin erodes to ~40% in 2026-28 amid intensifying competition and product mix. Slow progress on new product launches and penetration into other CT manufacturers.

Risk Reward – iRay Technology Company Limited (688301.SS)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Medical segment revenue growth (%) (%)	10.9	18.0	20.8	20.5
Industrial segment revenue growth (%) (%)	35.3	24.3	24.7	16.0
Medical segment GPM (%) (%)	60.0	61.0	61.0	61.0
Industrial segment GPM (%) (%)	56.9	57.0	58.0	59.0

INVESTMENT DRIVERS

- Non-DR XR product sales
- Gross margin expansion
- Progress of CT detector/CT tube penetration
- Progress of PCB CT inspection equipment

GLOBAL REVENUE EXPOSURE

- 0-10% Europe ex UK
- 0-10% India
- 0-10% MEA
- 10-20% APAC, ex Japan, Mainland China and India
- 10-20% North America
- 50-60% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected import substitution in the medical device market
- Better-than-expected share gains in the industrials segment

RISKS TO DOWNSIDE

- Intensified market competition and continuous aggressive pricing strategy
- Slower-than-expected launch of CT detector/CT tube

OWNERSHIP POSITIONING

Inst. Owners, % Active 98.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue (Rmb, mn)	3,273.7	4,561.0	4,279.6	5,186.6
Net income (Rmb, mn)	862.3	1,033	1,041.1	1,198.8
EPS (Rmb)	3.5	3.5	3.7	4.0
ROE (%)	12.3	14.7	13.9	16.4

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

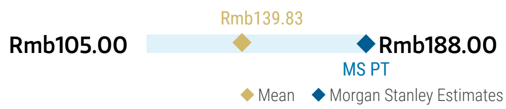
Risk Reward – Han's Laser (002008.SZ)

Secular Tailwinds + Share Gains; OW

PRICE TARGET Rmb188.00

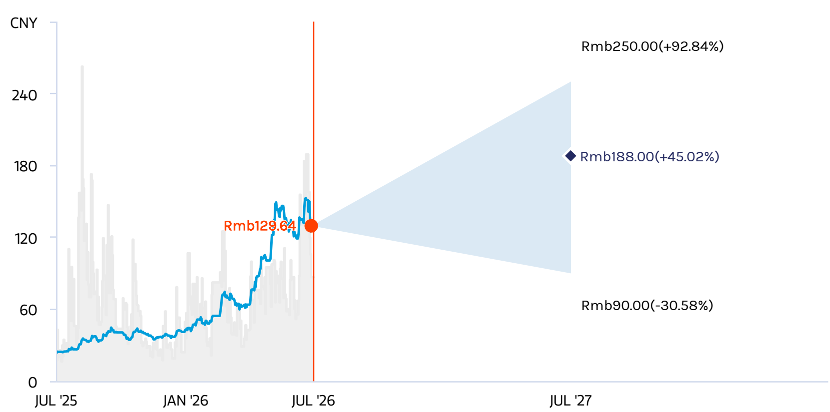
Base case, derived from SOTP valuation methodology. We value the non-PCB business at 30x 2027e P/E, which is comparable to 2017 levels when Apple underwent major product upgrades and its revenue contribution peaked. We value the PCB business based on its subsidiary Han's CNC's market cap, and Han's Laser's current equity stake.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Han's is a leading manufacturer of high-end industrial laser equipment. The PCB business has been a key growth driver since 2025 and should remain a major growth contributor through 2027, supported by robust global AI server demand and continued capacity expansion by PCB manufacturers.
- We believe Apple's innovation in foldable iPhones and the adoption of 3D printing could emerge as new growth drivers in 2026-27, while also supporting blended margin improvement through a more favorable customer mix.
- We expect the general laser business to deliver steady growth amid an automation upcycle. We remain positive on the company's long-term growth prospects, driven by increasing laser penetration.

Consensus Rating Distribution

●	100%	Overweight
	0%	Equal-weight
	0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Positive*
Secular Growth:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb250.00

63x bull case 2027e EPS

Robust demand for laser equipment from multiple downstream segments: Benefiting from stronger manufacturing capex recovery and Apple's upbeat 3D printing equipment demand, Han's Laser presents >50% y-y revenue growth in 2026-27. Gross margins improve significantly on better client mix and economies of scale.

BASE CASE Rmb188.00

48x base case 2027e EPS

Strong revenue growth momentum in key segments in 2026-27: PCB and 3C businesses are key drivers in 2026 with revenue growing ~80% and ~60% y-y, respectively. Gross margins continuously expand in 2026-28 with better revenue mix and operating leverage.

BEAR CASE Rmb90.00

22x bear case 2027e EPS

Weak macro conditions dampen demand for laser machines: PCB capex expansion moderates in 2026, leading to a decline in new orders. Apple orders miss expectations. Gross margins erode due to unfavorable revenue mix and aggressive pricing strategy in high-power laser.

Risk Reward – Han's Laser (002008.SZ)

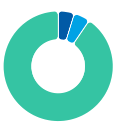
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
LP Laser machines revenue growth (%)	72.7	79.4	48.3	(6.1)
HP Laser machines revenue growth (%)	15.4	61.0	106.0	(48.5)
PCB equipment revenue growth (%)	(6.6)	5.0	5.0	5.0
Gross margin (%)	33.3	33.9	35.4	35.5

INVESTMENT DRIVERS

- Continuous capex expansion from PCB manufacturers and migration toward high-end products
- Order growth from Apple in 2026-27
- Optical fiber order intake with rapid capex expansion
- Growth in the high-power laser market driven by rising penetration

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% India
- 90-100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Profitability of China's manufacturing industry improves, which should increase companies' appetites for capital spending
- Breakthrough in new contracts from foreign clients in PCB markets

RISKS TO DOWNSIDE

- More impairment from new energy business
- Apple's 3D equipment demand below expectations

OWNERSHIP POSITIONING

Inst. Owners, % Active 93.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue (Rmb, mn)	23,358.0	26,436.6	25,781.3	27,100.4
EBITDA (Rmb, mn)	2,964.5	3,672	3,375.4	4,207.0
Net income (Rmb, mn)	1,814.0	2,451	2,425.7	3,200.5
EPS (Rmb)	1.8	2.3	2.4	3.1

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

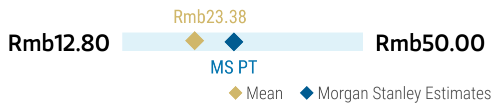
Risk Reward – Estun Automation Co Ltd (002747.SZ)

Industry growth with market share gain but valuation too stretched; UW

PRICE TARGET Rmb29.60

For its core business, we apply 50x 2027e P/E, below its historical two-year forward P/E average of 65x, appropriate given its lower margin profile and our separate valuation of the humanoid business.
For the humanoid business, we apply 15x to our 2028e sales forecast of Rmb680mn, reflecting its plan to acquire the remaining stake in Codroid. This is below the ~20x average for leading humanoid OEMs, given Estun's smaller scale and market share.

Consensus Price Target Distribution

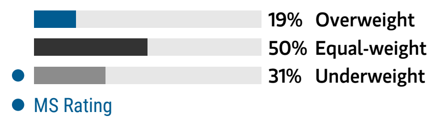


Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

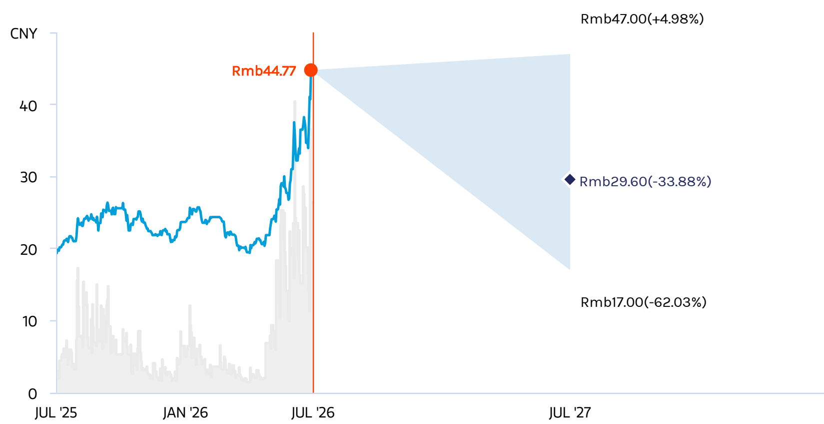
- Industry robot demand should remain healthy in 2026-28e despite persistent competitive pressure.
- We expect Estun to continue gaining market share both domestically and globally.
- However, our margin improvement assumptions remain below the company's guidance, and we see downside risk to profitability.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Negative*
Secular Growth:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb47.00

100x bull case 2026e P/E

China's industrial robot market grows >20% p.a. in 2026-28: Estun's high-end robots and core components notably gain market share globally. Cloos surpasses its earnings targets.

BASE CASE Rmb29.60

75x base case 2027e P/E

China's industrial robot market grows at mid-teens growth in 2026-28 and Estun continues to gain market share in 6-axis industrial robots. SG&A expense ratio is lower, so Estun will see margin expansion in 2026-28.

BEAR CASE Rmb17.00

60x bear case 2026e P/E

China's industrial robot market declines in 2026-28: The company's system integration suffers from low margins and long receivables days. Industrial robot and servo system revenue grow much slower than industry revenue does. Cloos fails to achieve financial targets.

Risk Reward – Estun Automation Co Ltd (002747.SZ)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Industrial robot revenue growth (%)	31.8	22.8	19.3	17.0
Automation components revenue growth (%)	(8.7)	10.5	4.4	2.3
Gross margin (%)	29.5	30.6	30.6	30.6

INVESTMENT DRIVERS

- Industrial robot segment growth
- Cost reduction.
- China's New Infrastructure spending, such as on photovoltaic.

GLOBAL REVENUE EXPOSURE

- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% Latin America
- 0-10% North America
- 20-30% Europe ex UK
- 60-70% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected growth in China's industrial robot market and faster-than-expected pace of market share expansion
- Faster-than-expected cost reduction in core components for robots

RISKS TO DOWNSIDE

- Slowdown in China's industrial robot market and aggressive price competition
- Slowdown of advanced manufacturing capex and China's investment in new infrastructure

OWNERSHIP POSITIONING

Inst. Owners, % Active 37.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Morgan Stanley Estimates	Mean	High
EPS (Rmb)	0.2	0.3	0.3	0.4
Sales / Revenue (Rmb, mn)	5,591.7	5,909.0	5,887.0	6,510.6
Net income (Rmb, mn)	197.7	256	269.8	379.0

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

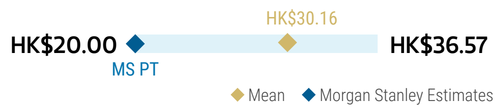
Risk Reward – Beijing Geekplus Technology Co., Ltd. (2590.HK)

Path to Unmanned Warehouses; Leading AMR Solution Provider with Global Reach

PRICE TARGET HK$20.00

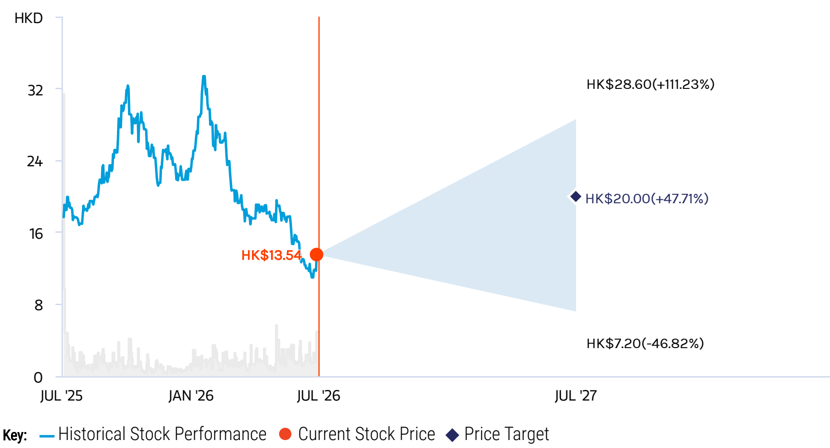
Base case. We now value the company at 5.6x 2026E P/S. We believe this is appropriate based on a blended framework: 50% weighting on humanoid and autonomous driving peers' average multiple of 8.3x, with a 20% discount applied, and 50% weighting on logistics and warehouse automation peers' average multiple of 4.6x.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We expect Geekplus to capture the fast growth of the AMR market, which is set to rise at a 33% CAGR in 2024-29 to reach 20% penetration.
- As the largest AMR warehouse fulfillment solution provider, we expect it to solidify its market leadership via wide-ranging AMR offerings and strong product competitiveness in terms of cost and work efficiencies.
- Embodied AI solutions (including robotic arms and wheel-based humanoids) and subscription-based services will further expand its offering, supporting competitiveness and order size expansion.

Consensus Rating Distribution

100%	Overweight
0%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption:	*Positive*
Secular Growth:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE HK$28.60

8.0x 2026e P/S

Faster adoption and market gain opportunity. Also, Geekplus' long-term R&D in robotics technology successfully transfers to embodied intelligence, launching intelligent robots, if not general-purpose.

BASE CASE HK$20.00

5.6x 2026e P/S

Geekplus captures the fast growth of the AMR market and solidifies its market leadership through its wide-ranging AMR offerings, while high-margin overseas revenue contribution continues to rise. Geekplus' robotics arm is expected to gradually deploy in 2026, while wheel-based humanoid in POC stage.

BEAR CASE HK$7.20

2.0x 2026e P/S

Geekplus' growth is affected by intensifying competition, downstream cyclical risk, less client stickiness and geopolitical uncertainty.

Risk Reward – Beijing Geekplus Technology Co., Ltd. (2590.HK)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
AMR revenue growth (%)	31.9	31.2	31.9	34.4
Gross profit margin (%)	35.5	36.3	37.0	37.2
Net margin (%)	(0.3)	(0.6)	5.7	7.9

INVESTMENT DRIVERS

- Increasing penetration of AMRs
- Margin expansion on higher overseas revenue contribution and operating leverage
- More progress in AI-powered robotic arms, intelligent robot development
- Reach profitability by 2H25, and margin expansion

GLOBAL REVENUE EXPOSURE

- 0-10% Japan
- 0-10% UK
- 10-20% APAC, ex Japan, Mainland China and India
- 10-20% Europe ex UK
- 10-20% Latin America
- 10-20% North America
- 20-30% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Market share gain opportunity with margin expansion
- Faster-than-expected adoption of embodied AI solution
- Key client acquisition in broader regions
- Stronger sentiment in robotics

RISKS TO DOWNSIDE

- End of lock-up period
- Slower-than-expected order intake growth amid geopolitical tension
- Higher-than-expected embodied AI investment
- Weakening sentiment in humanoids/robotics and AI

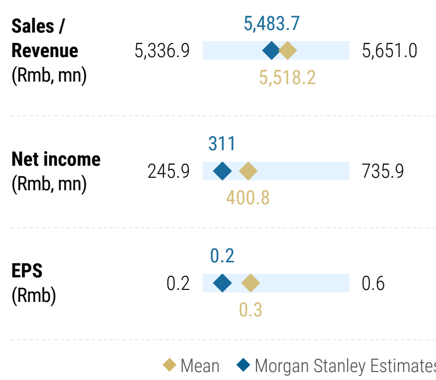
OWNERSHIP POSITIONING

Inst. Owners, % Active 99.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

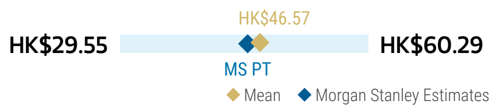
Risk Reward – Sinotruk (Hong Kong) Limited (3808.HK)

Better-than-expected HDT momentum in 2026; EW on fair valuation

PRICE TARGET HK$45.00

Base case, derived from P/E methodology. We apply a target multiple of 11x to our 2026 EPS estimate. This is above the stock's 8-year historical average FY2 P/E of 9x, as we believe Sinotruk's overseas expansion growth is more resilient and will contribute a larger share of profits than in previous cycles.

Consensus Price Target Distribution

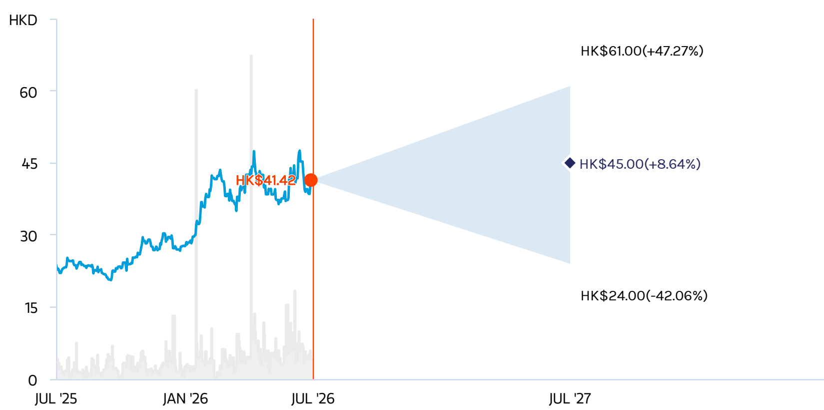


Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We expect industry HDT demand to grow 11%y-y to ~1.27mn units in 2026, supported by robust electric HDT demand and export resilience, then grow ~2% y-y to 1.3mn in 2027.
- We think Sinotruk will continue to gain share and maintain its strong presence in overseas markets in the medium term, and move into the high-end market.
- Our EW rating reflects fair risk-reward at 12x 2026e P/E.

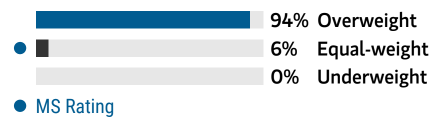
RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Negative*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE HK$61.00

15x bull case 2026e EPS

Robust HDT sales in 2026: Industry HDT demand stays solid and exceeds 1.4mn units in 2026. Electric HDT and light truck businesses make significant market share gains and turn profitable. Sinotruk wins mass orders from the high-end European market.

BASE CASE HK$45.00

11x base case 2027e EPS

HDT demand to grow ~10% y-y in 2026, and Sinotruk will outperform slightly: Industry HDT demand will grow to around 1.3mn units in 2026 supported by strong electric HDT demand and exports. Sinotruk gains market share in electric HDT and overseas markets.

BEAR CASE HK$24.00

6x bear case 2026e EPS

Worse-than-expected HDT demand recovery in 2026: China's HDT demand falls below 1.1mn units in 2026 amid a slowdown in infra/manufacturing activities; a sluggish economy delays HDT replacement demand; electric truck business fails to gain market share.

Risk Reward – Sinotruk (Hong Kong) Limited (3808.HK)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Heavy Truck revenue growth (%)	20.0	17.9	10.6	7.1
Light Truck revenue growth (%)	22.4	20.0	10.0	5.0
Engines revenue growth (%)	25.3	23.5	16.0	10.2
Heavy Truck gross margin (%)	7.0	7.1	7.0	6.8
Engines gross margin (%)	23.0	23.0	23.0	23.0

INVESTMENT DRIVERS

- HDT sales volume in both domestic and overseas markets
- LDT sales volume in domestic markets
- HDT/LDT margin trend

GLOBAL REVENUE EXPOSURE

- 0-10% Europe ex UK
- 0-10% India
- 0-10% Japan
- 0-10% MEA
- 10-20% APAC, ex Japan, Mainland China and India
- 50-60% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected infrastructure construction and logistics transport demand
- Faster-than-expected share gains in overseas HDT market

RISKS TO DOWNSIDE

- Aggressive pricing strategy outweighing cost reduction efforts.
- Slower-than-expected National V replacement.

OWNERSHIP POSITIONING

Inst. Owners, % Active 48.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue (Rmb, mn)	117,733.7	127,910.1	125,681.8	131,444.0
EBITDA (Rmb, mn)	10,255.8	11,692	11,735.6	14,662.0
Net income (Rmb, mn)	7,343.6	8,511	8,246.7	9,300.5
EPS (Rmb)	2.7	3.1	3.0	3.4

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – WeiChai Power (2338.HK)

A Great Green Transition; AIDC Power Growth in Full Swing

PRICE TARGET HK$47.00

For the traditional engine and truck business, we apply a 10x 2026e P/E multiple, broadly in line with its eight-year historical average FY1 P/E of 11x. For the AIDC business, we apply an 80x 2026e P/E multiple. We value KION and PSI based on their respective market capitalizations and Weichai's ownership stakes.

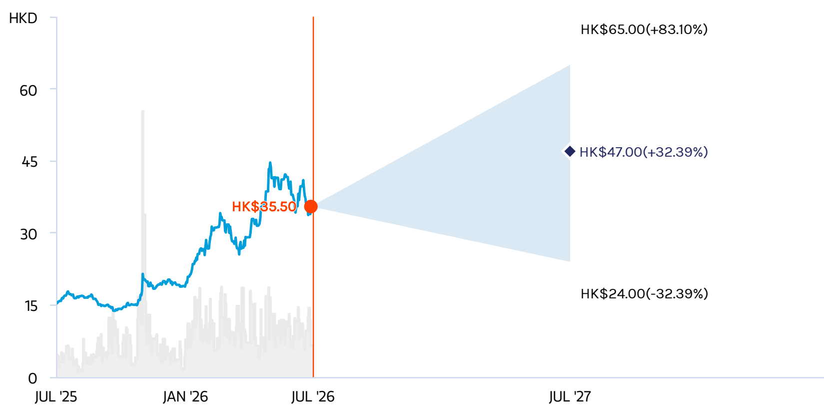
Consensus Price Target Distribution

HK$20.35 — HK$42.37 (Mean) — MS PT — HK$56.13

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- AIDC business to maintain robust growth with ~160% revenue and NP CAGRs in 2026-28, benefitting from global AI capex acceleration and increasing power solution offerings. In 2027, the AIDC business will contribute ~10% of revenue and ~40% of NP, with continuous market share gains.
- We expect HDT industry demand to grow ~11% YoY in 2026 to 1.27mn units, then grow mildly to 1.3mn in 2027. We expect Weichai to maintain relatively steady market share in HDT engines.
- Weichai is undergoing a genuine transformation from a traditional truck engine company into a broader power and energy equipment platform, and we believe this justifies a continued re-rating.

Consensus Rating Distribution

● 88% Overweight
13% Equal-weight
0% Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*
Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE HK$65.00

38x bull case 2026e EPS

Stronger-than-expected HDT demand in 2026: Industry HDT demand exceeds 1.4mn units in 2026 with stronger-than-expected stimulus and exports. WeiChai gains significant market share in China's HDT market and large-bore engine market globally.

BASE CASE HK$47.00

27x base case 2026e EPS

~10% y-y HDT sales growth in 2026; resilient large-bore engine business: Industry HDT demand will grow ~10% y-y to ~1.27mn units in 2026. WeiChai maintains stable market share in the HDT engine segment. AIDC segment presents strong growth with market share gains and new product ramp-ups (gas engine, SOFC) in 2026-27.

BEAR CASE HK$24.00

14x bear case 2026e EPS

Worse-than-expected HDT demand in 2026: Overall HDT demand narrows in 2026 to below 1.1mn units amid weaker logistics activities and a narrowing oil-to-gas gap. WeiChai loses share notably in the LNG HDT engine market. AIDC-related sales to the US are below expectations.

Risk Reward – WeiChai Power (2338.HK)

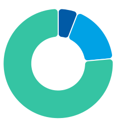
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Engine revenue growth (%)	7.8	18.2	27.8	18.3
Shaanxi Heavy Truck revenue growth (%)	19.0	17.2	6.8	4.4
KION revenue growth (%)	2.7	0.4	5.3	5.2

INVESTMENT DRIVERS

- Volume growth in engine and HDT sales
- Share gain/loss in the HDT market
- Large-bore engine shipments

GLOBAL REVENUE EXPOSURE



- 0-10% North America
- 10-20% Europe ex UK
- 60-70% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected powering AI capex globally.
- Better-than-expected volume growth in engine and HDT sales due to stronger policy stimulus.

RISKS TO DOWNSIDE

- Slower-than-expected AIDC shipment to US customers.
- Market share loss in engine/HDT market.

OWNERSHIP POSITIONING

Inst. Owners, % Active 69%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue (Rmb, mn)	248,457.0	254,221.7	255,578.1	280,526.0
EBITDA (Rmb, mn)	31,349.0	34,862	35,146.6	39,957.3
Net income (Rmb, mn)	13,207.0	14,273	14,440.2	16,514.6
EPS (Rmb)	1.5	1.6	1.7	1.9

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

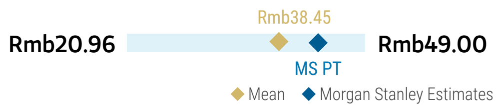
Risk Reward – WeiChai Power (000338.SZ)

A Great Green Transition; AIDC Power Growth in Full Swing

PRICE TARGET Rmb43.00

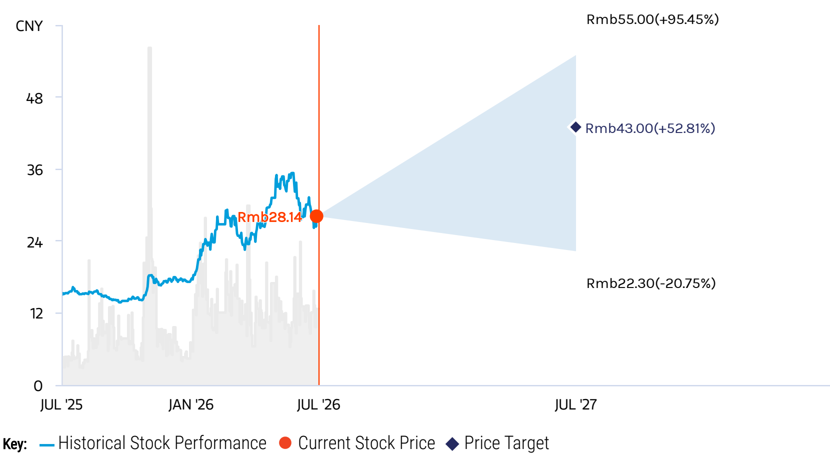
We apply 0% A-H share premium to our H-share price target to arrive at our A-share price target at Rmb43, based on an HKD/RMB FX rate of 0.9

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART

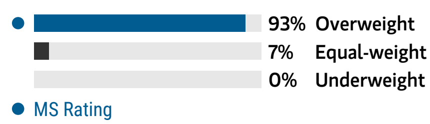


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- AIDC business to maintain robust growth with ~160% revenue and NP CAGRs in 2026-28, benefitting from global AI capex acceleration and increasing power solution offerings. In 2027, the AIDC business will contribute ~10% of revenue and ~40% of NP, with continuous market share gains.
- We expect HDT industry demand to grow ~11% YoY in 2026 to 1.27mn units, then grow mildly to 1.3mn in 2027. We expect Weichai to maintain relatively steady market share in HDT engines.
- Weichai is undergoing a genuine transformation from a traditional truck engine company into a broader power and energy equipment platform, and we believe this justifies a continued re-rating.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Renewable Energy: *Positive*
Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb55.00

35x bull case 2026e EPS

Stronger-than-expected HDT demand in 2026: Industry HDT demand exceeds 1.4mn units in 2026 with stronger-than-expected stimulus and exports. WeiChai gains significant market share in China's HDT market and large-bore engine market globally.

BASE CASE Rmb43.00

28x base case 2026e EPS

~10% y-y HDT sales growth in 2026; resilient large-bore engine business: Industry HDT demand will grow ~10% y-y to ~1.27mn units in 2026. WeiChai maintains stable market share in the HDT engine segment. AIDC segment presents strong growth with market share gains and new product ramp-ups (gas engine, SOFC) in 2026-27.

BEAR CASE Rmb22.30

15x bear case 2026e EPS

Worse-than-expected HDT demand in 2026: Overall HDT demand narrows in 2026 to below 1.1mn units amid weaker logistics activities and a narrowing oil-to-gas gap. WeiChai loses share notably in the LNG HDT engine market. AIDC-related sales to the US are below expectations.

Risk Reward – WeiChai Power (000338.SZ)

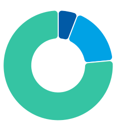
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Engine revenue growth (%)	7.8	18.2	27.8	18.3
Shaanxi Heavy Truck revenue growth (%)	19.0	17.2	6.8	4.4
KION revenue growth (%)	2.7	0.4	5.3	5.2

INVESTMENT DRIVERS

- Volume growth in engine and HDT sales
- Share gain/loss in the HDT market
- Large-bore engine shipments

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected powering AI capex globally.
- Better-than-expected volume growth in engine and HDT sales due to stronger policy stimulus.

RISKS TO DOWNSIDE

- Slower-than-expected AIDC shipment to US customers.
- Market share loss in engine/HDT market.

OWNERSHIP POSITIONING

Inst. Owners, % Active 92.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue (Rmb, mn)	247,034.0	254,221.7	252,977.2	258,956.0
EBITDA (Rmb, mn)	31,045.0	34,862	33,941.6	37,057.0
Net income (Rmb, mn)	13,166.5	14,273	14,365.6	15,498.0
EPS (Rmb)	1.5	1.6	1.7	1.8

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

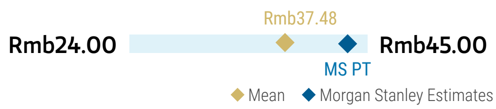
Risk Reward – Hongfa Technology Co Ltd (600885.SS)

Stronger Through Adversity

PRICE TARGET Rmb43.00

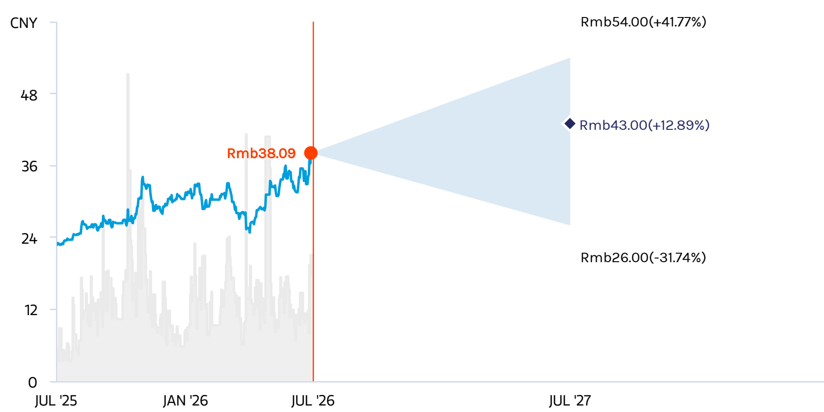
Base case, P/E. We apply FY2 P/E multiple of 25x to 2027e EPS. This is largely in line with the historical average + 1sd, reflecting our positive view on Hongfa's strong global business presence, diversified downstream exposure, and continued market share gains supported by rapid product iteration.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



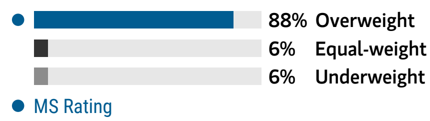
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Hongfa's global market leadership has strengthened further with higher global market share and accelerating growth of order backlog.
- We think the long-term global electrification thesis and Hongfa's status as a global leader of relay and active new product expansion are intact.
- 800V adoption starting in 2027/28 could provide higher value growth runaway for Hongfa.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Positive*
Renewable Energy:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb54.00

30x bull-case 2027e EPS

HVDC, automotive and new energy relays show stronger-than-expected growth, with further accelerated ramp-up in new non-relay products and 800V products.

BASE CASE Rmb43.00

25x base-case 2027e EPS

Strong growth in new energy and HVDC relays to continue, with new products / applications (such as ESS and AIDC) ramping up. Global electrification and market share gain thesis intact.

BEAR CASE Rmb26.00

18x bear-case 2027e EPS

China's economy slows materially, resulting in lackluster demand for relay products. Rising commodity price and competition to continue, resulting in further margin erosion. Hongfa loses share in its key markets.

Risk Reward – Hongfa Technology Co Ltd (600885.SS)

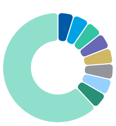
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Relays revenue growth (%)	23.6	22.7	14.9	9.9
Electrical products revenue growth (%)	(4.3)	10.0	12.0	15.0
Gross Margin (%)	34.3	33.8	34.7	35.1

INVESTMENT DRIVERS

- New energy and HVDC demand driving relay growth
- New products gradually ramping up
- Margins recovering

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% Europe ex UK
- 0-10% India
- 0-10% Japan
- 0-10% Latin America
- 0-10% MEA
- 0-10% North America
- 0-10% UK
- 60-70% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected growth in AIDC, ESS and new electrical products
- Faster-than-expected commodity price decline
- Faster-than-expected adoption of 800V products

RISKS TO DOWNSIDE

- More intense price competition and rising raw material costs, hampering Hongfa's margin
- Sharp decline in China's property market, resulting in weak home appliance consumption
- Downturn in global EV demand

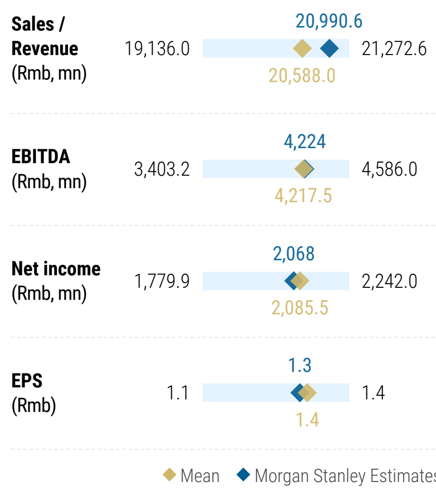
OWNERSHIP POSITIONING

Inst. Owners, % Active 97.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

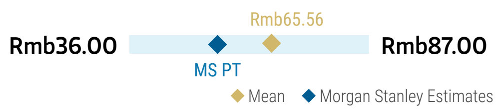
Risk Reward – Wuxi Lead Intelligent (300450.SZ)

Compelling demand catalysts to support order growth

PRICE TARGET Rmb54.00

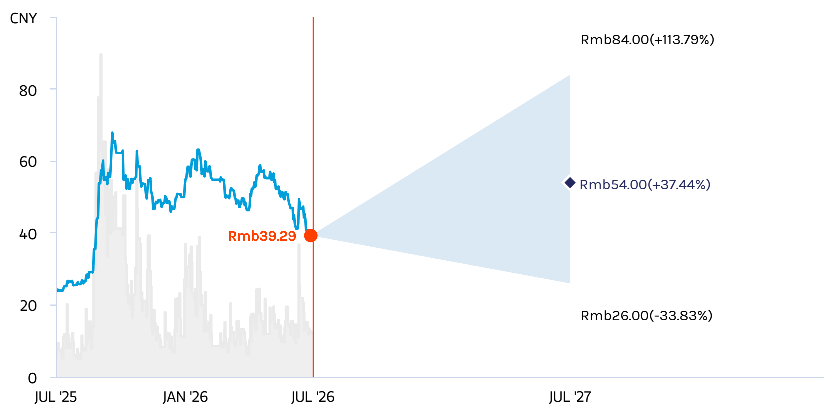
Base case, using a 2.5x market cap-to-new orders on our 2026 new orders forecast of Rmb36bn. We view the multiple as appropriate, as it's consistent with the level at which the stock traded in 2023. We believe this reflects new orders already being at a high level while growth is sustained into 2027, unlike the decline seen in 2024, supported by replacement demand, sodium battery commercialization, and gradual ramp of solid-state batteries.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

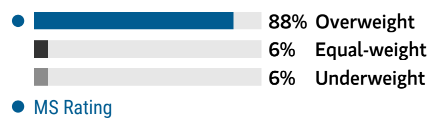
OVERWEIGHT THESIS

We expect LiB equipment to reach the next cyclical high in coming years, driven by triple compelling catalysts:

- Leading players' capacity expansion with improving utilization rate and market share concentration.
- Replacement demand emerging.
- Solid state battery commercialization and global BEV penetration reaccelerates from 2027, likely to support order growth in 2026.

Wuxi Lead remains the key beneficiary in this upcycle.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb84.00

50x bull-case 2026e EPS

Higher-than-expected LiB equipment demand in 2026-28, driven by strong global ESS demand, faster-than-expected sodium/solid-state battery ramp up and global supply-chain localization.

BASE CASE Rmb54.00

2.5x base-case 2026e order/35x 2026e EPS

We expect LiB equipment to reach the next cyclical high in the coming years, driven by three compelling catalysts: Leading players' capacity expansions with improving utilization rate and market share concentration; more replacement demand in 2026; and sodium battery commercialization and global BEV penetration reaccelerates from 2027, likely to support order growth in 2026-27.

BEAR CASE Rmb26.00

20x bear-case 2026e EPS

Lower-than-expected LiB equipment demand in 2026-28, driven by weak EV and ESS demand amid weak macro and tariff uncertainty, faster-than-expected downstream consolidation and cautious capex amid downstream competitive environment.

Risk Reward – Wuxi Lead Intelligent (300450.SZ)

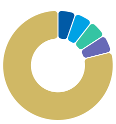
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
LiB equipemnt sales growth (%)	23.2	48.9	61.1	34.6
GPM (%)	33.3	34.0	35.9	36.7

INVESTMENT DRIVERS

- Battery makers' capex growth
- Other battery-related business (such as battery pack assembly, factory logistics) to boost revenue scale

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% Europe ex UK
- 0-10% India
- 0-10% North America
- 70-80% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST | 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected ESS demand.
- Faster-than-expected progress of overseas expansion.
- Strong adoption for sodium/solid-state batteries.

RISKS TO DOWNSIDE

- Weaker-than-expected ESS outlook.
- Limited progress of overseas expansion with global EV deceleration.
- Slower-than-expected adoption for sodium/solid-state batteries.

OWNERSHIP POSITIONING

Inst. Owners, % Active 83.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

	Low	Mean	Morgan Stanley Estimates	High
Sales / Revenue (Rmb, mn)	20,600.0	23,858.2	30,011.2	30,011.2
EBITDA (Rmb, mn)	3,328.0	4,022.7	5,031	5,031
Net income (Rmb, mn)	2,796.0	3,361.0	4,600	4,600.2
EPS (Rmb)	1.7	2.0	2.7	2.7

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

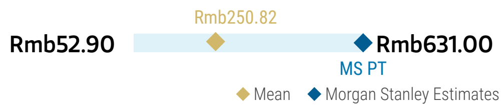
Risk Reward – Leader Harmonious Drive Systems (688017.SS)

Well positioned to capture structural tailwind of humanoids and other robotics

PRICE TARGET Rmb631.00

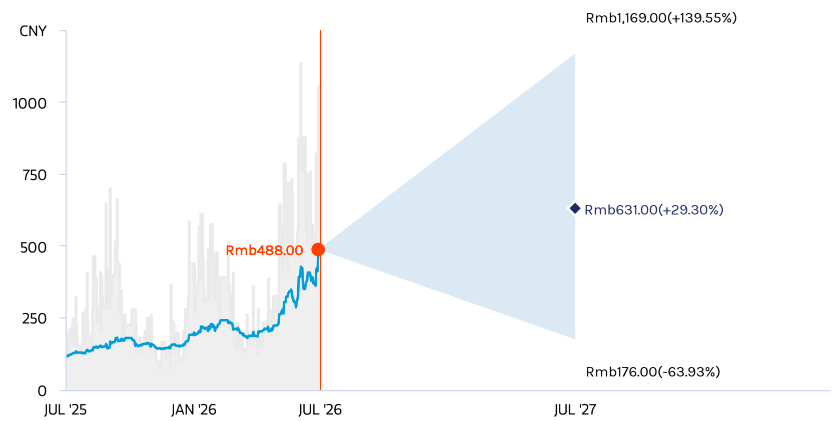
Base case. We use DCF to value Leaderdrive, by discounting 2025-50e cash flow at a WACC of 11% and terminal growth rate of 4%, to derive per share value of Rmb631.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



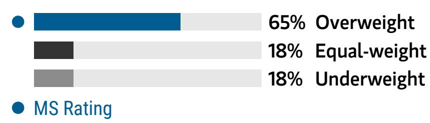
Key: Historical Stock Performance, Current Stock Price, Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Leaderdrive is a key supplier of humanoid harmonic reducers, supplying key domestic integrators and has a leading market share.
- For other robots, we expect an increase in the average number of harmonic reducers per robot, thanks to rising manipulation capabilities, offsetting the price impact.
- Leaderdrive is developing other products for humanoids, such as planetary roller screws and linear actuators, which can capture higher value per robot.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb1,169.00

Bull case DCF

Leaderdrive's bargaining power continues to improve, supported by high technological barriers and quality, resulting in margin expansion. Humanoid robot progress is better than expected, bull case global volume.

BASE CASE Rmb631.00

Base case DCF

Leaderdrive is a leading domestic harmonic reducer company, with leading market share in domestic humanoid integrators. Industrial robots maintain steady growth. Rising manipulation capability leads to an increase in the average number of harmonic reducers per robot.

BEAR CASE Rmb176.00

Bear case DCF

Mass production of humanoid robots is slower than expected with much smaller volume. Harmonic reducers are no longer a mainstream solution for humanoids, leading to price competition and margin erosion.

Risk Reward – Leader Harmonious Drive Systems (688017.SS)

KEY EARNINGS INPUTS

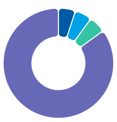
Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Harmonic reducer revenue growth (%)	31.3	17.1	19.3	10.3
Harmonic reducer GP margin (%)	38.0	36.0	36.0	36.2

INVESTMENT DRIVERS

1) The average unit price of harmonic reducers returns to positive growth and the company's cost control ability remains strong.

2) Integrated actuator business expands quickly, with continuous gross profit margin improvement.

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% Europe ex UK
- 0-10% North America
- 80-90% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster growth in industrial robot demand
- Faster humanoid adoption
- Penetrating into more integrators' supply chain
- Margin expansion with high utilization and favorable product mix

RISKS TO DOWNSIDE

- Slower humanoid volume growth
- Lower penetration of harmonic reducers in humanoids
- Market-share erosion and failure to enter leading US integrators' supply chain
- Intensified competition, greater pricing pressure

OWNERSHIP POSITIONING

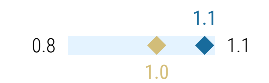
Inst. Owners, % Active 95.1%

Source: Refinitiv, Morgan Stanley Research

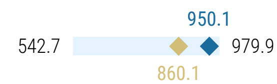
MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

EPS (Rmb)



Sales / Revenue (Rmb, mn)



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Carlos Chai; Chelsea Wang; Sheng Zhong.

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Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Beijing Geekplus Technology Co., Ltd., Zoomlion Heavy Industry.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Shenzhen Inovance Technology, Zoomlion Heavy Industry.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Beijing Geekplus Technology Co., Ltd., China State Construction Engineering, Sany Heavy Industry Co., Ltd., Shenzhen Inovance Technology, Wuxi Lead Intelligent, Zhejiang Hangke Technology, Zoomlion Heavy Industry.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from China State Construction Engineering, CRRC Corp Ltd, Haitian International Holdings Limited, Sinotruk (Hong Kong) Limited.

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Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Beijing Geekplus Technology Co., Ltd., China State Construction Engineering, CRRC Corp Ltd, Haitian International Holdings Limited, Sinotruk (Hong Kong) Limited.

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Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/06/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.30
China Railway Group (0390.HK)	E (08/11/2025)	HK$3.35
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.53
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb130.97
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb14.82
iRay Technology Company Limited (688301.SS)	O (07/06/2026)	Rmb110.47
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb51.11
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb103.11
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb74.06
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK$12.02
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb14.28
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK$4.64
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb5.44
DR Laser (300776.SZ)	E (12/17/2021)	Rmb166.75
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb46.03
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK$19.70

Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb38.00
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb15.25
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb117.50
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb48.20
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb453.98
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb18.89
Shenzhen Inovance Technology (300124.SZ)	++	Rmb68.33
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb67.99
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK$42.82
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb256.24
Times Electric (3898.HK)	E (01/22/2026)	HK$37.54
WeiChai Power (2338.HK)	O (03/30/2026)	HK$37.48
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb29.57
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb50.52
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb37.88
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb52.99
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb28.54
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb46.75
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK$7.10
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.29

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